

11. CONFLICT OF INTEREST**11.1 INTEREST IN SIMILAR BUSINESS AND IN BUSINESSES OF OUR CUSTOMERS AND SUPPLIERS**

Save as disclosed below, as at LPD, none of the existing and proposed Directors or substantial shareholders of our Group has any interest, direct or indirect, in any businesses or corporations:

- (a) which are carrying on a similar or related trade as our Group; or
- (b) which are customers and/ or suppliers of our Group.

11.1.1 Entities which are suppliers of our Group

Name of company	Principal activities	Interested person/ Nature of interest
Gintell (M) as a major supplier of our Group	Trading, wholesale and retail sale of massage, fitness and other health care products and equipment through retail outlets	Datin Tan Sok Fei/ Datin Tan Sok Fei is our Group's Promoter, Managing Director and substantial shareholder. She is also a passive shareholder (1.0%) of Gintell (M) and does not participate in the daily management of the company. Dato' Goh Cheh Yak/ Dato' Goh Cheh Yak is our Group's Promoter, Non-Independent Non-Executive Director and substantial shareholder. He is also the Managing Director and substantial shareholder (99.0%) of Gintell (M).
Gintell (Thailand) as a supplier of our Group	Buying and selling electric massage chairs, foot massage equipment and all types of electric massage services	Datin Tan Sok Fei/ Datin Tan Sok Fei is our Group's Promoter, Managing Director and shareholder. She is also a passive shareholder (0.5%) and does not participate in the daily management of Gintell (Thailand). Dato' Goh Cheh Yak/ Dato' Goh Cheh Yak is our Group's Promoter, Non-Independent Non-Executive Director and substantial shareholder. He is also the Managing Director and substantial shareholder (48.5%) of Gintell (Thailand). Kamol Watcharamanee/ Kamol Watcharamanee is RNG TH's director and shareholder (51.0% effective equity interest). He is also a director and shareholder (51.0% effective equity interest) of Gintell (Thailand).

11. CONFLICT OF INTEREST (Cont'd)

As a vending massage chair operator, our Group purchases vending massage chairs and spare parts from Gintell (M) and Gintell (Thailand) (collectively, "**Interested Companies**") as at LPD. In this respect, Gintell (M) has been one of our Group's top 5 major suppliers for FYE 2022 to 2025 whereas Gintell (Thailand) is listed as one of our Group's top suppliers in FYE 2025. Our Group's total purchases from Gintell (M) in FYE 2022 to 2025 and from 1 January 2026 and up to LPD are RM2.1 million, RM2.5 million, RM10.8 million, RM6.6 million and RM0.4 million respectively whereas our Group's purchase from Gintell (Thailand) in FYE 2025 and from 1 January 2026 and up to LPD is RM1.3 million and RM6.1 million respectively. Please refer to Sections 7.17 and 10.1 for details of our Group's purchases from Gintell (M) and Gintell (Thailand).

Notwithstanding the Interested Companies are our Group's suppliers, our Board is of the view that there is no concern over the existing or potential conflict of interest between our Group and the Interested Companies, having assessed the following mitigating factors:

- (a) **Business activities and customer base:** Our Group and the Interested Companies operate in 2 distinct businesses and are not competing with each other. Gintell (M) is a trader, wholesaler and retailer of massage, fitness and other health care products and equipment through their retail outlets, and Gintell (Thailand) is involved in the buying and selling of electric massage chairs, foot massage equipment and all types of electric massage services. On the other hand, our Group's key focus is on providing vending massage services, where our Group is principally involved in the provision of vending massage services, provision of vending massage chair rental plans and licensing of vending massage services business. Therefore, the Interested Companies' market are geared towards consumer purchases, while our Group mainly offers on-the-spot vending massage services;
- (b) **Use of the "Gintell" name:** Our Group was previously branded as "Gintell Rest N Go" and "Rest N Go", with both names used interchangeably. Certain vending massage services were historically operated under Gintell-related entities. Following the completion of the Pre-IPO Restructuring Exercise, our Group has fully transitioned to the "Rest N Go" brand. This transition involved amongst others, changing of the name from "Gintell Rest N Go Sdn Bhd" to "Rest N Go App Sdn Bhd", the transfer of all relevant vending massage service operations to our Group's foreign entities, rebranding of all vending massage chairs to reflect the "Rest N Go" logo, and the updating of our Group's corporate website and other branding assets. In addition, our Group has implemented a clear segregation of personnel, with employees involved in the "Rest N Go" business no longer holding roles or responsibilities within the Gintell group of companies. Accordingly, our Group no longer conducts any business under the "Gintell" name;
- (c) **Datin Tan Sok Fei's role in the Interested Companies:** As at LPD, the shareholders of Gintell (M) are Dato' Goh Cheh Yak (99.0%) and Datin Tan Sok Fei (1.0%). As at LPD, the shareholders of Gintell (Thailand) are Dato' Goh Cheh Yak (48.5%), Datin Tan Sok Fei (0.5%) and Kamol Watcharamanee (51.0%). Datin Tan Sok Fei has been a passive shareholder since joining as shareholder of both the Interested Companies. She also does not participate in any selling decisions of the Interested Companies;

11. CONFLICT OF INTEREST (Cont'd)

- (d) **Dato' Goh Cheh Yak's role in our Group:** As at LPD, the shareholders of (i) RNG MY are Dato' Goh Cheh Yak (99.8%) and Datin Tan Sok Fei (0.2%); (ii) RNG Tech are Dato' Goh Cheh Yak (50.0%) and Datin Tan Sok Fei (50%); and (iii) RNG TH are Kamol Watcharamanee (51.0%), Dato' Goh Cheh Yak (48.5%) and Datin Tan Sok Fei (0.5%). Although Dato' Goh Cheh Yak has been a shareholder and Director since incorporation, after a year of managing RNG MY, he decided to his focus on the business expansion of Gintell (M) and his other private companies. Datin Tan Sok Fei having acquired the shares held by Goh Cheah Kok (co-founder and brother of Dato' Goh Cheh Yak) in September 2010 and has spearheaded the business of our Group while benefitting from strategic decisions made by Dato' Goh Cheh Yak. Following the commencement of the Pre-IPO Restructuring Exercise (i.e. since January 2024) and as at LPD, Datin Tan Sok Fei fully assumed the responsibilities previously undertaken by Dato' Goh Cheh Yak within our Group in addition to her present role and responsibilities. Dato' Goh Cheh Yak serves as our Group's Non-Independent Non-Executive Director. As a Non-Independent Non-Executive Director, he is responsible for providing valuable advice and guidance to our Board and senior management, on an as-needed basis. However, he is not involved in our Group's day-to-day operations and does not participate in any purchasing decisions of our Group.

In addition, Dato' Goh Cheh Yak has provided an undertaking that (a) the business of Gintell (M) and other companies within the Gintell group of companies are distinct from the business of our Group; (b) Dato' Goh Cheh Yak will not, and will ensure that none of the companies within the Gintell group of companies and his other privately owned companies outside our Group will, whether directly or indirectly, engage in, venture into, operate, carry on or otherwise be involved in any business which is involved or is similar to the business of our Group, so long as he remains a director or substantial shareholder of our Group; and (c) in the event of any breach or threatened breach of his undertaking, Dato' Goh Cheh Yak undertakes to fully indemnify and hold harmless our Group from and against any and all losses, claims, damages, penalties, liabilities, costs and expenses incurred or suffered by reason of such breach;

- (e) **Kamol Watcharamanee:** Kamol Watcharamanee has been a passive shareholder and non-executive director since joining both Gintell (Thailand) and RNG TH. As at LPD, RNG TH is managed and operated by Ratthaphoom Thassaneeyavesh, Operation Manager and Gintell (Thailand) is managed and operated by Bordin Pinchim, Manager. As such, he does not participate in any business decisions in both entities; and
- (f) **Related party transactions:** The related party transactions in relation to the purchases of vending massage chairs and spare parts between Gintell (M), Gintell (Thailand) and our Group were conducted on arm's length basis and are based on competitive commercial terms not more favourable or detrimental to either of the parties. The pricing of the massage chairs and spare parts by Gintell (M) to our Group is benchmarked against the (i) selling price of similar products sold by Gintell (M) to other third party customers and; (ii) the purchase price of comparable models from external vendors' quotes. Further, our Group's related party transaction policies, overseen and decided by the management with input and guidance by our Group's independent tax adviser serves as a guide to ensure that its related party transactions specifically on the purchase of massage chairs and spare parts are transacted at arm's length. The management shall provide updates on the status of all related party transactions to the Audit and Risk Management Committee for our Board on a quarterly basis for disclosure purposes.

11. CONFLICT OF INTEREST (Cont'd)

In addition to the above, although our Group purchases vending massage chairs solely from the Interested Companies, there are no contractual exclusivity that binds our Group to continue purchasing exclusively from the Interested Companies. Hence, our Group retains the flexibility to source vending massage chairs from other retailers, if necessary, thereby maintaining competitive options and preventing reliance on a single supplier. There are similar products from open market which we can purchase from other suppliers from various channels. As such, we are not solely dependent on the Interested Companies. For information, our Group has already identified and established preliminary contact with alternative suppliers who are capable of providing similar types of massage chairs with comparable quality, features and pricing. However, our Group has yet to transact with such other alternative suppliers.

11.1.2 Entities which are carrying on a similar or related trade as our Group

In relation to the following foreign companies ("**Foreign Gintell Companies**"), our Group is of the view that there is no conflict of interest. Although the Foreign Gintell Companies share common directors and shareholders with our Group and have previously operated in the vending massage chair business, such operations have since been transferred to our Group and since then, the Foreign Gintell Companies are no longer carrying on a similar or related trade as our Group.

Name of company	Principal activities	Interested person/ Nature of interest
Gintell (B)	Retail trade, except for motor vehicles and motorcycles	Datin Tan Sok Fei/ Datin Tan Sok Fei is our Group's Promoter, Managing Director and shareholder. She is also a passive shareholder (5.0%) of Gintell (B) and does not participate in its daily management. Dato' Goh Cheh Yak/ Dato' Goh Cheh Yak is our Group's Promoter, Non-Independent Non-Executive Director and substantial shareholder. He is also the Managing Director and substantial shareholder (95.0%) of Gintell (B).
Gintell (S)	Retail sale of sports apparel and equipment	Dato' Goh Cheh Yak is our Group's Promoter, Non-Independent Non-Executive Director and substantial shareholder. He is also the Managing Director and the sole shareholder of Gintell (S). Chai Shiao Knee/ Chai Shiao Knee is a director of RNG SG and a non-executive director of Gintell (S). Upon the transfer of the vending massage chair business from Gintell (S) to RNG SG, she has not been involved in the business management of Gintell (S).

11. CONFLICT OF INTEREST (Cont'd)

Name of company	Principal activities	Interested person/ Nature of interest
Gintell (Cambodia)	Wholesale and retail sale of fitness equipment	Datin Tan Sok Fei/ Datin Tan Sok Fei is our Group's Promoter, Managing Director and shareholder. She is also a passive shareholder (1.0%) of Gintell (Cambodia) and does not participate in its daily management. Dato' Goh Cheh Yak/ Dato' Goh Cheh Yak is our Group's Promoter, Non-Independent Non-Executive Director and substantial shareholder. He is also the Managing Director and substantial shareholder (99.0%) of Gintell (Cambodia).
Gintell (Thailand)	Buying and selling electric massage chairs, foot massage equipment and all types of electric massage services	Datin Tan Sok Fei/ Datin Tan Sok Fei is our Group's Promoter, Managing Director and shareholder. She is also a passive shareholder (0.5%) and does not participate in the daily management of Gintell (Thailand). Dato' Goh Cheh Yak/ Dato' Goh Cheh Yak is our Group's Promoter, Non-Independent Non-Executive Director and substantial shareholder. He is also the Managing Director and substantial shareholder (48.5%) of Gintell (Thailand). Kamol Watcharamanee/ Kamol Watcharamanee is RNG TH's director and shareholder (51.0% effective equity interest). He is also the director and shareholder (51.0% effective equity interest) of Gintell (Thailand). He does not participate in the daily management of both RNG TH and Gintell (Thailand)

Following the transfer of the vending massage chair businesses from these Foreign Gintell Companies to our Group's subsidiaries, save for Gintell (Thailand), there have been no ongoing business transactions, supply arrangements, or financial dependencies between these companies and our Group. Save for Gintell (Thailand), the Foreign Gintell Companies did not supply vending massage chairs or related products to our Group. None of the Foreign Gintell Companies, including Gintell (Thailand) participate in our business operations post-transfer.

11. CONFLICT OF INTEREST (Cont'd)

Moving forward, the Audit and Risk Management Committee will supervise any actual or potential conflict of interest situations. In addition, in order to mitigate any possible conflict of interest situation, our Directors will declare to our Nomination Committee and our Board their interests in other companies at the onset and as and when there are changes in their respective interests in companies outside our Group. Our Nomination Committee will then first evaluate if such Director's involvement gives rise to an actual or potential conflict of interest with our Group's business after the disclosure provided by such Director. After a determination has been made on whether there is an actual or potential conflict of interest of a Director, our Nomination Committee will then:

- (a) immediately inform our Audit and Risk Management Committee and Board of the conflict of interest situation;
- (b) after deliberation with our Audit and Risk Management Committee, to make recommendations to our Board to direct the conflicted Director to:
 - (i) withdraw from all his executive involvement in our Group in relation to the matter that has given rise to the conflict of interest (in the case where the conflicted Director is an Executive Director); and
 - (ii) abstain from all Board deliberation and voting in the matter that has given rise to the conflict of interest.

In relation to (b)(ii) above, the conflicted Director and persons connected to him (if applicable) shall be absent from any Board discussion relating to the recommendation of our Nomination Committee and the conflicted Director and persons connected to him (if applicable) shall not vote or in any way attempt to influence the discussion of, or voting on, the matter at issue. The conflicted Director, may however at the request of the Chairman of our Board, be present at our Board meeting to answer any questions.

In circumstances where a Director is determined to have a significant, ongoing and irreconcilable conflict of interest with our Group, and where such conflict of interest significantly impedes the Director's ability to carry out his fiduciary responsibility to our Group, our Nomination Committee may determine that a resignation of the conflicted Director from our Board is appropriate and necessary.

Where there are related party transactions between our Group with our Directors (or person connected to them) or companies in which our Directors (or person connected to them) have an interest, our Audit and Risk Management Committee will, amongst others, supervise and monitor such related party transaction and the terms thereof and report to our Board for further action. Please refer to Section 10.1 for the procedures to be taken to ensure that related party transactions (if any) are undertaken on arm's length basis.

11.2 DECLARATIONS OF CONFLICT OF INTEREST BY OUR ADVISERS

- (a) M&A Securities has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Adviser, Sponsor, Placement Agent and Underwriter for our Listing;
- (b) Ong Eu Jin Partnership has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Solicitors for our Listing;

11. CONFLICT OF INTEREST (*Cont'd*)

- (c) Baker Tilly Monteiro Heng PLT has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as Auditors and Reporting Accountants for our Listing; and
- (d) SMITH ZANDER has given its written confirmation that, as at the date of this Prospectus, there is no existing or potential conflict of interest in its capacity as IMR for our Listing.

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12. FINANCIAL INFORMATION**12.1 HISTORICAL FINANCIAL INFORMATION**

Our Company was incorporated on 23 April 2024 to facilitate our Listing, and we completed the Acquisitions on 12 May 2026. RNG MY, RNG SG and RNG TH have been under the common control of Datin Tan Sok Fei and Dato' Goh Cheh Yak in FYE 2024 and, are regarded as continuing entities. As such, the historical financial information of our Group for FYE 2024 and FYE 2025 are presented based on the combined audited financial statements of RNG Tech (where RNG KH is a wholly-owned subsidiary), RNG MY, RNG SG and RNG TH; and for FYE 2022 and FYE 2023 was presented based on the audited financial statements of RNG MY only, whereas RNG KH and RNG BRN only commenced business in FYE 2025.

Our audited combined financial statements throughout FYE 2022 to 2025 have been prepared in accordance with MFRS and IFRS. The selected financial information included in this Prospectus is not intended to predict our Group's financial position, results and cash flows.

12.1.1 Combined statements of profit or loss and other comprehensive income

The following table sets out a summary of our audited combined statements of profit or loss and other comprehensive income for FYE 2022 to 2025, which have been extracted from the Accountants' Report as set out in Section 13. It should be read with the "Management's Discussion and Analysis of Results of Operations and Financial Condition", and Accountants' Report set out in Sections 12.2 and 13 respectively.

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Revenue	13,878	23,315	40,324	49,342
Cost of sales	(7,888)	(11,762)	(18,010)	(30,329)
GP	5,990	11,553	22,314	19,013
Other income	639	515	2,754	192
Marketing and distribution expenses	(428)	(533)	(798)	(1,529)
Administrative expenses	(2,990)	(2,280)	(5,094)	(7,140)
Other operating expenses	(31)	(49)	(139)	(616)
Operating profit	3,180	9,206	19,037	9,920
Finance costs	(1,140)	(1,283)	(1,387)	(1,582)
PBT	2,040	7,923	17,650	8,338
Income tax benefit/ (expense)	⁽¹⁾ 275	(585)	(3,132)	(2,338)
PAT	2,315	7,338	14,518	6,000
Other comprehensive income:				
Exchange differences on translation of foreign operations	-	-	(65)	(124)
Realisation on revaluation surplus ⁽²⁾	-	-	641	-
Other comprehensive income for the financial year	-	-	576	(124)
Total comprehensive income for the financial year	2,315	7,338	15,094	5,876
Profit attributable to:				
Owners of our Company	2,315	7,338	14,518	6,048
Non-controlling interests	-	-	-	(48)
	2,315	7,338	14,518	6,000

12. FINANCIAL INFORMATION (Cont'd)

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Total comprehensive income attributable to:				
Owners of our Company	2,315	7,338	15,094	5,923
Non-controlling interests	-	-	-	(47)
	2,315	7,338	15,094	5,876
EBIT ⁽³⁾	3,179	9,206	19,030	9,903
EBITDA ⁽³⁾	5,374	12,162	24,148	20,327
GP margin (%) ⁽⁴⁾	43.2	49.6	55.3	38.5
PBT margin (%) ⁽⁵⁾	14.7	34.0	43.8	16.9
PAT margin (%) ⁽⁵⁾	16.7	31.5	36.0	12.3
Basic EPS (sen) ⁽⁶⁾	0.35	1.11	2.19	0.91
Diluted EPS (sen) ⁽⁷⁾	0.29	0.93	1.84	0.77

Notes:

- (1) Our Group was in a tax benefit position for FYE 2022, mainly due to the deferred tax arising from temporary differences.
- (2) Arises from the revaluation surplus of properties for our Group's head office and cum showroom. The revaluation was performed in 2024.

For clarity, the abovementioned valuation of said property was prepared in accordance with the Malaysian Valuation Standards and not Asset Valuation Guidelines issued by the SC as the valuation was conducted in accordance with MFRS 116 Property, Plant and Equipment ("MFRS 116").

- (3) EBIT and EBITDA are calculated as follows:

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
PAT	2,315	7,338	14,518	6,000
Less:				
Interest income	(1)	(8)-	(7)	(17)
Add:				
Finance costs	1,140	1,283	1,387	1,582
Income tax (benefit)/ expense	(275)	585	3,132	2,338
EBIT	3,179	9,206	19,030	9,903
Add:				
Depreciation	2,195	2,956	5,118	10,424
EBITDA	5,374	12,162	24,148	20,327

- (4) Calculated based on GP divided by revenue.
- (5) Calculated based on PBT or PAT attributable to owners of our Company divided by revenue.
- (6) Calculated based on PAT attributable to owners of our Company over share capital of 661,920,000 Shares before IPO.
- (7) Calculated based on PAT attributable to owners of our Company over enlarged share capital of 788,000,000 Shares after IPO.
- (8) Represents less than RM1,000.

12. FINANCIAL INFORMATION (Cont'd)**12.1.2 Combined statements of financial position**

The following table sets out the combined statements of financial position of our Group as at 31 December 2022, 2023, 2024 and 2025 which have been extracted from the Accountants' Report. It should be read with the "Management's Discussion and Analysis of Results of Operations and Financial Condition" and Accountant's Report set out in Sections 12.2 and 13 respectively.

	Audited			
	As at 31 December			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
ASSETS				
Non-current assets				
Property, plant and equipment ⁽¹⁾	28,187	28,685	27,265	34,301
Right-of-use assets	1,640	4,655	9,546	12,920
Investment in a subsidiary ⁽²⁾	645	-	-	-
Total non-current assets	30,472	33,340	36,811	47,221
Current assets				
Inventories	228	37	457	205
Trade receivables	47	6	1,028	766
Other receivables ⁽³⁾	6,408	2,127	15,053	13,956
Contract assets	-	-	837	1,842
Current tax assets	71	3	-	-
Cash and short-term deposits	794	947	3,289	3,519
	7,548	3,120	20,664	20,288
Assets of a disposal group classified as held for sale ⁽²⁾	-	645	-	-
Total current assets	7,548	3,765	20,664	20,288
TOTAL ASSETS	38,020	37,105	57,475	67,509
EQUITY AND LIABILITIES				
Equity attributable to owners of our Company				
Share capital	500	500	3,258	3,514
Revaluation reserves ⁽⁴⁾	5,092	5,069	3,071	3,058
Exchange reserve	-	-	(65)	(190)
Retained earnings	1,468	829	⁽⁵⁾ 17,986	⁽⁶⁾ 24,047
	7,060	6,398	24,250	30,429
Non-controlling interests	-	-	-	(47)
TOTAL EQUITY	7,060	6,398	24,250	30,382
Non-current liabilities				
Loans and borrowings	13,334	12,597	15,475	16,944
Deferred tax liabilities	129	100	329	258
Total non-current liabilities	13,463	12,697	15,804	17,202
Current liabilities				
Loans and borrowings	6,228	7,564	9,929	13,335
Trade payables	2,532	1,714	720	1,438
Other payables	7,943	7,833	5,271	2,767
Contract liabilities	794	899	1,056	1,623
Current tax liabilities	-	-	445	762
Total current liabilities	17,497	18,010	17,421	19,925

12. FINANCIAL INFORMATION (Cont'd)

	Audited			
	As at 31 December			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
TOTAL LIABILITIES	30,960	30,707	33,225	37,127
TOTAL EQUITY AND LIABILITIES	38,020	37,105	57,475	67,509

Notes:

- (1) The breakdown of property, plant and equipment (at net book value) are as follows:

	Audited			
	As at 31 December			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Freehold buildings	2,577	2,519	1,059	1,037
Freehold lands	22,900	22,900	13,774	13,774
Furniture and fittings	223	54	306	2,139
Office equipment	15	9	47	49
Computer and software	241	94	198	349
Signboard	1	1	38	30
Renovation	233	112	63	545
Vending massage chairs	1,997	2,968	11,754	16,356
Terminal machine	-	28	26	22
	28,187	28,685	27,265	34,301

- (2) Being Gintell Philippines, Inc. In FYE 2022, Gintell Philippines, Inc. was a 99.9%-owned subsidiary of our Group. In FYE 2023, the investment in this subsidiary has been presented as held for sale following our Group's intention to sell the subsidiary. The transaction is deemed completed in FYE 2024 upon execution of the deed of assignment for the transfer of shares in Gintell Philippines, Inc. to Gintell (M), as set out in Section 6.5(b). For information, Gintell Philippines, Inc. is involved in the import of healthcare equipment and secondary fitness equipment and operate as a wholesaler of healthcare and fitness products.

- (3) The breakdown of other receivables are as follows:

	Audited			
	As at 31 December			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Other receivables	329	107	174	144
Advances	-	-	151	224
Deposits	1,574	1,358	2,768	6,785
Prepayments	38	154	1,105	6,316
Amount owing by related parties	4,467	508	10,855	-
VAT	-	-	-	487
	6,408	2,127	15,053	13,956

12. FINANCIAL INFORMATION (Cont'd)

The decrease in other receivables as at 31 December 2023 was primarily due to the collections received from 2 related parties, namely Sovotel Malaysia Sdn Bhd and Gintell Properties Sdn Bhd, in relation to the advances provided to these related parties in prior years for working capital purposes. The increase in other receivables as at 31 December 2024 was primarily due to the amount receivable of RM10.1 million from a related party, namely Gintell (M), in relation to the disposal of our Group's freehold land and building, located at 9 Jalan KIP3, Taman Perindustrian KIP, 52200 Kuala Lumpur. The full settlement of the amount owing by related parties in FYE 2025 has contributed to lower other receivables as at 31 December 2025.

In addition, the deposits mainly comprise security deposits paid to landlords in relation to rental for our RNG stations and RNG premium outlets. Our prepayments mainly comprise maintenance fees incurred for our computer system and professional fees incurred for our Listing as at 31 December 2022 and 31 December 2023 respectively. As at 31 December 2024 and 31 December 2025, our prepayments mainly comprise prepaid insurance for the life insurance policy under the name of a director as security for banking facility and prepaid rental to landlords in relation to rental for our RNG stations and RNG premium outlets.

- (4) The revaluation reserves for FYE 2022 and 2023 relates to our Group's head office and storage cum showroom located at 27, Jalan Persiaran Industri, Bandar Sri Damansara, 52200 Kuala Lumpur of RM2.4 million and the disposed freehold land and building located at 9, Jalan KIP 3, Taman Perindustrian KIP, 52200 Kuala Lumpur of RM2.6 million. For FYE 2024 and 2025, the revaluation reserve of RM3.1 million relates to our Group's head office and storage cum showroom, following the disposal of said freehold land and building. The appreciation in the revaluation value for our Group's head office and storage cum showroom was primarily attributable to higher market values of comparable properties in the surrounding area as compared to the carrying amount recorded in the accounts.
- (5) The significant increase in the retained earnings for FYE 2024 was due to PAT recorded for FYE 2024 of RM14.5 million and the realisation of revaluation reserve of RM2.6 million, arising from the disposal of our Group's freehold land and building, located at 9, Jalan KIP 3, Taman Perindustrian KIP, 52200 Kuala Lumpur to Gintell (M).
- (6) The increase in the retained earnings for FYE 2025 was due to PAT recorded in FYE 2025 of RM6.0 million.

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12. FINANCIAL INFORMATION (Cont'd)**12.1.3 Combined statements of cash flows**

The following table sets out the combined statements of cash flows of our Group for FYE 2022 to 2025 which has been extracted from the Accountants' Report. It should be read with the "Management's Discussion and Analysis Results of Operations and Financial Conditions" and Accountant's Report set out in Sections 12.2 and 13 respectively.

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Cash flows from operating activities				
PBT	2,040	7,923	17,650	8,338
Adjustments for:				
Depreciation of property, plant and equipment	1,611	1,594	1,966	3,932
Depreciation of right-of-use assets	584	1,362	3,152	6,492
Finance costs	1,140	1,283	1,387	1,582
Interest income	(1)	(2)	(7)	(17)
Net unrealised (gain)/ loss on foreign exchange	(84)	1	(10)	357
Gain on disposal of property, plant and equipment	(301)	(212)	(2,456)	(32)
(Gain)/ loss on lease modification	-	(1)	15	64
Gain on lease termination	-	-	(3)	(33)
Gain on deemed disposal of a subsidiary ⁽¹⁾	-	-	(62)	-
Loss on written off of property, plant and equipment	-	7	-	3
Inventories written off	29	-	-	-
Waiver of debts	-	-	(62)	(43)
Provision of forfeited deposit	547	-	-	-
Reversal of provision on forfeited deposit	-	(180)	-	-
Reversal of provision on slow-moving stocks	-	-	(29)	-
Operating profit before changes in working capital	5,565	11,777	21,541	20,643
Changes in working capital:				
Inventories	(140)	191	(391)	252
Contract assets and liabilities	141	105	(680)	(425)
Trade and other receivables	86	358	(3,079)	(10,057)
Trade and other payables	241	(616)	211	515
Net cash generated from operations	5,893	11,815	17,602	10,928
Income tax paid	(4)	(547)	(2,507)	(2,096)
Interests paid	(16)	(13)	(11)	(1)
Interests received	1	(2)	7	17
Net cash from operating activities	5,874	11,255	15,091	8,848
Cash flows from investing activities				
Purchase of property, plant and equipment	(1,807)	(2,111)	(11,096)	(11,225)
Proceeds from disposal of property, plant and equipment	279	223	3,598	280

12. FINANCIAL INFORMATION (Cont'd)

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Dividend received	1,760	-	-	-
Net cash from/ (used in) investing activities	232	(1,888)	(7,498)	(10,945)
Cash flows from financing activities				
Proceeds from issuance of ordinary shares	-	-	685	256
Drawdown of term loans	6,300	-	2,839	3,734
Repayment of term loans	(7,696)	(2,668)	(3,117)	(6,199)
Repayment of lease liabilities	(534)	(1,246)	(2,955)	(6,368)
Drawdown of revolving credit	9,000	9,000	9,000	16,000
Repayment of revolving credit	(9,000)	(9,000)	(10,800)	(12,200)
Drawdown of bankers' acceptance	-	-	-	2,637
Repayment of bankers' acceptance	-	-	-	(2,637)
Net change in amount owing to/ (by) related parties	(1,455)	(3,407)	1,170	9,279
Net change in amount owing to/ (by) directors	(1,315)	335	(299)	(574)
Interests paid	(1,124)	(1,270)	(1,374)	(1,581)
Dividends paid	-	(1,100)	-	-
Net cash (used in)/ from financing activities	(5,824)	(9,356)	(4,851)	2,347
Net increase in cash and cash equivalents	282	11	2,742	250
Cash and cash equivalents at the beginning of the financial year	296	561	577	3,289
Effect of exchange rate changes on cash and bank balances	(17)	5	(30)	(20)
Cash and cash equivalents at the end of the financial year⁽³⁾	561	577	3,289	3,519

Notes:

- (1) Arising from the disposal of Gintell Philippines, Inc., which was deemed completed in FYE 2024 upon execution of the deed of assignment.
- (2) Represents less than RM1,000.
- (3) Cash and cash equivalents comprise the following:

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Cash-in-transit	290	275	219	84
Cash-in-hand	11	10	33	42
Cash at banks	493	662	3,037	3,393
	794	947	3,289	3,519
Less: Bank overdraft	(233)	(370)	-	-
	561	577	3,289	3,519

12. FINANCIAL INFORMATION (Cont'd)**12.2 MANAGEMENT'S DISCUSSION AND ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION**

The following discussion and segmental analysis of our combined financial information for FYE 2022 to 2025 should be read with the Accountants' Report included in Section 13.

12.2.1 Overview of our operations**(a) Principal activities**

Our Group is principally involved in the following:

- (i) provision of vending massage services which features automated, self-service massage chairs, offering on-the-go massage services at locations with high-traffic waiting areas focusing on shopping malls, airports, and highway rest stops;
- (ii) provision of vending massage chair rental plans that allow our corporate customers to rent our vending massage chairs and place the chairs at their preferred locations; and
- (iii) licensing of vending massage services business where we offer licensing opportunities for potential licensees through a royalty agreement, granting them licence to use our "Rest N Go" trademark in their territory, as well as the right to establish and operate RNG stations and RNG premium outlets under the capacity of a licensee.

Please refer to Section 7 for our Group's detailed business overview.

(b) Revenue

Our revenue comprises the:

- (i) collections from the usage of our vending massage chairs for the provision of vending massage services;
- (ii) rental income from the provision of vending massage chair rental plans; and
- (iii) royalty income from the licensing of vending massage services business.

Revenue from services rendered is recognised upon services rendered. Revenue from royalties is recognised over time as the customer receives and uses the benefit simultaneously. In terms of our royalty income, the licensees are charged a royalty fee to be paid on a quarter basis, equivalent to 11%-15% of the total sales (excluding value-added tax). We propose pricing for licensees to support brand alignment, which licensees may adopt at their discretion. Further details of our Group's service models are set out in Section 7.2.3. For the rental of our vending massage chairs, we rent our vending massage chairs to our corporate customers. However, as we assess and approve the pricing proposed by our corporate customers, our rental is not dependent on the sales generated by the corporate customers. Further details of our Group's service models are set out in Section 7.2.2.

(c) Cost of sales

Our cost of sales comprises direct operating costs, staff-related costs, depreciation expenses and purchases of spare parts.

12. FINANCIAL INFORMATION (Cont'd)**(d) Other income**

Other income comprises mainly gain on disposal of property, plant and equipment, insurance compensation, waiver of debts, gain on deemed disposal of a subsidiary, reversal of provision on forfeited deposit, net unrealised and realised gain on foreign exchange, wages subsidy, gain on lease termination, tender deposit refund and interest income.

(e) Marketing and distribution expenses

Marketing and distribution expenses comprise mainly staff-related costs, travelling expenses and advertisement expenses.

(f) Administrative expenses

Administrative expenses comprise mainly staff-related costs, depreciation of property, plant and equipment, provision for forfeited deposit, directors' remuneration, utilities, upkeep expenses, professional fees, cash loss during transit, real properties gain tax and insurance expenses.

(g) Other operating expenses

Other operating expenses comprise net realised and unrealised loss on foreign exchange, bank charges and commitment fee.

(h) Finance costs

Finance costs comprise interest expenses on term loans, lease liabilities, bank overdrafts and revolving credits.

(i) Recent developments

Save for the Acquisitions as disclosed in Section 6.2, there were no other significant events subsequent to our audited combined financial statements for FYE 2022 to 2025.

(j) Exceptional and extraordinary items and audit qualifications

There were no exceptional or extraordinary items during FYE 2022 to 2025. In addition, our audited combined financial statements for the financial years under review were not subject to any audit qualifications.

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12. FINANCIAL INFORMATION (Cont'd)**12.2.2 Review of our results of operations****(a) Revenue****Analysis of revenue by service models**

Revenue by service model	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Vending massage services ⁽¹⁾	13,783	99.3	23,172	99.4	36,848	91.4	46,159	93.5
Vending massage chair rental plans	95	0.7	143	0.6	113	0.3	77	0.2
Licensing of vending massage services	-	-	-	-	3,363	8.3	3,106	6.3
	13,878	100.0	23,315	100.0	40,324	100.0	49,342	100.0

Note:

- (1) The revenue breakdown of the vending massage services segment by general location categories is as follows:

General location category	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
RNG stations								
Transport, transit and travel-related locations ⁽¹⁾	5,134	37.3	9,380	40.5	12,260	33.2	14,833	32.1
Retail-based and leisure locations ⁽²⁾	8,294	60.2	13,128	56.7	23,158	62.9	28,270	61.2
Others ⁽³⁾	224	1.5	299	1.3	513	1.4	1,181	2.6
	13,652	99.0	22,807	98.5	35,931	97.5	44,284	95.9
RNG premium outlets								
Transport, transit and travel-related locations ⁽¹⁾	131	1.0	362	1.5	733	2.0	810	1.8
Retail-based and leisure locations ⁽²⁾	-	-	3	<0.1	184	0.5	1,065	2.3
	131	1.0	365	1.5	917	2.5	1,875	4.1
Total								
Transport, transit and travel-related locations ⁽¹⁾	5,265	38.3	9,742	42.0	12,993	35.2	15,643	33.9
Retail-based and leisure locations ⁽²⁾	8,294	60.2	13,131	56.7	23,342	63.4	29,335	63.5
Others ⁽³⁾	224	1.5	299	1.3	513	1.4	1,181	2.6
	13,783	100.0	23,172	100.0	36,848	100.0	46,159	100.0

12. FINANCIAL INFORMATION (Cont'd)**Notes:**

- (1) Transport, transit and travel-related locations comprise airports, bus/ train terminals and highway rest stops.
- (2) Retail-based & leisure locations comprise shopping malls and recreational facilities. Recreational facilities include, among others, cinemas, indoor playgrounds, sports clubs, clubhouses, bowling alleys and amusement parks.
- (3) Includes government service departments, office buildings, food and beverage establishments, hospitals and clinics, mosques, car service centres, car showrooms, community halls, exhibition centres, condominiums, hotels and self-service laundromats.

Analysis of revenue by geographical market

Revenue by geographical market	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Malaysia	13,878	100.0	23,315	100.0	31,024	76.9	34,923	70.8
- Central region ⁽¹⁾	5,250	37.8	9,540	40.9	13,319	33.0	15,664	31.8
- Northern region ⁽²⁾	2,371	17.1	3,791	16.3	5,379	13.3	6,661	13.5
- Southern region ⁽³⁾	2,413	17.4	3,902	16.7	4,998	12.4	5,300	10.7
- Eastern region ⁽⁴⁾	845	6.1	1,223	5.2	1,520	3.8	1,597	3.2
- East Malaysia ⁽⁵⁾	2,999	21.6	4,859	20.9	5,808	14.4	5,701	11.6
Singapore	-	-	-	-	5,937	14.7	7,653	15.6
The Philippines⁽⁶⁾	-	-	-	-	2,653	6.6	2,689	5.4
Thailand	-	-	-	-	-	-	2,682	5.4
Cambodia	-	-	-	-	-	-	801	1.6
Vietnam⁽⁶⁾	-	-	-	-	710	1.8	417	0.8
Brunei	-	-	-	-	-	-	177	0.4
Darussalam								
	13,878	100.0	23,315	100.0	40,324	100.0	49,342	100.0

Notes:

- (1) Comprises the state of Selangor and the federal territories of Kuala Lumpur and Putrajaya.
- (2) Comprises the state of Kedah, Penang, Perak and Perlis.
- (3) Comprises the state of Johor, Melaka and Negeri Sembilan.
- (4) Comprises the state of Kelantan, Pahang and Terengganu.
- (5) Comprises the state of Sabah and Sarawak.
- (6) Being royalty income received from our Group's licensing of vending massage services segment.

12. FINANCIAL INFORMATION (Cont'd)**Comparison between FYE 2022 and FYE 2023**

Our revenue increased by RM9.4 million or 67.6% to RM23.3 million in FYE 2023 (FYE 2022: RM13.9 million). This was mainly contributed by the higher revenue recorded from the vending massage services segment. We recorded higher revenue for all geographical regions during FYE 2023 as we continued to expand our network of vending massage chairs in the respective regions. The increase was mainly supported by the demand for our vending massage chairs services and rental plans, which was influenced by various factors such as high visitor traffic flow, convenient accessibility to our massage chairs, and changing urban lifestyle trends. In addition, our revenue was also impacted by the pricing/ range of pricing across different types of locations such as airports and shopping malls as well as differences across geographical locations, details of which are set out in Section 7.2.2(a) and (b).

Our revenue generated from central region was higher compared to other regions, as our Group placed a higher number of vending massage chairs and charged higher pricing in the central region. The monthly average number of vending massage chairs in central region increased to 764 vending massage chairs in FYE 2023 (FYE 2022: 654 vending massage chairs).

In addition to these factors, we have based on insights from MRS usage analysis to upgrade our RNG stations and chair models, which enhanced user experience and allowed for higher service pricing, as well as a steady increase in public usage from the end of FYE 2022 onwards following market recovery from the COVID-19 pandemic.

Vending massage services

The vending massage services segment recorded an increase in revenue of RM9.4 million or 68.1% to RM23.2 million in FYE 2023 (FYE 2022: RM13.8 million). During FYE 2023, we recorded an increase in revenue across all geographical regions, mainly due to the expansion of our network of vending massage chairs. The monthly average number of chairs across Malaysia increased to 2,410 chairs in FYE 2023 (FYE 2022: 2,129 chairs), with the increase largely attributed to a higher monthly average number of chairs placed in shopping malls which increased to 1,386 chairs in FYE 2023 (FYE 2022: 1,224 chairs) and in airports which increased to 610 chairs in FYE 2023 (FYE 2022: 557 chairs).

Vending massage chair rental plans

The vending massage chair rental plans segment recorded an increase in revenue of RM48,000 or 50.5% to RM143,000 in FYE 2023 (FYE 2022: RM95,000), mainly due to additional rental of vending massage chairs placed in locations designated by our Group's corporate clients during FYE 2023.

Comparison between FYE 2023 and FYE 2024

Our revenue increased by RM17.0 million or 73.0%, to RM40.3 million in FYE 2024 (FYE 2023: RM23.3 million). This was mainly contributed by the higher revenue recorded from the vending massage services segment, driven by the expansion of our network of vending massage chairs across Malaysia and the commencement of vending massage services in Singapore by RNG SG effective on 1 April 2024 arising from the transfer of vending massage services business operations from Gintell (S).

12. FINANCIAL INFORMATION (Cont'd)

The increase was mainly supported by the demand for our vending massage chairs services and rental plans, which was influenced by various factors such as high visitor traffic flow, convenient accessibility to our massage chairs, and changing urban lifestyle trends. In addition, our revenue was also impacted by the pricing/ range of pricing across different types of locations such as airports and shopping malls as well as differences across geographical locations, details of which are set out in Section 7.2.2(a) and (b).

Our revenue generated from central region was higher as compared to other regions, as our Group placed a higher number of vending massage chairs and charged higher pricing in the central region. The monthly average number of vending massage chairs in central region increased to 962 vending massage chairs in FYE 2024 (FYE 2023: 764 vending massage chairs).

In addition to these factors, we used insights from MRS usage analysis to upgrade our RNG stations and chair models, which enhanced user experience and allowed for higher service pricing.

During FYE 2024, we also commenced our licensing of vending massage services business, which contributed a royalty income of RM3.4 million to our total revenue in FYE 2024 (FYE 2023: Nil).

Vending massage services

The vending massage services segment recorded an increase in revenue of RM13.6 million or 58.6% to RM36.8 million in FYE 2024 (FYE 2023: RM23.2 million). During FYE 2024, we recorded an increase in revenue across all geographical regions in Malaysia. This was mainly due to the expansion of our network of vending massage chairs, where the monthly average number of chairs across Malaysia increased to 2,742 chairs in FYE 2024 (FYE 2023: 2,410 chairs). Such increase was primarily contributed by the higher monthly average number of chairs placed in shopping malls which increased to 1,641 chairs in FYE 2024 (FYE 2023: 1,386 chairs) and in airports which increased to 634 chairs in FYE 2024 (FYE 2023: 610 chairs).

Additionally, during FYE 2024, we commenced our vending massage services in Singapore as mentioned above, further contributing to the increase in revenue for this segment. Revenue generated from Singapore amounted to RM5.9 million in FYE 2024 (FYE 2023: Nil).

Vending massage chair rental plans

The vending massage chair rental plans segment recorded a decrease in revenue of RM30,000 or 21.0% to RM113,000 in FYE 2024 (FYE 2023: RM143,000) following the expiration of rental contracts for vending massage chairs placed in locations designated by our Group's corporate customers.

Licensing of vending massage services

The licensing of vending massage services recorded a revenue of RM3.4 million in FYE 2024 (FYE 2023: Nil), due to the royalty income of RM2.7 million and RM0.7 million received from Odyssey World and Health Land Viet Nam respectively.

12. FINANCIAL INFORMATION (Cont'd)**Comparison between FYE 2024 and FYE 2025**

Our Group's revenue increased by RM9.0 million or 22.3%, to RM49.3 million in FYE 2025 (FYE 2024: RM40.3 million). This was mainly contributed by the higher revenue recorded from the vending massage services segment as we continue to expand our network of vending massage chairs across Malaysia and Singapore. As such, we recorded higher revenue for all geographical regions within Malaysia and Singapore during FYE 2025.

During FYE 2025, we also expanded our market presence to Thailand, Cambodia, and Brunei Darussalam through the transfer of vending massage services business operations of Gintell (Thailand), Gintell (Cambodia), and Gintell (B) to RNG TH, RNG KH, and RNG BRN, effective on 1 January 2025, 1 February 2025, and 1 February 2025, respectively. The revenue contributions from Thailand, Cambodia, and Brunei Darussalam in FYE 2025 collectively amounted to RM3.7 million (FYE 2024: Nil).

The increase in revenue was mainly supported by the demand for our vending massage chairs services, which was influenced by various factors such as high visitor traffic flow, convenient accessibility to our massage chairs, and changing urban lifestyle trends. In addition, our revenue was also impacted by changes in pricing/ range of pricing across different types of locations, such as airports and shopping malls, as well as differences across geographical locations, details of which are set out in Sections 7.2.2(a) and 7.2.2(b).

Our revenue generated from the central region was higher than from other regions, as our Group placed a higher number of vending massage chairs and charged higher pricing in the central region. The monthly average number of vending massage chairs in central region increased to 1,295 vending massage chairs in FYE 2025 (FYE 2024: 962 vending massage chairs).

In addition to these factors, we have based on insights from the MRS usage analysis to upgrade our RNG stations and chair models, which enhanced user experience and allowed for higher service pricing.

Vending massage services

The vending massage services segment recorded an increase in revenue of RM9.4 million or 25.5% to RM46.2 million in FYE 2025 (FYE 2024: RM36.8 million). During FYE 2025, we recorded an increase in revenue across all geographical regions in Malaysia. This was mainly due to the expansion of our network of vending massage chairs, with the monthly average number of chairs across Malaysia increased to 3,105 chairs in FYE 2025 (FYE 2024: 2,742 chairs). Such increase was primarily attributed by the higher monthly average number of chairs placed in shopping malls which increased to 1,866 chairs in FYE 2025 (FYE 2024: 1,641 chairs) and in bus/ train terminals which increased to 178 chairs in FYE 2025 (FYE 2024: 72 chairs).

We also recorded an increase in revenue in Singapore following the commencement of vending massage services in Singapore by RNG SG effective on 1 April 2024 arising from the transfer of vending massage services business operations from Gintell (S). As such, revenue from Singapore increased to RM7.7 million in FYE 2025 (FYE 2024: RM5.9 million) mainly due to 12 months revenue recognition as compared to 9 months in FYE 2024.

12. FINANCIAL INFORMATION (Cont'd)

During FYE 2025, we also expanded our market presence to Thailand, Cambodia, and Brunei Darussalam through the transfer of vending massage services business operations of Gintell (Thailand), Gintell (Cambodia), and Gintell (B) to RNG TH, RNG KH, and RNG BRN, effective on 1 January 2025, 1 February 2025, and 1 February 2025, respectively. The revenue contribution from Thailand, Cambodia, and Brunei Darussalam in FYE 2025 collectively amounted to RM3.7 million (FYE 2024: Nil).

Vending massage chair rental plans

The vending massage chair rental plans segment recorded a decrease in revenue of RM36,000 or 31.9% to RM77,000 in FYE 2025 (FYE 2024: RM113,000) following the expiration of rental contracts for vending massage chairs placed in locations designated by our Group's corporate customers.

Licensing of vending massage services

The revenue from the licensing of vending massage services segment, derived from royalty income received from Odyssey World and Health Land Viet Nam, remained relatively consistent at RM3.1 million in FYE 2025 (FYE 2024: RM3.4 million).

(b) Cost of sales, GP and GP margin**Analysis of cost of sales by cost components**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Direct operating costs ⁽¹⁾	3,643	46.2	5,002	42.6	7,859	43.6	12,841	42.3
Staff-related costs ⁽²⁾	2,154	27.3	3,177	27.0	3,854	21.4	6,206	20.5
Depreciation expenses ⁽³⁾	1,506	19.1	2,535	21.5	4,944	27.5	10,218	33.7
Upkeep expenses ⁽⁴⁾	259	3.3	203	1.7	773	4.3	768	2.5
Spare parts ⁽⁵⁾	326	4.1	845	7.2	580	3.2	296	1.0
	7,888	100.0	11,762	100.0	18,010	100.0	30,329	100.0

Notes:

- (1) Comprises mainly rental expenses (including collection sharing with landlords), utilities, and computer and software.
- (2) Comprise salaries, statutory contributions, incentives, and allowances for the technicians and employees from the operations and warehousing departments.
- (3) Comprises depreciation of property, plant and equipment and right-of-use assets.
- (4) Comprises upkeep expenses for RNG stations/ RNG premium outlets.
- (5) Comprises spare parts for the vending massage chairs.

12. FINANCIAL INFORMATION (Cont'd)**Analysis of maintenance costs over revenue**

	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Staff-related costs ⁽¹⁾	196	226	301	350
Upkeep expenses	259	203	773	768
Spare parts	326	845	580	296
Total maintenance costs	781	1,274	1,654	1,414
Revenue ⁽²⁾	13,878	23,315	36,961	46,236
Total maintenance costs over revenue (%)	5.6	5.5	4.5	3.1

Notes:

- (1) Comprise salaries, statutory contributions, incentives, and allowances for the technicians from the operations department.
- (2) Revenue from vending massage services and vending massage chair rental plans segment.

Analysis of cost of sales by service models

Service models	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Vending massage services	7,887	100.0	11,761	100.0	18,009	100.0	30,328	100.0
Vending massage chair rental plans	1	(1)-	1	(1)-	1	(1)-	1	(1)-
Licensing of vending massage services ⁽²⁾	-	-	-	-	-	-	-	-
	7,888	100.0	11,762	100.0	18,010	100.0	30,329	100.0

Notes:

- (1) Represents less than 0.1%.
- (2) No costs were incurred for the licensing of vending massage services segment as the administrative oversight associated with the licensing of vending massage services is minimal and are accounted for under administrative expenses, rather than being strategically allocated to cost of sales.

12. FINANCIAL INFORMATION (Cont'd)**Analysis of GP and GP margin by service models**

Service models	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	GP margin (%)	RM'000	GP margin (%)	RM'000	GP margin (%)	RM'000	GP margin (%)
Vending massage services	5,896	42.8	11,411	49.2	18,839	51.1	15,831	34.3
Vending massage chair rental plans ⁽¹⁾	94	98.9	142	99.3	112	99.1	76	98.7
Licensing of vending massage services	-	-	-	-	3,363	100.0	3,106	100.0
	5,990	43.2	11,553	49.6	22,314	55.3	19,013	38.5

Note:

- (1) The cost of sales for the vending massage chair rental plan segment for FYE 2022 to 2025 comprises mainly transportation costs incurred for delivering vending massage chairs to locations selected by our customers. There were no depreciation expenses recorded under this segment as the vending massage chairs deployed were previously utilised under our vending massage services segment for more than 5 years and have been fully depreciated in prior years. As a result, this segment recorded a comparatively higher GP margin.

Comparison between FYE 2022 and FYE 2023

Our total cost of sales increased by RM3.9 million or 49.4% to RM11.8 million in FYE 2023 (FYE 2022: RM7.9 million), which was lower than our revenue growth rate of 67.6% in FYE 2023. As such, our GP increased by RM5.6 million or 93.3% to RM11.6 million in FYE 2023 (FYE 2022: RM6.0 million), and our overall GP margin increased to 49.6% in FYE 2023 (FYE 2022: 43.2%).

The increase in cost of sales was primarily due to the increase in direct operating costs, staff-related costs and depreciation expenses, which collectively increased to RM10.9 million in FYE 2023 (FYE 2022: RM7.6 million). Such increase mainly resulted from the expansion of our network of RNG stations during FYE 2023 as well as the increase in collection sharing with our landlords due to higher revenue generated during FYE 2023.

Our overall GP margin increased to 49.6% in FYE 2023 (FYE 2022: 43.2%), mainly resulted from the higher GP margin recorded for our vending massage service segment.

12. FINANCIAL INFORMATION (Cont'd)***Vending massage services***

Our cost of sales for the vending massage services segment increased by RM3.9 million or 49.4% to RM11.8 million in FYE 2023 (FYE 2022: RM7.9 million), which was in tandem with the increase in revenue in FYE 2023. However, the increase was lower than our revenue growth rate of 68.1% in FYE 2023. This was attributable to our cost of sales such as depreciation expenses, rental expenses (excluding the collection sharing rentals), and staff-related costs which are relatively fixed in nature. As such, the GP for this segment increased by RM5.5 million or 93.2% to RM11.4 million in FYE 2023 (FYE 2022: RM5.9 million).

Correspondingly, the GP margin increased to 49.2% in FYE 2023 (FYE 2022: 42.8%). The improved GP margin is also attributable to the expansion of our network of vending massage services across Malaysia, coupled with the lower rate of increase in cost of sales for FYE 2023 as certain cost of sales are relatively fixed in nature as explained above.

Vending massage chair rental plans

Our cost of sales for the vending massage chair rental plans segment remained at RM1,000 in FYE 2023 (FYE 2022: RM1,000) as the expenses incurred for this segment in FYE 2023 primarily consist of transportation costs incurred for delivering the vending massage chairs to locations selected by our customers.

The GP for the vending massage chair rental plans segment recorded an increase of RM48,000 or 51.1% to RM142,000 in FYE 2023 (FYE 2022: RM94,000), and the GP margin remained consistent at 99.3% in FYE 2023 (FYE 2022: 98.9%).

Comparison between FYE 2023 and FYE 2024

Our total cost of sales increased by RM6.2 million or 52.5%, to RM18.0 million in FYE 2024 (FYE 2023: RM11.8 million), which was lower than our revenue growth rate of 73.0% in FYE 2024. As such, our GP increased by RM10.7 million or 92.2% to RM22.3 million in FYE 2024 (FYE 2023: RM11.6 million), and our overall GP margin increased to 55.3% in FYE 2024 (FYE 2023: 49.6%).

The increase in cost of sales was primarily due to the increase in direct operating costs and depreciation expenses, which collectively increased to RM13.6 million in FYE 2024 (FYE 2023: RM7.7 million), mainly attributable to the expansion of our RNG stations during FYE 2024.

Our overall GP margin increased to 55.3% in FYE 2024 (FYE 2023: 49.6%), mainly contributed by the commencement of the licensing of vending massage services during FYE 2024 which yielded a GP margin of 100.0% as no direct costs were allocated to this segment. The administrative oversight associated with the licensing of vending massage services is minimal and are accounted for under administrative expenses, rather than being strategically allocated to cost of sales.

Vending massage services

Our cost of sales for the vending massage services segment increased by RM6.2 million or 52.5%, to RM18.0 million in FYE 2024 (FYE 2023: RM11.8 million), which was in tandem with the increase in revenue in FYE 2024. As such, the GP for this segment increased by RM7.4 million or 64.9%, to RM18.8 million in FYE 2024 (FYE 2023: RM11.4 million) and the GP margin remained relatively consistent at 51.1% in FYE 2024 (FYE 2023: 49.2%).

12. FINANCIAL INFORMATION (Cont'd)***Vending massage chair rental plans***

Our cost of sales for the vending massage chair rental plans segment remained at RM1,000 in FYE 2024 (FYE 2023: RM1,000), as the expenses for this segment in FYE 2024 primarily consist of transportation costs incurred for delivering the vending massage chairs to locations selected by our customers.

The GP for the vending massage chair rental plans segment recorded a decrease of RM30,000 or 21.1%, to RM112,000 in FYE 2024 (FYE 2023: RM142,000), and the GP margin remained consistent at 99.1% in FYE 2024 (FYE 2023: 99.3%).

Licensing of vending massage services

During FYE 2024, we entered into royalty agreements with our licensees in Vietnam and the Philippines, where we grant the licensees non-exclusive right to use the "Rest N Go" trademark in their territory, as well as the right to establish and operate RNG stations and RNG premium outlets under the capacity of a licensee.

Due to the nature of this segment where there are no costs allocated to this segment as explained above, we recorded a GP of RM3.4 million and a GP margin of 100.0% in FYE 2024 for this segment.

Comparison between FYE 2024 and FYE 2025

Our total cost of sales increased by RM12.3 million or 68.3%, to RM30.3 million in FYE 2025 (FYE 2024: RM18.0 million), which was higher than our revenue growth rate of 22.3% in FYE 2025. As such, our GP decreased by RM3.3 million or 14.8% to RM19.0 million in FYE 2025 (FYE 2024: RM22.3 million), and our overall GP margin decreased to 38.5% in FYE 2025 (FYE 2024: 55.3%).

The increase in cost of sales was primarily due to the increase in depreciation expenses, direct operating costs and staff-related costs, which collectively increased to RM29.3 million in FYE 2025 (FYE 2024: RM16.7 million), mainly attributable to the expansion of our RNG stations and RNG premium outlets during FYE 2025.

Our overall GP margin decreased to 38.5% in FYE 2025 (FYE 2024: 55.3%), mainly contributed by the lower GP margin recorded from our vending massage services segment in FYE 2025, as explained below.

Vending massage services

Our cost of sales for the vending massage services segment increased by RM12.3 million or 68.3%, to RM30.3 million in FYE 2025 (FYE 2024: RM18.0 million), which was higher than our revenue growth rate of 25.5% in FYE 2025. As such, our GP for this segment decreased by RM3.0 million or 16.0% to RM15.8 million in FYE 2025 (FYE 2024: RM18.8 million), and our overall GP margin decreased to 34.3% in FYE 2025 (FYE 2024: 51.1%).

The increase in cost of sales was primarily due to the following:

- (i) depreciation expenses increased to RM10.2 million in FYE 2025 (FYE 2024: RM4.9 million). This was mainly contributed by higher purchases of vending massage chairs in the second half of FYE 2024 and during FYE 2025;

12. FINANCIAL INFORMATION (Cont'd)

- (ii) direct operating costs increased to RM12.8 million in FYE 2025 (FYE 2024: RM7.9 million). This was mainly contributed by the higher rental expenses incurred in FYE 2025, primarily resulting from the expansion of our network of RNG stations and RNG premium outlets in Malaysia, Thailand and Singapore; and
- (iii) staff-related costs increased to RM6.2 million in FYE 2025 (FYE 2024: RM3.9 million). This was mainly contributed by the increase in our monthly average operations and warehousing staff headcount from 93 in FYE 2024 to 144 in FYE 2025.

The decrease in GP margin to 34.3% in FYE 2025 (FYE 2024: 51.1%) was mainly due to the lower revenue contribution from Thailand, Cambodia and Brunei Darussalam, following the expansion of our market presence during FYE 2025, as explained above in Section 12.2.2(a). These new markets collectively contributed RM3.7 million in revenue in FYE 2025 (FYE 2024: Nil). In addition, the GP margin was further impacted by the increase in above-mentioned expenses.

Vending massage chair rental plans

Our cost of sales for the vending massage chair rental plans segment remained at RM1,000 in FYE 2025 (FYE 2024: RM1,000). The expenses incurred for this segment in FYE 2025 primarily consist of transportation costs incurred for delivering the vending massage chairs to locations selected by our customers.

The GP for the vending massage chair rental plans segment recorded a decrease of RM36,000 or 32.1%, to RM76,000 in FYE 2025 (FYE 2024: RM112,000), and the GP margin remained consistent at 98.7% in FYE 2025 (FYE 2024: 99.1%).

Licensing of vending massage services

During FYE 2024, our Group entered into royalty agreements with licensees in Vietnam and Philippines, where we grant the licensees non-exclusive right to use the "Rest N Go" trademark in their territory, as well as the right to establish and operate RNG stations and RNG premium outlets under the capacity of a licensee.

Due to the nature of this segment where there are no costs allocated to this segment as explained above, our GP and GP margin for this segment in FYE 2025 was consistent at RM3.1 million and 100.0% respectively (FYE 2024: RM3.4 million and 100.0%).

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12. FINANCIAL INFORMATION (Cont'd)**(c) Other income**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Gain on disposal of property, plant and equipment	301	47.1	212	41.2	2,456	89.1	32	16.7
Insurance compensation ⁽¹⁾	89	13.9	5	1.0	75	2.7	20	10.4
Waiver of debts	-	-	-	-	62	2.3	43	22.4
Gain on deemed disposal of a subsidiary	-	-	-	-	62	2.3	-	-
Net unrealised gain on foreign exchange	84	13.1	-	-	10	0.4	-	-
Wages subsidy	109	17.1	6	1.2	1	(6)	17	8.9
Reversal of provision on forfeited deposit ⁽²⁾	-	-	180	34.9	-	-	-	-
Net realised gain on foreign exchange	50	7.8	85	16.5	-	-	-	-
Interest income	1	0.2	(5)	(6)	7	0.3	17	8.9
Gain on lease termination	-	-	-	-	3	0.1	33	17.2
Tender deposit refund ⁽³⁾	-	-	-	-	-	-	14	7.3
Others ⁽⁴⁾	5	0.9	27	5.2	78	2.8	16	8.2
	639	100.0	515	100.0	2,754	100.0	192	100.0

Notes:

- (1) Comprises mainly insurance compensation for damaged vending massage chairs resulting from the bursting of pipes at one of our rental locations in FYE 2022, insurance compensation for cash loss in transit from our SPIs in FYE 2024, and insurance compensation for cash misappropriation incidents arose from misconduct by our former employees serving as SPIs for FYE 2025.
- (2) Relates to the recovery of potential unrecoverable rental deposit from the termination of rental locations in FYE 2022.
- (3) Relates to the refund of tender deposit paid in FYE 2023 arising from the unsuccessful tender for our vending massage services business at an airport.
- (4) Comprises mainly sales of spare parts for the vending massage chairs, reversal of provision on slow-moving stocks, and the corporate income tax rebate for the year of assessment 2025 from the Inland Revenue Authority of Singapore.
- (5) Represents less than RM1,000.
- (6) Represents less than 0.1%.

12. FINANCIAL INFORMATION (Cont'd)**Comparison between FYE 2022 and FYE 2023**

Our other income decreased by RM0.1 million or 16.7% to RM0.5 million in FYE 2023 (FYE 2022: RM0.6 million). This was mainly due to the decrease in gain on disposal of property, plant and equipment to RM0.2 million in FYE 2023 (FYE 2022: RM0.3 million), arising from the disposal of fewer vending massage chairs during FYE 2023. Additionally, the wages subsidy also decreased to RM0.01 million in FYE 2023 (FYE 2022: RM0.1 million) as the subsidy is a temporary financial assistance provided by the Government during the COVID-19 pandemic.

The abovementioned decrease was partially offset by the increase in reversal of provision on forfeited deposit to RM0.2 million in FYE 2023 (FYE 2022: RM Nil), resulted from the recovery of potential unrecoverable rental deposits arising from the termination of rental locations in FYE 2022.

Comparison between FYE 2023 and FYE 2024

Our other income increased by RM2.3 million or 460.0% to RM2.8 million in FYE 2024 (FYE 2023: RM0.5 million), mainly due to the increase in gain on disposal of property, plant and equipment to RM2.5 million in FYE 2024 (FYE 2023: RM0.2 million). This mainly resulted from the disposal of freehold land and building located at 9, Jalan KIP 3, Taman Perindustrian KIP, 52200 Kuala Lumpur to a related party, namely Gintell (M) amounting to RM13.5 million, details of which are set out in Section 6.5(a). The details of the sale and purchase agreement for the disposal of freehold land and building is set out in Section 6.5(a).

Comparison between FYE 2024 and FYE 2025

Our other income decreased by RM2.6 million or 92.9% to RM0.2 million in FYE 2025 (FYE 2024: RM2.8 million), mainly due to lower gains on disposal of property, plant and equipment in FYE 2025, which amounted to RM32,000 (FYE 2024: RM2.5 million). The gain on disposal of property, plant and equipment in FYE 2025 arose from the disposal of vending massage chairs to a related party, namely Gintell (M).

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12. FINANCIAL INFORMATION (Cont'd)**(d) Marketing and distribution expenses**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Staff-related costs ⁽¹⁾	321	75.0	459	86.1	642	80.5	1,191	77.8
Advertisement expenses	21	4.9	41	7.7	78	9.8	186	12.2
Travelling expenses	72	16.8	24	4.5	48	6.0	113	7.4
Entertainment expenses	14	3.3	9	1.7	30	3.7	39	2.6
	428	100.0	533	100.0	798	100.0	1,529	100.0

Note:

- ⁽¹⁾ Comprises salaries, statutory contributions, incentives, and allowances for employees in the marketing and business development department.

Comparison between FYE 2022 and FYE 2023

Our marketing and distribution expenses increased by RM0.1 million or 25.0% to RM0.5 million in FYE 2023 (FYE 2022: RM0.4 million). This was mainly due to the increase in staff-related costs to RM0.5 million in FYE 2023 (FYE 2022: RM0.3 million), mainly attributable to annual salary increments for our existing staff, and the increase in our marketing and business development staff headcount from a monthly average headcount of 8 in FYE 2022 to 9 in FYE 2023.

Comparison between FYE 2023 and FYE 2024

Our marketing and distribution expenses increased by RM0.3 million or 60.0%, to RM0.8 million in FYE 2024 (FYE 2023: RM0.5 million). This was mainly due to the increase in staff-related costs to RM0.6 million in FYE 2024 (FYE 2023: RM0.5 million), mainly attributable to the increase in our marketing and business development staff headcount from a monthly average headcount of 9 staffs in FYE 2023 to 11 staffs in FYE 2024.

Comparison between FYE 2024 and FYE 2025

Our marketing and distribution expenses increased by RM0.7 million or 87.5%, to RM1.5 million in FYE 2025 (FYE 2024: RM0.8 million), mainly due to annual salary increment for our existing staff, coupled with the increase in our monthly average marketing and business development staff headcount from 11 in FYE 2024 to 19 in FYE 2025.

12. FINANCIAL INFORMATION (Cont'd)**(e) Administrative expenses**

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Staff-related costs ⁽¹⁾	782	26.2	695	30.5	2,244	44.1	3,026	42.4
Professional fees	67	2.2	81	3.5	985	19.3	2,396	33.6
Cash loss during transit ⁽²⁾	35	1.2	148	6.5	-	-	-	-
Real properties gain tax	-	-	-	-	405	8.0	-	-
Directors' remuneration	324	10.8	336	14.7	382	7.5	403	5.6
Upkeep expenses ⁽³⁾	149	5.0	202	8.9	248	4.9	328	4.6
Depreciation of property, plant and equipment	688	23.0	420	18.4	173	3.4	206	2.9
Provision for forfeited deposit ⁽⁴⁾	547	18.3	-	-	-	-	-	-
Utilities	194	6.5	189	8.3	160	3.1	127	1.8
Insurance expenses	74	2.5	48	2.1	67	1.3	215	3.0
Others ⁽⁵⁾	130	4.3	161	7.1	430	8.4	439	6.1
	2,990	100.0	2,280	100.0	5,094	100.0	7,140	100.0

Notes:

- (1) Comprises salaries, statutory contributions, bonus and allowances for employees in the accounting and finance, administration and human resources, information technology and compliance departments.
- (2) Our SPIs generally collect cash from the RNG stations and RNG premium outlets on a daily to weekly basis. This cash loss in transit relates to the difference between the amount banked in by our SPIs and the revenue recorded by our MRS.
- (3) Relates to upkeep expenses for office, office equipment as well as computer and software.
- (4) Relates to potential unrecoverable rental deposit from the termination of rental locations.
- (5) Comprises mainly printing and stationery, quit rent and assessment, postage and courier expenses, stamping fees, trademark expenses, and goods and services taxes.

12. FINANCIAL INFORMATION (Cont'd)**Comparison between FYE 2022 and FYE 2023**

Our administrative expenses decreased by RM0.7 million or 23.3% to RM2.3 million in FYE 2023 (FYE 2022: RM3.0 million), mainly because there was no provision for forfeited deposit in FYE 2023 (FYE 2022: RM0.5 million). The provision for forfeited deposit in FYE 2022 was in relation to potential unrecoverable rental deposits from the termination of rental locations during COVID-19.

Comparison between FYE 2023 and FYE 2024

Our administrative expenses increased by RM2.8 million or 121.7% to RM5.1 million in FYE 2024 (FYE 2023: RM2.3 million), mainly attributable to the following:

- (i) increase in staff-related costs to RM2.2 million in FYE 2024 (FYE 2023: RM0.7 million), mainly due to hiring of senior personnel in FYE 2024, promotion of existing staff to senior positions, annual salary increments for our existing staff, as well as the increase in our administrative staff headcount from a monthly average headcount of 17 staffs in FYE 2023 to 24 staffs in FYE 2024;
- (ii) increase in professional fees to RM1.0 million in FYE 2024 (FYE 2023: RM0.1 million), mainly due to professional fees incurred for our Listing; and
- (iii) real property gain tax incurred of RM0.4 million in FYE 2024 (FYE 2023: RM Nil), arising from the accrual of real property gain tax in relation to the disposal of freehold land and building located at 9, Jalan KIP 3, Taman Perindustrian KIP, 52200 Kuala Lumpur to a related party, namely Gintell (M).

Comparison between FYE 2024 and FYE 2025

Our administrative expenses increased by RM2.0 million or 39.2%, to RM7.1 million in FYE 2025 (FYE 2024: RM5.1 million). This was mainly due to the following:

- (i) increase in professional fees to RM2.4 million in FYE 2025 (FYE 2024: RM1.0 million), mainly due to professional fees incurred for our Listing; and
- (ii) increase in staff-related costs to RM3.0 million in FYE 2025 (FYE 2024: RM2.2 million), mainly due to the increase in our monthly average administrative staff headcount from 24 in FYE 2024 to 37 in FYE 2025.

(f) Other operating expenses

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Net realised loss on foreign exchange	-	-	-	-	83	59.7	200	32.4
Bank charges	29	93.5	45	91.8	52	37.4	57	9.3
Commitment fee	2	6.5	3	6.2	4	2.9	2	0.3
Net unrealised loss on foreign exchange	-	-	1	2.0	-	-	357	58.0
	31	100.0	49	100.0	139	100.0	616	100.0

Comparison between FYE 2022 and FYE 2023

Our other operating expenses for FYE 2023 did not fluctuate significantly from FYE 2022.

12. FINANCIAL INFORMATION (Cont'd)**Comparison between FYE 2023 and FYE 2024**

Our other operating expenses increased by RM0.09 million or 180.0% to RM0.14 million in FYE 2024 (FYE 2023: RM0.05 million). This was mainly due to the increase in net realised loss on foreign exchange to RM0.1 million in FYE 2024 (FYE 2023: RM Nil), due to receivables denominated in USD, impacted by the weakening of USD against RM during FYE 2024.

Comparison between FYE 2024 and FYE 2025

Our other operating expenses increased by RM0.5 million or 500.0% to RM0.6 million in FYE 2025 (FYE 2024: RM0.1 million). This was mainly due to the following:

- (i) increase in net unrealised loss on foreign exchange of RM0.4 million in FYE 2025 (FYE 2024: RM Nil), which arose from the loan provided from RNG MY to RNG TH, denominated in USD, as a result of the weakening of USD against RM at the end of FYE 2025; and
- (ii) increase in net realised loss on foreign exchange to RM0.2 million in FYE 2025 (FYE 2024: RM0.1 million), mainly due to receivables denominated in USD, impacted by the weakening of USD against RM during FYE 2025.

(g) Finance costs

	Audited							
	FYE 2022		FYE 2023		FYE 2024		FYE 2025	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Interest expenses on:								
• Term loans	876	76.9	784	61.1	725	52.3	587	37.1
• Lease liabilities	112	9.8	310	24.2	462	33.3	692	43.7
• Bank overdrafts	16	1.4	13	1.0	11	0.8	1	0.1
• Revolving credits	136	11.9	176	13.7	189	13.6	249	15.7
• Bankers' acceptance	-	-	-	-	-	-	53	3.4
	1,140	100.0	1,283	100.0	1,387	100.0	1,582	100.0

Comparison between FYE 2022 and FYE 2023

Finance costs increased by RM0.2 million or 18.2% to RM1.3 million in FYE 2023 (FYE 2022: RM1.1 million), mainly due to the increase in interest expenses on lease liabilities resulting from the increase in rental of our RNG stations and RNG premium outlets during FYE 2023.

Comparison between FYE 2023 and FYE 2024

Finance costs increased by RM0.1 million or 7.7%, to RM1.4 million in FYE 2024 (FYE 2023: RM1.3 million), mainly due to the increase in interest expenses on lease liabilities resulting from the increase in rented RNG stations and RNG premium outlets during FYE 2024 which is evident by the number of increased locations, detailed in Section 7.2.4.

12. FINANCIAL INFORMATION (Cont'd)**Comparison between FYE 2024 and FYE 2025**

Our finance costs increased by RM0.2 million or 14.3%, to RM1.6 million in FYE 2025 (FYE 2024: RM1.4 million), mainly due to the increase in interest expenses on lease liabilities resulting from the increase in the rented RNG stations and RNG premium outlets during FYE 2025, which is evident by the number of increased locations, detailed in Section 7.2.4.

(h) Income tax benefit/ (expense)

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
Income tax benefit/ (expense) (RM'000)	275	(585)	(3,132)	(2,338)
Statutory tax rate (%)	24.0	24.0	24.0	24.0
Effective tax rate (%) ⁽¹⁾	N/A	7.4	17.7	28.0

Notes:

N/A Not applicable as our Group was in a tax benefit position for FYE 2022. The tax benefit position was mainly due to the deferred tax arising from temporary differences.

⁽¹⁾ Calculated based on tax expense over PBT for each financial year.

Comparison between FYE 2022 and FYE 2023

For FYE 2023, we recorded tax expenses of RM0.6 million and an effective tax rate of 7.4%, which was below the statutory tax rate of 24.0%, mainly due to utilisation of unused tax losses of which no deferred tax asset was recognised in the previous financial years.

Comparison between FYE 2023 and FYE 2024

For FYE 2024, our tax expenses increased to RM3.1 million (FYE 2023: RM0.7 million), mainly due to the higher PBT recorded in FYE 2024. Our effective tax rate of 17.7% was lower than the statutory tax rate of 24.0%, primarily due to the non-taxable income of RM0.7 million, mainly arising from the gain on disposal of freehold land and building located at 9, Jalan KIP 3, Taman Perindustrian KIP, 52200 Kuala Lumpur.

Comparison between FYE 2024 and FYE 2025

For FYE 2025, our tax expenses decreased to RM2.3 million (FYE 2024: RM3.1 million), mainly due to the lower PBT recorded in FYE 2025. Our effective tax rate of 28.0% was higher than the statutory tax rate of 24.0%, primarily due to the underprovision of Malaysian income tax of RM0.3 million in respect of the prior financial year.

(i) PBT, PAT, PBT margin and PAT margin

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
PBT (RM'000)	2,040	7,923	17,650	8,338
PBT margin (%)	14.7	34.0	43.8	16.9

12. FINANCIAL INFORMATION (Cont'd)

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
PAT attributable to owners of our Company (RM'000)	2,315	7,338	14,518	6,048
PAT margin (%)	16.7	31.5	36.0	12.3

Comparison between FYE 2022 and FYE 2023

Our PBT and PBT margin increased to RM7.9 million and 34.0% for FYE 2023 (FYE 2022: RM2.0 million and 14.7%). This was mainly due to the higher GP and GP margin as explained in Section 12.2.2(b), as well as the lower administrative expenses as explained in Section 12.2.2(e).

Correspondingly, our PAT and PAT margin increased to RM7.3 million and 31.5% for FYE 2023 (FYE 2022: RM2.3 million and 16.7%).

Comparison between FYE 2023 and FYE 2024

Our PBT and PBT margin increased to RM17.7 million and 43.8% for FYE 2024 (FYE 2023: RM7.9 million and 34.0%). This was mainly due to the higher GP and GP margin as explained in Section 12.2.2(b), as well as the higher other income as explained in Section 12.2.2(c).

Correspondingly, our PAT and PAT margin increased to RM14.5 million and 36.0% for FYE 2024 (FYE 2023: RM7.3 million and 31.5%).

Comparison between FYE 2024 and FYE 2025

Our PBT and PBT margin decreased to RM8.3 million and 16.9% for FYE 2025 (FYE 2024: RM17.7 million and 43.8%). This was mainly due to lower GP and GP margin as explained in Section 12.2.2(b), lower other income as explained in Section 12.2.2(c), as well as higher administrative expenses as explained in Section 12.2.2(e).

Correspondingly, our PAT and PAT margin decreased to RM6.0 million and 12.3% for FYE 2025 (FYE 2024: RM14.5 million and 36.0%).

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12. FINANCIAL INFORMATION (Cont'd)**12.2.3 Review of cash flows**

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Net cash from operating activities	5,874	11,255	15,091	8,848
Net cash from/ (used in) investing activities	232	(1,888)	(7,498)	(10,945)
Net cash (used in)/ from financing activities	(5,824)	(9,356)	(4,851)	2,347
Net increase in cash and cash equivalents	282	11	2,742	250
Cash and cash equivalents at the beginning of the financial year	296	561	577	3,289
Effect of exchange rate changes on cash and bank balances	(17)	5	(30)	(20)
Cash and cash equivalents at the end of the financial year	561	577	3,289	3,519

FYE 2022**Net cash from operating activities**

For FYE 2022, we recorded operating profit before working capital changes of RM5.6 million. Our net operating cash inflow was RM5.9 million mainly due to the increase in trade and other payables of RM0.2 million, primarily resulting from the increase in trade payables in relation to the amount owing to landlords for the rental of retail spaces for our RNG stations and RNG premium outlets.

Net cash from investing activities

For FYE 2022, we recorded a net cash inflow of RM0.2 million for investing activities, primarily due to the purchase of property, plant and equipment amounting to RM1.8 million, mainly comprising the acquisition of 260 units of vending massage chairs for our RNG stations and RNG premium outlets. This was partially offset by dividends received from our previous subsidiary, Gintell Philippines, Inc. of RM1.8 million and proceeds from the disposal of property, plant and equipment amounting to RM0.3 million.

Net cash used in financing activities

For FYE 2022, we recorded a net cash outflow of RM5.8 million for financing activities, mainly due to the following:

- (a) drawdown of term loans amounting to RM6.3 million;
- (b) repayment of term loans amounting to RM7.7 million;
- (c) repayment of lease liabilities amounting to RM0.5 million;
- (d) net change in amount owing by/ to related parties amounting to RM1.5 million;
- (e) net repayment of amount owing to directors amounting to RM1.3 million; and
- (f) interests paid of RM1.1 million.

12. FINANCIAL INFORMATION (Cont'd)**FYE 2023****Net cash from operating activities**

For FYE 2023, we recorded operating profit before working capital changes of RM11.8 million. Our net operating cash inflow was RM11.3 million mainly due to the decrease in trade and other payables of RM0.6 million. This was mainly attributable to payment made to our landlords for the rental of our RNG stations and RNG premium outlets.

Net cash used in investing activities

For FYE 2023, we recorded a net cash outflow of RM1.9 million for investing activities, primarily due to the purchase of property, plant and equipment amounting to RM2.1 million, mainly comprising the acquisition of 322 units of vending massage chairs for our RNG stations and RNG premium outlets.

Net cash for financing activities

For FYE 2023, we recorded a net cash outflow of RM9.4 million for financing activities, mainly due to the following:

- (a) repayment of term loans amounting to RM2.7 million;
- (b) repayment of lease liabilities amounting to RM1.2 million;
- (c) net change in amount owing by related parties of RM3.4 million;
- (d) net advances from directors amounting to RM0.3 million for working capital purposes;
- (e) interests paid of RM1.3 million; and
- (f) dividends paid of RM1.1 million.

FYE 2024**Net cash from operating activities**

For FYE 2024, we recorded operating profit before working capital changes of RM21.5 million. Our net operating cash inflow was RM15.1 million after adjusting for the following major changes in working capital:

- (a) increase in inventories of RM0.4 million, due to the higher purchases of spare parts during FYE 2024;
- (b) net increase in contract assets of RM0.7 million, mainly due to royalty income receivable from our licensees in the Philippines and Vietnam, where billings are only issued by our Group on a quarterly basis, and as such the billings for the last quarter of FYE 2024 only took place in the following financial year;
- (c) increase in trade and other receivables of RM3.1 million, mainly due to the royalty income receivable from our licensees in the Philippines and Vietnam, coupled with the increase in other receivables attributable to security deposits paid to landlords in relation to rental for our RNG stations and RNG premium outlets;

12. FINANCIAL INFORMATION (Cont'd)

- (d) increase in trade and other payables of RM0.2 million, mainly due to the accrual of real property gains tax in relation to the disposal of a freehold land and building, located at 9 Jalan KIP 3, Taman Perindustrian KIP, 52200 Kuala Lumpur to a related party, namely Gintell (M); and
- (e) income tax paid of RM2.5 million.

Net cash for investing activities

For FYE 2024, our Group recorded a net cash outflow of RM7.5 million for investing activities, primarily due to the purchase of property, plant and equipment amounting to RM11.1 million, mainly comprising the acquisition of 1,860 units of vending massage chairs for our RNG stations and RNG premium outlets. This was partially offset by proceeds of RM3.6 million, mainly from the disposal of our Group's freehold land and building, located at 9 Jalan KIP 3, Taman Perindustrian KIP, 52200 Kuala Lumpur.

Net cash for financing activities

For FYE 2024, our Group recorded a net cash outflow of RM4.9 million for financing activities, mainly due to the following:

- (a) proceeds of RM0.7 million arising from the issuance of ordinary shares;
- (b) drawdown of term loans amounting to RM2.8 million;
- (c) repayment of term loans amounting to RM3.1 million;
- (d) repayment of lease liabilities amounting to RM3.0 million;
- (e) drawdown of revolving credit amounting to RM9.0 million;
- (f) repayment of revolving credit amounting to RM10.8 million;
- (g) net change in amount owing to related parties amounting to RM1.2 million; and
- (h) interests paid of RM1.4 million.

FYE 2025**Net cash from operating activities**

For FYE 2025, we recorded operating profit before working capital changes of RM20.6 million. Our net operating cash inflow was RM8.8 million after adjusting for the following major changes in working capital:

- (a) increase in trade and other receivables to RM10.1 million, mainly due to higher prepayments arising from prepaid rental to landlords and higher security deposits paid for the rental of our RNG stations and RNG premium outlets, which grew in tandem with the increase in the number of locations;
- (b) increase in trade and other payables to RM0.5 million, mainly due to the increase in trade payables in relation to the amount owing to landlords for the rental of retail spaces for our RNG stations and RNG premium outlets;

12. FINANCIAL INFORMATION (Cont'd)

- (c) net increase in contract assets to RM0.4 million, mainly due to royalty income receivable from our licensees in the Philippines and Vietnam, where billings are only issued by our Group on a quarterly basis, and as such, the billings for the last quarter of FYE 2025 only took place in the following financial year; and
- (d) income tax paid of RM2.1 million.

Net cash used in investing activities

For FYE 2025, our Group recorded a net cash outflow of RM10.9 million for investing activities, primarily due to the purchase of property, plant and equipment of RM11.2 million, mainly comprising the acquisition of 1,882 units of vending massage chairs for our RNG stations and RNG premium outlets.

Net cash for financing activities

For FYE 2025, our Group recorded a net cash outflow of RM2.3 million for financing activities, mainly due to the following:

- (a) drawdown of term loans amounting to RM3.7 million;
- (b) repayment of term loans amounting to RM6.2 million;
- (c) repayment of lease liabilities amounting to RM6.4 million;
- (d) drawdown of revolving credit amounting to RM16.0 million;
- (e) repayment of revolving credit amounting to RM12.2 million;
- (f) drawdown of bankers' acceptance amounting to RM2.6 million;
- (g) repayment of bankers' acceptance amounting to RM2.6 million;
- (h) net change in amount owing to related parties amounting to RM9.3 million; and
- (i) interests paid of RM1.6 million.

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12. FINANCIAL INFORMATION (*Cont'd*)

12.3 LIQUIDITY AND CAPITAL RESOURCES

12.3.1 Working capital

We finance our operations with cash generated from operations, supplier's credit, various credit facilities extended by financial institutions as well as existing cash and bank balances. Our credit facilities from financial institutions comprise term loans, revolving credits and bank overdrafts.

There are no legal, financial, or economic restriction on our subsidiaries' ability to transfer funds to our Company in the form of cash dividends, loans or advances, subject to the availability of distributable reserves and compliance with financial covenants imposed by our lenders for banking facilities granted to our Group.

The decision to utilise either internally generated funds or borrowings for our business operations depends on, amongst others, our cash and bank balances, expected cash inflows, future working capital requirements, future capital expenditure requirements and interest rates on borrowings. We carefully consider our cash position and ability to obtain further financing before making significant capital commitments.

Our Board confirms that we have sufficient working capital for our existing and foreseeable requirements for a period of 12 months from the date of this Prospectus, taking into consideration the following:

- (a) our cash and cash equivalents of approximately RM1.9 million as at LPD;
- (b) our expected future cash flows from operations after servicing of bank borrowings;
- (c) our total banking facilities limit as at LPD of RM20.8 million (excluding lease liabilities), of which RM19.4 million have been utilised; and
- (d) our pro forma gearing level of 0.3 times, based on our pro forma statements of financial position as at 31 December 2025, after Acquisitions, Public Issue and utilisation of proceeds.

Our Group was at net current liabilities position of RM9.9 million and RM14.2 million as at 31 December 2022 and 31 December 2023 respectively and rebounded to net current assets position of RM3.3 million and RM0.4 million as at 31 December 2024 and 31 December 2025 respectively. Our Group recorded a net current liabilities position since year 2020 to FYE 2023, mainly due to (i) impact of various lockdowns implemented to curb the COVID-19 pandemic, which have adversely affected our Group's business operations; (ii) use of cash generated from operations (short term funds) instead of external long term funds, to finance its capital expenditure which primarily consists of vending massage chairs (long term assets); and (iii) dividends paid.

Despite these challenges, our Group continued to generate profit and positive operating cash flow from FYE 2022 and 2025, following its business expansion, which contributed to the improved liquidity and a net current assets position as at 31 December 2025.

At this juncture, we do not foresee any circumstances which will materially affect our liquidity. We carefully consider our cash position and ability to obtain further financing before making significant capital commitments.

12. FINANCIAL INFORMATION (Cont'd)

12.4 BORROWINGS AND INDEBTEDNESS

As at 31 December 2025, our Group's total outstanding borrowings and indebtedness stood at RM16.8 million (excluding lease liabilities arising from rental of RNG stations and RNG premium outlets of RM13.5 million), details of which are set out below:

	<u>Purposes</u>	<u>Security</u>	<u>Interest rate</u> %	<u>Tenure of facility</u>	<u>As at 31 December 2025</u> RM'000
Current					
Term loans	To finance the purchase of our head office and storage cum showroom and to finance the purchase of vending massage chairs	(i) Legal charge over the properties registered in the name of Gintell Properties; (ii) Joint and several guarantee by Datin Tan Sok Fei and Dato' Goh Cheh Yak; (iii) Execution of Memorandum of Charge over fixed deposit by Company in favour of the bank in respect of Debt Service Reserve Account ("DSRA"); (iv) Corporate guarantee from a related party, namely Gintell (M), (of which conditional discharge consent has been obtained from the bank upon our Listing); (v) 70.0% guarantee by Syarikat Jaminan Pembiayaan Perniagaan Berhad ("SJPP") under Working Capital Guarantee Scheme by Government of Malaysia; (vi) Guarantee in favour of the Bank by SJPP under PEMULIH Government Guarantee Scheme for 80.0% on the loan amount; and (vii) Assignment of Life Insurance policy issued by Sun Life Malaysia Assurance Berhad under the name of Datin Tan Sok Fei and Dato' Goh Cheh Yak.	4.40 – 7.95	5 to 17 years	2,095

12. FINANCIAL INFORMATION (Cont'd)

	Purposes	Security	Interest rate	Tenure of facility	As at 31 December 2025
			%		RM'000
Revolving credit	For working capital purposes	(i) Legal charge over the property of the Company; (ii) Joint and several guarantee by Datin Tan Sok Fei and Dato' Goh Cheh Yak; and (iii) Corporate guarantee from a related party, namely Gintell (M), (of which conditional discharge consent has been obtained from the bank upon our Listing).	6.1	4 months	5,000
					7,095
Non-current					
Term loans	To finance the purchase of our head office and storage cum showroom and to finance the purchase of vending massage chairs	(i) Legal charge over the properties registered in the name of Datin Tan Sok Fei and Dato' Goh Cheh Yak; (ii) Joint and several guarantee by Datin Tan Sok Fei and Dato' Goh Cheh Yak; (iii) Execution of Memorandum of Charge over fixed deposit by Company in favour of the bank in respect of DSRA; (iv) Corporate guarantee from a related party, namely Gintell (M), (of which conditional discharge consent has been obtained from the bank upon our Listing); (v) 70% guarantee by SJPP under Working Capital Guarantee Scheme by Government of Malaysia; (vi) Guarantee in favour of the Bank by SJPP under PEMULIH Government Guarantee Scheme for 80.0% on the loan amount; and (vii) Assignment of Life Insurance policy issued by Sun Life Malaysia Assurance Berhad under the name of Datin Tan Sok Fei and Dato' Goh Cheh Yak.	4.40 – 7.95	5 to 17 years	9,717
					9,717
Total borrowings					16,812

12. FINANCIAL INFORMATION (Cont'd)

Purposes	Security	Interest rate	Tenure of facility	As at 31 December 2025
		%		RM'000
Gearing (times)				
After Acquisitions but before Public Issue and utilisation of proceeds ⁽¹⁾				0.6
After Acquisitions, Public Issue and utilisation of proceeds ⁽²⁾				0.3

Notes:

- (1) Computed based on our pro forma total equity of RM30.4 million in the pro forma statement of financial position, after Acquisitions, but before Public Issue and utilisation of proceeds.
- (2) Computed based on our pro forma total equity of RM44.7 million in the pro forma statement of financial position, after Acquisitions, Public Issue and utilisation of proceeds.

Separately, we have also recognised the following lease liabilities:

	Purpose	Tenure	As at 31 December 2025
			RM'000
Lease liabilities payable within 1 year	Rental of RNG stations and RNG premium outlets	Between 1 to 3 years, with the option to extend for another 2 years	6,240
Lease liabilities payable after 1 year	Rental of RNG stations and RNG premium outlets	Between 1 to 3 years, with the option to extend for another 2 years	7,227
			13,467

As at LPD, all of our borrowings are interest-bearing and denominated in RM. We also do not encounter any seasonality in our borrowings trend and there is no restriction on our committed borrowing facilities.

We have not defaulted on payments of principal sums and/ or interests in respect of any borrowings throughout FYE 2022 to 2025 and up to LPD.

12. FINANCIAL INFORMATION *(Cont'd)*

As at LPD, neither our Company nor any of our subsidiaries are in breach of any terms and conditions or covenants associated with credit arrangements or bank loans, which can materially affect our (a) financial position and results; (b) business operations; or (c) the investments by holders of our securities. During FYE 2022 to 2025, we did not experience any claw back or reduction in the facilities limit granted to us by our lenders.

In conjunction with our Listing, we have applied to the financiers to obtain a release and/ or discharge of the guarantees by substituting the same with a corporate guarantee from our Company and/or other securities from our Group acceptable to the financiers. Until such release and/ or discharge are obtained from the respective financiers, Datin Tan Sok Fei and Dato' Goh Cheh Yak will continue to guarantee the banking facilities extended to our Group.

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12. FINANCIAL INFORMATION (Cont'd)**12.5 TYPES OF FINANCIAL INSTRUMENTS USED, TREASURY POLICIES AND OBJECTIVES**

Save as disclosed in Section 12.4, we do not utilise any other financial instruments. We receive proceeds in SGD and USD in respect of our foreign revenue.

We finance our operations mainly through cash generated from our operations, credit extended by trade payables as well as external sources of funds which mainly comprise borrowings. Our Group's lease liabilities and part of the borrowings carry fixed interest rates, while some of the other borrowings bear variable interest rates based on the bank's cost of funds plus a rate which varies depending on the different types of bank facilities.

12.6 MATERIAL CAPITAL COMMITMENTS

As at LPD, save as disclosed below, we do not have any other material capital commitments:

	To be funded from proceeds of our Public Issue RM'000	To be funded internally generated funds RM'000
Approved but not contracted for:		
Set-up of new RNG stations and RNG premium outlets in Malaysia⁽¹⁾	3,276	6,916
- Renovation costs	1,980	4,180
- Purchase of new vending massage chairs	1,296	2,736
Upgrade and refurbish existing RNG stations and RNG premium outlets in Malaysia⁽²⁾	2,184	2,019
- Upgrade, refurbishment and renovation costs	1,320	1,155
- Purchase of new vending massage chairs	864	864
Purchase of new vending massage chairs for overseas market ⁽³⁾	-	1,620
	5,460	10,555

Notes:

(1) Further details are set out in Section 4.9.1(a).

(2) Further details are set out in Section 4.9.1(b).

(3) Further details are set out in Section 7.5.4.

12.7 MATERIAL LITIGATION AND CONTINGENT LIABILITIES**(a) Material litigation**

As at LPD, we are not engaged in any material litigation, claims and/ or arbitration, either as plaintiff or defendant, which has a material effect on our financial position, and there are no proceedings pending or threatened, or of any fact likely to give rise to any proceedings, which might materially and adversely affect our financial position or business.

12. FINANCIAL INFORMATION (Cont'd)**(b) Contingent liabilities**

As at LPD, there are no material contingent liabilities incurred by our Group, which upon becoming enforceable, may have a material effect on our Group's business, financial results and financial position.

12.8 KEY FINANCIAL RATIOS

The key financial ratios of our Group for FYE 2022 to 2025 are as follows:

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
Trade receivables turnover (days) ⁽¹⁾	1	*	5	7
Trade receivables turnover for licensing of vending massage services segment (days) ⁽²⁾	N/A	N/A	56	101
Trade payables turnover (days) ⁽³⁾	205	128	48	28
Inventory turnover (days) ⁽⁴⁾	N/A	N/A	N/A	N/A
Current ratio (times) ⁽⁵⁾	0.4	0.2	1.2	1.0
Gearing ratio (times) ⁽⁶⁾	2.5	2.4	0.6	0.6

Notes:

* Represents less than 1 day.

(1) Computed based on average trade receivables as at financial year-end over revenue for the respective financial years, multiplied by 365 days for FYE 2022, FYE 2023 and FYE 2025, and 366 days for FYE 2024.

(2) Computed based on average trade receivables from licensees as at financial year-end over royalty income received from our Group's licensing of vending massage services segment, multiplied by 366 days for FYE 2024, and 365 days for FYE 2025. The licensing business began in FYE 2024, as such the computation for FYE 2022 and FYE 2023 is not applicable.

(3) Computed based on average trade payables as at financial year-end over total cost of sales (excluding depreciation expenses and staff-related costs) for the respective financial years, multiplied by 365 days for FYE 2022, FYE 2023 and FYE 2025, and 366 days for FYE 2024.

(4) N/A – Our Group generally maintain a minimal inventory level and the inventories comprise only spare parts for the vending massage chairs. The value of our inventories at the end of any financial year do not correspond to our cost of sales. In this regard, we do not analyse inventory turnover period.

(5) Computed based on current assets over current liabilities as at each financial year end.

(6) Computed based on total borrowings (excluding lease liabilities) over total equity as at each financial year end.

12. FINANCIAL INFORMATION (Cont'd)**12.8.1 Trade receivables turnover**

Our trade receivables turnover (days) for FYE 2022 to FYE 2025 is stated as below:

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Opening trade receivables	35	47	6	1,028
Closing trade receivables	47	6	1,028	766
Average trade receivables	41	27	517	897
Revenue	13,878	23,315	40,324	49,342
Trade receivables turnover (days)	1	*	5	7

* Represents less than 1 day.

Due to the nature of our business, a substantial portion of our revenue is settled on a cash basis, or through financial institutions that provide retail debit or credit card services, or via third party payment channels which support e-wallet QR payments. Our trade receivables from financial institutions and third-party payment channel service providers typically release payment to us on the next or following business days following the transaction date. As such, our trade receivables comprise only receivables in relation to our vending massage chair rental plan as well as royalty income receivable from our licensees in the Philippines and Vietnam.

For illustration purpose, our average trade receivables turnover for licensing of vending massage services segment (days) for FYE 2022 to FYE 2025 is stated as below:

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Opening trade receivables for licensing of vending massage services segment	-	-	-	1,027
Closing trade receivables for licensing of vending massage services segment	-	-	1,027	691
Average trade receivables for licensing of vending massage services segment	-	-	514	859
Revenue from licensing of vending massage services segment	-	-	3,363	3,106
Trade receivables turnover (days)	N/A	N/A	56	101

Our trade receivables for licensing of vending massage services segment comprise royalty income receivable from our licensees in Philippines and Vietnam. During FYE 2024, we had adopted the same credit term of 270 days granted by our predecessor, Gintell (M) to the licensees and such credit terms reflected a longer credit term as requested by the licensees as they were then recovering from the effects of the COVID-19 pandemic. Subsequent to FYE 2024, following discussions with the licensees, our Group has revised the credit terms granted to such licensees from 0 to 120 days from the date of invoice. Our trade receivable turnover days for FYE 2024 and FYE 2025 were less than the credit terms granted to our licensees.

12. FINANCIAL INFORMATION (Cont'd)

Our Group's trade receivable turnover days for FYE 2025 increased to 101 days (FYE 2024: 56 days) despite our credit period of 120 days (reduced from 270 days previously). For clarification, as our Group's first year of operations for the licensing of vending massage services segment commenced in FYE 2024 with no opening trade receivables balance. Hence, for illustration, if using the closing trade receivables as at 31 December 2024 to compute the restated trade receivable turnover period for FYE 2024 for the licensing of vending massage services segment of RM1.0 million, the restated trade receivable turnover days for such segment would be 112 days for FYE 2024.

The ageing analysis of our trade receivables as at 31 December 2025 is as follows:

	Trade receivables as at 31 December 2025		Collection from 1 January 2026 up to LPD	Balance as at LPD
	RM'000	Percentage of trade receivables (a)/total of (a)	RM'000	RM'000
	(a)	(a)	(b)	(c) = (a)-(b)
Neither past due nor impaired	760	99.2	757	3
Past due but not impaired:	6	0.8	4	2
- less than 30 days	4	0.5	4	-
- 31 to 60 days	-	-	-	-
- 61 to 90 days	(1)	(2)	(1)	-
- over 90 days	2	0.3	-	2
Total	766	100.0	761	5

Notes:

(1) Represents less than RM1,000.

(2) Represents less than 0.1%.

As at 31 December 2025, our trade receivables stood at RM0.8 million, of which 99.2% of the trade receivables are within the normal credit period. As at LPD, we have collected RM0.8 million or 99.2% of our total outstanding trade receivables as at 31 December 2025.

Our Group has in place a credit procedure to monitor and minimise the exposure of default. Receivables are monitored on a regular and ongoing basis. Credit evaluations are performed on all customers requiring credit, specifically for the vending massage chair rental plan segment. All our outstanding debts are closely monitored by our management personnel and reported to authorised management personnel on a periodic basis. We also conduct periodic credit control meetings with our sales and marketing team to monitor collections and recoverability of our debts.

12. FINANCIAL INFORMATION (Cont'd)**12.8.2 Trade payables turnover**

Our trade payables turnover (days) for FYE 2022 to FYE 2025 is stated as below:

	Audited			
	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Opening trade payables	2,228	2,532	1,714	720
Closing trade payables	2,532	1,714	720	1,438
Average trade payables	2,380	2,123	1,217	1,079
Cost of sales (excluding depreciation expenses and staff-related costs)	4,228	6,050	9,212	13,905
Trade payables turnover (days)	205	128	48	28

Our trade payables comprise only amount owing to landlords for the rental of our RNG stations and RNG premium outlets. The normal credit terms granted to us by our suppliers range from 30 to 60 days from the date of invoice. Our trade payables turnover days for FYE 2022, 2023, 2024 and 2025 were 205 days, 128 days, 48 days and 28 days respectively.

Our trade payables turnover days for FYE 2022 was 205 days, which exceeded the normal credit terms granted by our suppliers. This was mainly due to the long outstanding payables of RM1.7 million owing to our landlords for the rental of spaces, as our landlords allowed us a longer period for payment in view of the adverse impact of COVID-19 on our business operations.

Our trade payables turnover days decreased to 128 days in FYE 2023 (FYE 2022: 205 days), following the progressive payments made to our landlords. However, the trade payables turnover days still exceeded the normal credit terms granted by our suppliers, mainly due to long outstanding payables of RM0.8 million owing to landlords for the rental of spaces. The said amount was fully settled in FYE 2024.

Our trade payables turnover days decreased to 48 days in FYE 2024 (FYE 2023: 128 days) following the settlement of our long outstanding payables, coupled with timely payment made to our landlords during FYE 2024.

Our trade payables turnover days decreased to 28 days in FYE 2025 (FYE 2024: 48 days) mainly due to timely payment made to our landlords during FYE 2025.

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12. FINANCIAL INFORMATION (Cont'd)

The ageing analysis of our trade payables as at 31 December 2025 is as follows:

	Trade payables as at 31 December 2025		Payment from 1 January 2026 up to LPD	Balance as at LPD
	RM'000	Percentage of trade payables (a)/total of (a)	RM'000	RM'000 (c) = (a)- (b)
	(a)	(a)	(b)	(b)
Within credit period	1,314	91.4	1,299	15
Exceeding credit period:	124	8.6	18	106
- 1 to 30 days	1	0.1	-	1
- 31 to 60 days	-	-	-	-
- More than 60 days	123	8.6	18	105
Total	1,438	100.0	1,317	121

As at 31 December 2025, our total trade payables stood at RM1.4 million, with RM0.1 million exceeding the normal credit period. As at LPD, RM1.3 million or 91.6% of our trade payables as at 31 December 2025 have been paid. In FYE 2025, our Group incurred late payment interest of RM0.04 million imposed by our landlords, mainly arising from delays in finalising rental expenses related to collection sharing with landlords and other related charges payable, resulting in payments being made after their respective due dates.

As at LPD, there are no outstanding disputes in respect of our trade payables and there is no legal action initiated by our suppliers to demand payment from us.

12.8.3 Current ratio

Our current ratio throughout FYE 2022 to 2025 is as follows:

	As at 31 December			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Current assets	7,548	3,765	20,664	20,288
Current liabilities	17,497	18,010	17,421	19,925
Net current (liabilities)/ assets	(9,949)	(14,245)	3,243	363
Current ratio (times)	0.4	0.2	1.2	1.0

For FYE 2022 to 2025, our current ratio ranged from 0.2 times to 1.2 times. Our Group has recorded a current ratio position of less than 1 since FYE 2020 due to the impact of various lockdowns implemented to curb the COVID-19 pandemic, which have adversely affected our business operations. Additionally, we used our cash generated from operations to finance our capital expenditures, primarily consisting of vending massage chairs. This resulted in lower current assets over the financial years as the vending massage chairs are recorded as non-current assets.

During FYE 2022, our Group generated profit and positive operating cash flow following the resumption of business activities. However, we remained in a net current liability position and recorded a current ratio of 0.4 times for FYE 2022, mainly due to the following:

12. FINANCIAL INFORMATION (Cont'd)

- (a) amount of RM4.8 million owing to a related party, namely Gintell (M), in relation to the purchase of vending massage chairs and advances for working capital purposes;
- (b) long outstanding payables of RM1.7 million owing to landlords for the rental of spaces, in view of the adverse impact of COVID-19 on our business operations. The said amount was fully settled in FYE 2024; and
- (c) dividends payable of RM1.1 million.

During FYE 2023, our Group continued to generate profit and positive operating cash flow following our business expansion. Following this, we declared a dividend of RM8.0 million for FYE 2023. Additionally, the internally generated funds were also used for the purchases of property, plant and equipment amounting to RM2.1 million, which primarily consists of vending massage chairs, resulting in the lower current assets position. As such, the current ratio deteriorated to 0.2 times for FYE 2023.

During FYE 2024, our Group's current ratio improved to 1.2 times, mainly due to the amount receivable of RM10.1 million from a related party, namely Gintell (M), in relation to the disposal of our Group's freehold land and building, located at 9, Jalan KIP 3, Taman Perindustrian KIP, 52200 Kuala Lumpur.

During FYE 2025, our Group's current ratio slightly declined to 1.0 times, mainly due to the following:

- (a) absence of amount owing by related parties primarily due to collections received from a related party, namely Gintell (M), in relation to the disposal of the Group's freehold land and building, located at 9 Jalan KIP 3, Taman Perindustrian KIP, 52200 Kuala Lumpur; and
- (b) higher loans and borrowings resulted from the following:
 - (i) higher drawdown of revolving credit to finance the purchase of additional vending massage chairs for the expansion of our operations; and
 - (ii) increase in lease liabilities resulting from the increase in rented RNG stations and RNG premium outlets during FYE 2025 which is evident by the number of increased locations.

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12. FINANCIAL INFORMATION (Cont'd)**12.8.4 Gearing ratio**

Our gearing ratio throughout FYE 2022 to 2025 is as follows:

	As at 31 December			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Total borrowings ⁽¹⁾	17,863	15,332	15,477	16,812
Total equity	7,060	6,398	24,250	30,382
Gearing ratio (times)	2.5	2.4	0.6	0.6

Note:

⁽¹⁾ Excluding lease liabilities arising from rental of RNG stations and RNG premium outlets.

Our gearing ratio ranges from 0.6 times to 2.5 times for FYE 2022 to 2025. Our gearing ratio of 2.5 times as at 31 December 2022 was mainly due to the term loans undertaken in the previous financial years to finance the purchase of freehold lands and buildings⁽¹⁾. Our gearing ratio as at 31 December 2023 was 2.4 times which did not fluctuate significantly from the gearing ratio of 2.5 times as at 31 December 2022.

Our gearing ratio as at 31 December 2024 decreased to 0.6 times (as at 31 December 2023: 2.4 times), mainly due to the higher total equity arising from the net profits recorded during FYE 2024.

Our gearing ratio as at 31 December 2025 and 31 December 2024 remained consistent at 0.6 times.

Note:

⁽¹⁾ Relates to (i) our Group's head office and storage cum showroom located at 27, Jalan Persiaran Industri, Bandar Sri Damansara, 52200 Kuala Lumpur, acquired from third parties (Choo Nyun Ha and Lee Kheng Fui) for a total purchase consideration of RM7.9 million in 2011; and (ii) our Group and Gintel (M)'s previous shared office, located at 9, Jalan KIP 3, Taman Perindustrian KIP, 52200 Kuala Lumpur, acquired from a third party (Ngoh Kiong Co Sdn Bhd) for a total purchase consideration of RM8.5 million in 2013.

12.9 SIGNIFICANT FACTORS AFFECTING OUR GROUP'S FINANCIAL PERFORMANCE

Please refer to Section 9 for the details of risk factors relating to our business and the industry in which we operate in. Some of these risk factors have an impact on our Group's revenue and financial performance. The main factors which affect our revenue and profit include but not limited to the following:

12. FINANCIAL INFORMATION (Cont'd)**(a) We may be adversely affected by the failure of our digital systems**

Our business is supported by our in-house digital system which enables our Group to optimise our operations off-site, beginning from the collection and validation of payment, storage of transaction data as well as performance and business analysis on each vending massage chair.

In the event of failure of our digital systems or other third-party system linked to our digital system without timely rectification, our business operations may be materially and adversely impacted. For the financial years under review and up to LPD, we did not experience major downtime to our digital systems that had a material adverse impact on our business operations and financial performance.

Please refer to Section 9.1.1 for further details.

(b) Our continued success is dependent on our ability to secure suitable locations for our new RNG stations and RNG premium outlets and to renew the tenancies of our existing RNG stations and RNG premium outlets at terms which are acceptable to us.

As at LPD, all our existing RNG stations and RNG premium outlets are operating under rented properties, whereby we either enter into a rental and/ or collection sharing arrangement with the landlords/ management of the respective establishments. There can be no assurance that we will be able to continue operating at these locations by successfully renewing the tenancies and/or collection sharing agreement upon the expiry of the agreements for these locations.

Please refer to Section 9.1.2 for further details.

(c) We are dependent on both Gintell (M) and Gintell (Thailand) for the supply of our vending massage chairs

Since the commencement of our Group's operations in 2009, we were solely dependent on Gintell (M) (a related entity with common shareholders) for the supply of vending massage chairs. Subsequently, beginning FYE 2025, we began to also source from Gintell (Thailand) (a related entity with common shareholders) for the supply of vending massage chairs.

During the financial years under review and up to LPD, the costs incurred for the purchase of vending massage chairs from Gintell (M) and Gintell (Thailand) amounted to RM1.8 million, RM2.0 million, RM10.0 million, RM7.9 million and RM6.5 million respectively.

Although we have a good relationship with Gintell (M) and Gintell (Thailand), there is no assurance that there will be no disruption in supply from, or change in the relationship with Gintell (M) and/ or Gintell (Thailand) moving forward, which may, in the event of such occurrence, negatively affect our business operations.

Please refer to Section 9.1.4 for further details.

12. FINANCIAL INFORMATION (Cont'd)**12.10 IMPACT OF GOVERNMENT, ECONOMIC, FISCAL OR MONETARY POLICIES**

Save for policies in relation to COVID-19 pandemic, there were no other government, economic, fiscal or monetary policies or factors which have materially affected our financial performance during FYE 2022 to 2025. However, there can be no assurance that our financial performance will not be adversely affected by the impact of further changes in government, economic, fiscal or monetary policies or factors moving forward.

Risks relating to government, economic, fiscal or monetary policies or factors which may adversely and materially affect our operations are set out in Section 9.

12.11 IMPACT OF INFLATION

During FYE 2022 to 2025, our financial performance was not materially affected by the impact of inflation. However, there is no assurance that our financial performance will not be adversely affected by the impact of inflation moving forward. Any significant increase in our costs of sales in the future may adversely affect our operations and performance if we are unable to pass on the higher costs to our customers through an increase in selling prices.

12.12 IMPACT OF FOREIGN EXCHANGE RATES, INTEREST RATES AND/ OR COMMODITY PRICES ON OUR GROUP'S OPERATIONS**(a) Impact of foreign exchange rates**

Our Group's gain or loss from foreign exchange fluctuations for FYE 2022 to 2025 are as follows:

	FYE 2022	FYE 2023	FYE 2024	FYE 2025
	RM'000	RM'000	RM'000	RM'000
Net realised gain/ (loss) on foreign exchange	50	85	(83)	(200)
Net unrealised gain/ (loss) on foreign exchange	84	(1)	10	(357)
Net gain/ (loss)	134	84	(73)	(557)

Based on the table above, our Group has not been materially impacted by the foreign exchange fluctuations.

Impact of foreign exchange rates to our Group as at 31 December 2025 is as follows:

	RM'000 equivalent of balances denominated in USD
Financial assets	
Trade and other receivables	714
Amount due from related parties	-
Cash and bank balances	914
	1,628

12. FINANCIAL INFORMATION (Cont'd)

Based on the table above:

- (i) Our foreign currency trade and other receivables represent only 4.8% of our total trade and other receivables as at 31 December 2025; and
- (ii) Our foreign currency cash and bank balances represent only 26.0% of our total cash and bank balances as at 31 December 2025.

A sensitivity analysis performed on our Group's foreign currency financial assets and liabilities as at 31 December 2025 indicates that our PAT for FYE 2025 would increase or decrease by approximately RM32,000, as a result of a 5.0% strengthening or weakening of RM against USD.

(b) Impact of interest rates

Our exposure to changes in interest rate risk relates primarily to our loans and borrowings.

A sensitivity analysis performed on our Group based on the outstanding floating rate of our loans and borrowings as at 31 December 2025 indicates that our PAT for FYE 2025 would increase or decrease by approximately RM0.1 million, as a result of increase or decrease in interest rates by 50 basis points on these borrowings.

Our financial results for FYE 2022 to 2025 were not materially affected by fluctuations in interest rates.

(c) Impact of commodity prices

Our financial performance was not affected by fluctuations in commodity prices for FYE 2022 to 2025.

12.13 ORDER BOOK

Due to the nature of our business, we do not maintain an order book.

12.14 SIGNIFICANT CHANGES

Save for the Acquisitions and the Pre-IPO Restructuring Exercise as disclosed in Section 6.2, there were no significant changes which may have a material effect on the financial position and results of our Group subsequent to FYE 2025.

12.15 DIRECTORS' STATEMENT ON OUR GROUP'S FINANCIAL PERFORMANCE

Our Board is of the opinion that:

- (a) our revenue will remain sustainable with an upward growth trend, in line with positive outlook of the vending massage chair services industry in Malaysia, Singapore, Thailand, Cambodia, Brunei Darussalam, Vietnam and the Philippines as set out in the IMR Report in Section 8;
- (b) our liquidity will improve subsequent to the Public Issue, given the additional funds to be raised for our Group to carry out our business strategies and future plans as stated in Section 7.5; and

12. FINANCIAL INFORMATION (Cont'd)

- (c) our capital resources will strengthen, considering the proceeds to be raised from the Public Issue as well as internally generated funds. We may consider debt funding for our business expansion should the need arise.

In addition to the above, our Board confirms that there are no circumstances which would result in a significant decline in our revenue and GP margin, or know of any factors that are likely to have a material impact on our liquidity, revenue or profitability.

12.16 TREND INFORMATION

As at LPD, after all reasonable enquiries, our Board confirms that our operations have not been and are not expected to be affected by any of the following:

- (a) known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have, a material impact on our Group's financial performance, position and operations other than those discussed in Sections 7.15, 12.2, 12.9, 12.10, 12.11 and 12.12;
- (b) material commitments for capital expenditure as disclosed in Section 12.6;
- (c) unusual, infrequent events or transactions or any significant economic changes that have materially affected the financial performance, position and operations of our Group save as discussed in Sections 7.15, 9, 12.2, 12.9, 12.10, 12.11 and 12.12; and
- (d) known trends, demands, commitments, events or uncertainties that are reasonably likely to make our Group's historical combined financial statements not necessarily indicative of the future financial performance and position other than those discussed in Sections 7.15, 12.2, 12.9, 12.10, 12.11 and 12.12.

Based on the above, our Board is optimistic about the future prospects of our Group given the long term positive outlook of the vending massage chair services industry in Malaysia, Singapore, Thailand, Cambodia, Brunei Darussalam, Vietnam and the Philippines as set out in the IMR Report in Section 8, our Group's competitive strengths as set out in Section 7.4 and our Group's intention to implement the business strategies as set out in Section 7.5.

12.17 DIVIDEND POLICY

It is our Board's policy to recommend dividends to allow our shareholders to participate in the profits of our Group. As part of this policy, we commit to achieve a dividend payout ratio of at least 30.0% of our annual PAT after taking into account the capital expenditure and working capital requirements of our Group. However, our ability to pay dividends or make other distributions to our shareholders in the future years is subject to various factors, such as having profits and excess funds, which are not required to be retained to fund our business.

Our Board will consider the following factors (which may not be exhaustive) when recommending dividends for approval by our shareholders or when declaring any interim dividends:

- (a) the level of cash and level of indebtedness;
- (b) required and expected interest expenses, cash flows, profits, return on equity, and retained earnings;
- (c) our expected results of operations and future level of operations;

12. FINANCIAL INFORMATION (Cont'd)

- (d) our projected levels of capital expenditure and other investment plans; and
- (e) prior consent from our lenders, if any.

As our Company is an investment holding company, our income and therefore our ability to pay dividends is dependent upon the dividends we receive from our subsidiaries, present or future. Our subsidiaries will require their financiers' consent as set out in the respective facility agreements to pay dividends to our Company. Save for compliance with the solvency requirement under the Act, which is applicable to all Malaysian companies, there are no legal, financial, or economic restrictions on the ability of our existing subsidiaries to transfer funds in the form of cash dividends, loans or advances to us.

During FYE 2022 to 2025 and up to LPD, we declared and paid the following dividends:

	FYE 2022	FYE 2023	FYE 2024	FYE 2025	1 January 2026 up to LPD
	RM'000	RM'000	RM'000	RM'000	RM'000
Dividends declared	1,100 ⁽¹⁾	8,000 ⁽²⁾	-	-	-
Dividends paid	-	7,735 ⁽¹⁾⁽²⁾	1,365 ⁽²⁾	-	-

Notes:

- ⁽¹⁾ Dividends of RM1.1 million declared in FYE 2022 was paid to Dato' Goh Cheh Yak and Datin Tan Sok Fei in FYE 2023.
- ⁽²⁾ Dividend of RM8.0 million declared to Dato' Goh Cheh Yak and Datin Tan Sok Fei in FYE 2023 was used to offset receivables of RM5.9 million assigned to Dato' Goh Cheh Yak in FYE 2023 (details as set out in Section 10.1), and RM0.7 million in expenses paid on behalf by Dato' Goh Cheh Yak in FYE 2024.

The remaining RM1.4 million dividends declared in FYE 2023 was used to offset receivables assigned to Dato' Goh Cheh Yak in FYE 2024 (details as set out in Section 10.1).

Save for the above, there were no further dividends declared and/ or paid after FYE 2025 and up to LPD. Our Group does not intend to declare and pay any dividends in respect of FYE 2025 prior to the Listing, taking into consideration our Group's capital expenditure requirements for the expansion of our vending massage services segment.

You should take note that this dividend policy merely describes our current intention and shall not constitute legally binding statements in respect of our future dividends that are subject to our Board's discretion.

12.18 CAPITALISATION AND INDEBTEDNESS

The table below summarises our capitalisation and indebtedness:

- (a) Based on the latest unaudited combined financial information of our Group as at 30 April 2026; and
- (b) After adjusting for the effects of the Acquisitions, Public Issue and utilisation of proceeds.

12. FINANCIAL INFORMATION (Cont'd)

	Unaudited	I	II
	As at 30 April 2026	After the Acquisitions and Public Issue	After I and use of proceeds
	RM'000	RM'000	RM'000
Current			
<i>Secured and guaranteed</i>			
Term loans	1,720	1,720	1,720
Revolving credit	5,000	5,000	2,000
	6,720	6,720	3,720
<i>Unsecured and unguaranteed</i>			
Lease liabilities	8,791	8,791	8,791
Non-current			
<i>Secured and guaranteed</i>			
Term loans	9,150	9,150	9,150
<i>Unsecured and unguaranteed</i>			
Lease liabilities	4,785	4,785	4,785
Total indebtedness:	29,446	29,446	26,446
Total indebtedness (excluding lease liabilities)	15,870	15,870	12,870
Capitalisation			
Share capital	-	41,063	39,943
Invested equity	3,514	-	-
Reorganisation reserve	-	(21,159)	(21,159)
Total capitalisation	3,514	19,904	18,784
Total capitalisation and indebtedness	32,960	49,350	45,230
Debt-to-capital ratio (times) ⁽¹⁾	4.5	0.8	0.7

Note:

⁽¹⁾ Calculated based on total indebtedness (excluding lease liabilities) divided by total capitalisation.

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13. ACCOUNTANTS' REPORT



26 May 2026

The Board of Directors
RNG Tech Berhad
27, Persiaran Industri
Bandar Sri Damansara
52200 Kuala Lumpur

Dear Sirs,

Baker Tilly Monteiro Heng PLT
201906000600(LLP0019411-LCA)
Chartered Accountants (AF 0117)
Baker Tilly Tower
Level 10, Tower 1, Avenue 5
Bangsar South City
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Reporting Accountants' opinion on the Financial Statements contained in the Accountants' Report of RNG Tech Berhad ("RNG Tech" or the "Company")

Opinion

We have audited the accompanying financial statements of the Company and its operating entities as detailed in Note 2 to the combined financial statements (collectively referred to as the "Group"), which comprise the combined statements of financial position as at 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025, the combined statements of comprehensive income, combined statements of changes in equity and combined statements of cash flows for the financial years ended ("FYE(s)") 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025, and notes to the combined financial statements, including material accounting policy information, as set out on pages 6 to 78.

In our opinion, the accompanying combined financial statements contained in the Accountants' Report of the Company gives a true and fair view of the combined financial positions of the Company as at 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025, and of its financial performance and its cash flows for the FYEs 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025, in accordance with the Malaysian Financial Reporting Standards and International Financial Reporting Standards as well as Chapter 10, Part II Division 1: Equity of the Prospectus Guidelines as issued by the Securities Commission Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD
(Incorporated in Malaysia)

Independence and Other Ethical Responsibilities

We are independent of the Company in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Responsibilities of the Directors for the Combined Financial Statements

The directors of the Company are responsible for the preparation of the financial statements contained in the Accountants' Report of the Company, so as to give a true and fair view in accordance with the Malaysian Financial Reporting Standards and the International Financial Reporting Standards. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of the combined financial statements of the Group that are free from material misstatement, whether due to fraud or error.

In preparing the combined financial statements of the Group, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Reporting Accountants' Responsibilities for the Audit of the Combined Financial Statements

Our objectives are to obtain reasonable assurance about whether the combined financial statements of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue a Reporting Accountants' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these combined financial statements.

13. ACCOUNTANTS' REPORT (*Cont'd*)



RNG TECH BERHAD
(Incorporated in Malaysia)

Reporting Accountants' Responsibilities for the Audit of the Combined Financial Statements (continued)

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the combined financial statements of the Group, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Reporting Accountants' report to the related disclosures in the combined financial statements of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Reporting Accountants' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- evaluate the overall presentation, structure and content of the combined financial statements of the Group, including the disclosures, and whether the combined financial statements of the Group represent the underlying transactions and events in a manner that achieves fair presentation.
- plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

13. ACCOUNTANTS' REPORT (Cont'd)



RNG TECH BERHAD
(Incorporated in Malaysia)

Other Matter

This report is made solely to the Company and has been prepared solely to comply with the Prospectus Guidelines issued by the Securities Commission Malaysia for inclusion in the Prospectus of the Company in connection with the listing of and quotation for the entire enlarged issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad and should not be relied upon any other purpose. We do not assume responsibility to any other person for the content of this report.

A handwritten signature in black ink, appearing to read "Baker Tilly Monteiro Heng".

Baker Tilly Monteiro Heng PLT
201906000600 (LLP0019411-LCA) & AF 0117
Chartered Accountants

A handwritten signature in black ink, appearing to read "Paul".

Paul Tan Hong
No. 03459/11/2027 J
Chartered Accountant

Kuala Lumpur

Date: 26 May 2026

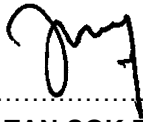
13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD
Accountants' Report

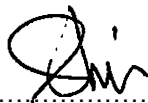
STATEMENT BY DIRECTORS

We, **DATO' GOH CHEH YAK** and **DATIN TAN SOK FEI**, being two of the directors of RNG TECH BERHAD, do hereby state that in the opinion of the directors, the accompanying combined financial statements are drawn up in accordance with the Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Company as at 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025 and of its financial performance and cash flows for the financial years ended 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025.

Signed on behalf of the Board of Directors in accordance with a resolution of the directors:



.....
DATIN TAN SOK FEI
Director



.....
SHIN KOK LEONG
Director

Kuala Lumpur

Date: **26 MAY 2026**

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

COMBINED STATEMENTS OF FINANCIAL POSITION

		As at 31 December			
Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000	
ASSETS					
Non-current assets					
Property, plant and equipment	5	28,187	28,685	27,265	34,301
Right-of-use assets	6	1,640	4,655	9,546	12,920
Investment in a subsidiary	7	645	-	-	-
Total non-current assets		30,472	33,340	36,811	47,221
Current assets					
Inventories	8	228	37	457	205
Trade and other receivables	9	6,455	2,133	16,081	14,722
Contract assets	10	-	-	837	1,842
Current tax assets		71	3	-	-
Cash and short-term deposits	11	794	947	3,289	3,519
		7,548	3,120	20,664	20,288
Assets of a disposal group classified as held for sale	12	-	645	-	-
Total current assets		7,548	3,765	20,664	20,288
TOTAL ASSETS		38,020	37,105	57,475	67,509
EQUITY AND LIABILITIES					
Equity attributable to owners of the Company					
Invested equity	13	500	500	3,258	3,514
Revaluation reserves	14	5,092	5,069	3,071	3,058
Exchange reserve	15	-	-	(65)	(190)
Retained earnings		1,468	829	17,986	24,047
		7,060	6,398	24,250	30,429
Non-controlling interest		-	-	-	(47)
TOTAL EQUITY		7,060	6,398	24,250	30,382

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**
Accountants' Report**COMBINED STATEMENTS OF FINANCIAL POSITION (CONTINUED)**

		← As at 31 December →			
	Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Non-current liabilities					
Loans and borrowings	16	13,334	12,597	15,475	16,944
Deferred tax liabilities	17	129	100	329	258
Total non-current liabilities		13,463	12,697	15,804	17,202
Current liabilities					
Loans and borrowings	16	6,228	7,564	9,929	13,335
Trade and other payables	18	10,475	9,547	5,991	4,205
Contract liabilities	10	794	899	1,056	1,623
Current tax liabilities		-	-	445	762
Total current liabilities		17,497	18,010	17,421	19,925
TOTAL LIABILITIES		30,960	30,707	33,225	37,127
TOTAL EQUITY AND LIABILITIES		38,020	37,105	57,475	67,509

The accompanying notes form an integral part of these financial statements.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

COMBINED STATEMENTS OF COMPREHENSIVE INCOME

		← FYE 31 December →			
	Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Revenue	19	13,878	23,315	40,324	49,342
Cost of sales		(7,888)	(11,762)	(18,010)	(30,329)
Gross profit		5,990	11,553	22,314	19,013
Other income	20	639	515	2,754	192
Marketing and distribution expenses		(428)	(533)	(798)	(1,529)
Administrative expenses		(2,990)	(2,280)	(5,094)	(7,140)
Other operating expenses		(31)	(49)	(139)	(616)
Operating profit		3,180	9,206	19,037	9,920
Finance costs	21	(1,140)	(1,283)	(1,387)	(1,582)
Profit before tax	22	2,040	7,923	17,650	8,338
Income tax benefit/(expense)	24	275	(585)	(3,132)	(2,338)
Profit for the financial year		2,315	7,338	14,518	6,000
Other comprehensive income					
Exchange differences on translation of foreign operations		-	-	(65)	(124)
Realisation on revaluation surplus		-	-	641	-
Other comprehensive income for the financial year		-	-	576	(124)
Total comprehensive income for the financial year		2,315	7,338	15,094	5,876
Profit/(Loss) attributable to:					
Owners of the Company		2,315	7,338	14,518	6,048
Non-controlling interests		-	-	-	(48)
		2,315	7,338	14,518	6,000
Total comprehensive income/(loss) attributable to:					
Owners of the Company		2,315	7,338	15,094	5,923
Non-controlling interests		-	-	-	(47)
		2,315	7,338	15,094	5,876
Earnings per share					
Basic (sen)	25	463	1,468	1,548	424

The accompanying notes form an integral part of these financial statements.

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD

Accountants' Report

COMBINED STATEMENTS OF CHANGES IN EQUITY

Note	Attributable to owners of the Company				Total equity RM'000
	Invested equity RM'000	Exchange reserve RM'000	Revaluation reserves RM'000	Retained earnings RM'000	
At 1 January 2022	500	-	5,115	230	5,845
Total comprehensive income for the financial year					
Profit for the financial year, representing total comprehensive income for the financial year	-	-	-	2,315	2,315
Realisation on revaluation reserve	-	-	(23)	23	-
Transactions with owners					
Dividends declared	-	-	-	(1,100)	(1,100)
At 31 December 2022	500	-	5,092	1,468	7,060

13. ACCOUNTANTS' REPORT (Cont'd)
RNG TECH BERHAD

Accountants' Report

COMBINED STATEMENTS OF CHANGES IN EQUITY (CONTINUED)

Note	Attributable to owners of the Company				Total equity RM'000
	Invested equity RM'000	Exchange reserve RM'000	Revaluation reserves RM'000	Retained earnings RM'000	
At 1 January 2023	500	-	5,092	1,468	7,060
Total comprehensive income for the financial year					
Profit for the financial year, representing total comprehensive income for the financial year	-	-	-	7,338	7,338
Realisation on revaluation reserve	-	-	(23)	23	-
Transactions with owners					
Dividends declared	-	-	-	(8,000)	(8,000)
At 31 December 2023	500	-	5,069	829	6,398

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD Accountants' Report

COMBINED STATEMENTS OF CHANGES IN EQUITY (CONTINUED)

Note	Attributable to owners of the Company				Total equity RM'000
	Invested equity RM'000	Exchange reserve RM'000	Revaluation reserves RM'000	Retained earnings RM'000	
At 1 January 2024	500	-	5,069	829	6,398
Total comprehensive income for the financial year					
Profit for the financial year	-	-	-	14,518	14,518
Other comprehensive income	-	(65)	641	-	576
Total comprehensive income	-	(65)	641	14,518	15,094
Realisation on revaluation reserve	-	-	(2,639)	2,639	-
Transactions with owners					
Issuance of ordinary shares	2,758	-	-	-	2,758
At 31 December 2024	3,258	(65)	3,071	17,986	24,250

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD Accountants' Report

COMBINED STATEMENTS OF CHANGES IN EQUITY (CONTINUED)

Note	Attributable to owners of the Company				Sub-total RM'000	Non- controlling interests RM'000	Total equity RM'000
	Invested equity RM'000	Exchange reserve RM'000	Revaluation reserve RM'000	Retained earnings RM'000			
At 1 January 2025	3,258	(65)	3,071	17,986	24,250	-	24,250
Total comprehensive income for the financial year							
Profit/(loss) for the financial year	-	-	-	6,048	6,048	(48)	6,000
Other comprehensive (loss)/income	-	(125)	-	-	(125)	1	(124)
Total comprehensive (loss)/income	-	(125)	-	6,048	5,923	(47)	5,876
Realisation on revaluation reserve	-	-	(13)	13	-	-	-
Transactions with owners							
Issuance of ordinary shares	256	-	-	-	256	-	256
At 31 December 2025	3,514	(190)	3,058	24,047	30,429	(47)	30,382

The accompanying notes form an integral part of these financial statements.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

COMBINED STATEMENTS OF CASH FLOWS

	FYE 31 December			
Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Cash flows from operating activities				
Profit before tax	2,040	7,923	17,650	8,338
Adjustments for:				
Depreciation of property, plant and equipment	1,611	1,594	1,966	3,932
Depreciation of right-of-use assets	584	1,362	3,152	6,492
Finance costs	1,140	1,283	1,387	1,582
Interest income	(1)	*	(7)	(17)
Net unrealised (gain)/loss on foreign exchange	(84)	1	(10)	357
Gain on disposal of property, plant and equipment	(301)	(212)	(2,456)	(32)
(Gain)/Loss on lease modification	-	(1)	15	64
(Gain)/Loss on lease termination	-	-	(3)	(33)
Gain on deemed disposal of subsidiary	-	-	(62)	-
Loss on written off of property, plant and equipment	-	7	-	3
Inventories written off	29	-	-	-
Waiver of debts	-	-	(62)	(43)
Provision on forfeited deposit	547	-	-	-
Reversal of provision on forfeited deposit	-	(180)	-	-
Reversal of provision on slow-moving stocks	-	-	(29)	-
Operating profit before changes in working capital	5,565	11,777	21,541	20,643
<u>Changes in working capital:</u>				
Inventories	(140)	191	(391)	252
Contract assets and liabilities	141	105	(680)	(425)
Trade and other receivables	86	358	(3,079)	(10,057)
Trade and other payables	241	(616)	211	515
Net cash generated from operations	5,893	11,815	17,602	10,928
Income tax paid	(4)	(547)	(2,507)	(2,096)
Interests paid	(16)	(13)	(11)	(1)
Interests received	1	*	7	17
Net cash from operating activities	5,874	11,255	15,091	8,848

* Denotes < RM1,000

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

COMBINED STATEMENTS OF CASH FLOWS (CONTINUED)

		FYE 31 December			
	Note	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Cash flows from investing activities					
Purchase of property, plant and equipment		(1,807)	(2,111)	(11,096)	(11,225)
Proceeds from disposal of property, plant and equipment		279	223	3,598	280
Dividend received		1,760	-	-	-
Net cash from/(used in) investing activities		232	(1,888)	(7,498)	(10,945)
Cash flows from financing activities					
	11(ii)				
Proceeds from issuance of ordinary shares		-	-	685	256
Drawdown of term loans		6,300	-	2,839	3,734
Repayment of term loans		(7,696)	(2,668)	(3,117)	(6,199)
Repayment of lease liabilities		(534)	(1,246)	(2,955)	(6,368)
Drawdown of revolving credit		9,000	9,000	9,000	16,000
Repayment of revolving credit		(9,000)	(9,000)	(10,800)	(12,200)
Drawdown of bankers' acceptance		-	-	-	2,637
Repayment of bankers' acceptance		-	-	-	(2,637)
Net change in amount owing to/(by) related parties		(1,455)	(3,407)	1,170	9,279
Net change in amount owing to/(by) directors		(1,315)	335	(299)	(574)
Interests paid		(1,124)	(1,270)	(1,374)	(1,581)
Dividends paid		-	(1,100)	-	-
Net cash (used in)/from financing activities		(5,824)	(9,356)	(4,851)	2,347
Net increase in cash and cash equivalents		282	11	2,742	250
Cash and cash equivalents at the beginning of the financial year		296	561	577	3,289
Effect of exchange rate changes on cash and bank balances		(17)	5	(30)	(20)
Cash and cash equivalents at the end of the financial years	11(i)	561	577	3,289	3,519

The accompanying notes form an integral part of these financial statements.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS**1. GENERAL INFORMATION**

RNG Tech Berhad ("RNG Tech" or the "Company") was incorporated as a private company limited by shares on 23 April 2024 under Companies Act 2016 and is domiciled in Malaysia. On 14 August 2025, RNG Tech was converted to a public limited company.

The registered office of the Company is located at B-21-1, Level 21, Tower B, Northpoint Mid Valley City, No. 1, Medan Syed Putra Utara, 59200 Kuala Lumpur W.P. Kuala Lumpur. The principal place of business of the Company is located at No. 27, Jalan Persiaran Industri, Bandar Sri Damansara, 52200 Kuala Lumpur.

The principal activity of the Company is investment holding. The details of the subsidiary and combining entities are as follows:

Name of the Company	Principal place of business/ country of incorporation	Principal activities
Rest N Go App Sdn. Bhd. ("RNG MY")	Malaysia	Provision of vending massage services, provision of vending massage chair rental plans in Malaysia and licensing of vending massage services business
Rest N Go (Singapore) Pte. Ltd. ("RNG SG")	Singapore	Provision of vending massage services in Singapore and provision of vending massage chair rental plans
Rest N Go (Thailand) Company Limited ("RNG TH")	Thailand	Provision of vending massage services in Thailand
Subsidiaries of RNG Tech		
Rest N Go (Cambodia) Co., Ltd. ("RNG KH")	Combodia	Provision of vending massage services in Cambodia
Rest N Go (B) Sdn. Bhd. ("RNG BRN")	Brunei	Provision of vending massage services in Brunei and provision of vending massage chair rental plans

There have been no significant changes in the nature of these principal activities during the financial years under review.

The combined financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the directors on 26 May 2026.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**1. GENERAL INFORMATION (CONTINUED)****(a) Incorporation of RNG SG**

On 8 March 2024, RNG SG was incorporated with shareholding of SGD200,000 at SGD1.00 each share under common control.

(b) Incorporation of RNG TH

On 15 July 2024, RNG TH was incorporated with shareholding of THB2,000,000 at THB1.00 each share under common control.

(c) Incorporation of RNG KH

On 27 December 2024, the Company incorporated a wholly owned subsidiary in Cambodia, RNG KH, with shareholding of USD45,000 at USD1.00 each share.

(d) Incorporation of RNG BRN

On 21 January 2025, the Company incorporated with an authorised share capital of BND100,000 at BND1 each share and issued and paid up share capital of BND40,000 at BND1 each share

2. BASIS OF PREPARATION

The combined financial statements of RNG Tech consist of the financial statements of the following entities under common control which is accounted for using the merger method of accounting (collectively hereinafter referred to as the "Group") for each of the financial years:

Entities Under Common Control	FYE 31 December			
	2022	2023	2024	2025
RNG MY	√	√	√, ^	√, ^
RNG SG	>	>	√, #	√, #
RNG TH	<	<	√, #	√, #
RNG KH	+	+	+	√, #
RNG BRN	*	*	*	√, #

√ The combined financial statements of the Group include the financial statements of these combining entities prepared in accordance with the Malaysian Financial Reporting Standards ("MFRSs") and/or the International Financial Reporting Standards ("IFRSs") for the respective financial years.

^ The combined financial statements of the Group for the respective financial years have been prepared based on the audited financial statements which were audited by Baker Tilly Monteiro Heng PLT.

The combined financial statements of the Group for the financial years have been prepared based on the audited financial statements which were audited by a firm of chartered accountants other than Baker Tilly Monteiro Heng PLT.

13. ACCOUNTANTS' REPORT *(Cont'd)*

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

- > *No financial statements were available as the Company was incorporated on 8 March 2024.*
- < *No financial statements were available as the Company was incorporated on 15 July 2024.*
- + *No financial statements were available as the Company was incorporated on 27 December 2024.*
- * *No financial statements were available as the Company was incorporated on 21 January 2025.*

The audited financial statements of the Group for the relevant years reported above were not subject to any qualification or modification.

Combined financial statements of the Group for FYE 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025

The combined financial statements of the Group for the relevant periods were prepared in a manner as if the entities under common control were operating as a single economic enterprise from the beginning of the earliest comparative period covered by the relevant period or the dates of incorporation of entities within the Group, if later.

Entities under common control are entities which are ultimately controlled by the same parties and that control is not transitory ("commonly controlled entity"). Control exists when the same parties have, as a result of contractual agreements, ultimate collective power to govern the financial and operating policies of each of the commonly controlled entity so as to obtain benefits from their activities, and that ultimate collective power is not transitory. The financial statements of commonly controlled entity are included in the combined financial statements from the day that control commences until the date that control ceases.

The financial information presented in the financial statements may not correspond to those in the financial statements of the Group had the relevant transactions to legally constitute a group been incorporated in the financial statements for the respective financial years. Such financial information in the financial statements does not purport to predict the financial position, results and the cash flows of the entity under common control for those financial years.

The financial statements are prepared under the historical cost convention except otherwise indicated in the summary of significant accounting policies.

The accounting policies applied by the Group is consistently applied for all the financial years presented in these combined financial statements.

2.1 Statement of compliance

The combined financial statements of the Group have been prepared in accordance with the MFRSs and IFRSs.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**2. BASIS OF PREPARATION (CONTINUED)****2.2 Adoption of amendments of MFRS**

The Company has adopted the following applicable amendments to MFRS for the current financial year:

Amendments of MFRS

MFRS 121	The Effects of Changes in Foreign Exchange Rates
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The adoption of the above amendments to MFRS did not have any significant effect on the financial statements of the Company and did not result in significant changes to the Company's existing accounting policies.

2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective

- (a) The Group has not adopted the following new MFRS and amendments to MFRSs that have been issued, but yet to be effective:

		Effective for financial periods beginning on or after
<u>New MFRS</u>		
MFRS 18	Presentation and Disclosure in Financial Statements	1 January 2027
<u>Amendments to MFRSs</u>		
MFRS 1	First-time Adoption MFRSs	1 January 2026
MFRS 7	Financial instruments: Disclosures	1 January 2026
MFRS 9	Financial instruments	1 January 2026
MFRS 10	Consolidated Financial Statements	1 January 2026/ Deferred
MFRS 107	Statements of Cash Flows	1 January 2026
MFRS 121	The Effects of Changes in Foreign Exchange Rates	1 January 2027
MFRS 128	Investments in Associates and Joint Ventures	Deferred

- (b) The Group plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Group are summarised below:

MFRS 18 Presentation and Disclosure in Financial Statements

MFRS 18 replaces MFRS 101 *Presentation of Financial Statements*. It retains many requirements from MFRS 101 without modification.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**2. BASIS OF PREPARATION (CONTINUED)****2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)**

- (b) The Group plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Group are summarised below: (continued)

MFRS 18 Presentation and Disclosure in Financial Statements (continued)

MFRS 18 introduces two subtotals which are to be presented in the statement of profit or loss – including “operating profit”, which has been specifically defined. Income and expenses shall be presented in five categories: operating, investing, financing, income taxes and discontinued operations.

MFRS 18 requires disclosure of explanations of the entity's company-specific measures that are related to the statement of profit or loss, referred to as management-defined performance measures (“MPMs”). The entity is required to reconcile MPMs to a total or subtotal required by MFRS 18 or another MFRS Accounting Standards. MFRS 18 also requires other disclosures, including how each MPM is calculated, what the MPM communication about the entity's financial performance, and any changes made to the MPMs in the year.

MFRS 18 adds new principles for aggregation and disaggregation of information. It requires the entity to classify the expenses in the “operating” category in the profit or loss by nature or function, or both. The entity that classifies operating expenses by functions are required to disclose in the notes to the financial statements, the amount of depreciation, amortisation, employee benefits, impairment losses and write-downs of inventories included in each line in the operating category. Subject to materiality, MFRS 18 requires items presented or disclosed as “other” to be labelled and/or described in as faithfully representative and precise a way as possible.

Amendments to MFRS 9 Financial Instruments and MFRS 7 Financial Instruments: Disclosures

These narrow scope amendments to MFRS 9 clarify the classification and measurement requirements, including:

- clarify the classification of financial assets, particularly those with environmental, social and corporate governance and similar features. The Amendments clarify how the contractual cash flows on such financial assets should be assessed, specifically the assessment of interest focuses on what an entity is being compensated for, rather than how much compensation it receives. Nonetheless, the amount of compensation the entity receives may indicate that it is being compensated for something other than basic lending risks and costs
- clarify the date on which a financial asset or a financial liability settled via electronic payment systems is derecognised. The Amendments permit an entity to derecognise a financial liability before it delivers cash on the settlement date if specified criteria are met.

13. ACCOUNTANTS' REPORT (*Cont'd*)

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.3 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)

- (b) The Group plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Group are summarised below: (continued)

Amendments to MFRS 9 Financial Instruments and MFRS 7 Financial Instruments: Disclosures (continued)

Amendments to MFRS 7 introduces new disclosure requirements relating to investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features that do not relate directly to basic lending risks and costs.

Amendments to MFRS 121 The Effects of Changes in Foreign Exchange Rates

- When an entity's functional currency is the currency of a non-hyperinflationary economy but its presentation currency is the currency of a hyperinflationary economy, the results and financial position of the entity shall be translated into the presentation currency by translating all amounts (ie assets, liabilities, equity items, income and expenses, including comparatives) at the closing rate at the date of the most recent statement of financial position..
 - When an entity's functional currency and presentation currency are the currency of a hyperinflationary economy (or are the currencies of different hyperinflationary economies) and the entity translates the results and financial position of a foreign operation whose functional currency is that of a non-hyperinflationary economy, the entity shall restate the comparative amounts of that foreign operation included in the entity's previously issued financial statements by applying the general price index it applies to corresponding figures for the previous reporting period in accordance with paragraph 34 of MFRS 129 Financial Reporting in Hyperinflationary Economies.
- (c) The initial application of the above applicable new MFRS and amendments to MFRSs are not expected to have any material impact on the combined financial statements.

2.4 Functional and presentation currency

The individual financial statements of each entity in the Group are measured using the currency of the primary economic environment in which they operate ("the functional currency"). The combined financial statements are presented in Ringgit Malaysia ("RM"), which is also the Group's functional currency, and has been rounded to the nearest thousand, unless otherwise stated.

2.5 Basis of measurement

The combined financial statements of the Group have been prepared on the historical cost basis, except as otherwise disclosed in Note 3.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**3. MATERIAL ACCOUNTING POLICY INFORMATION**

Unless otherwise stated, the following material accounting policy information have been applied consistently to all the financial years presented in the financial statements of the Group.

3.1 Business combination

The Group applies the merger method of accounting to account for business combinations under common control.

A business combination involving entities under common control is a business combination in which all the combining entities or subsidiaries are ultimately controlled by the same party and parties both before and after the business combination, and that control is not transitory. Under the merger method of accounting, the results of subsidiaries are presented as if the business combination had been affected throughout the current and previous financial years. The assets and liabilities combined are accounted for based on the carrying amounts from the perspective of the common control shareholder at the date of transfer. On consolidation, the difference between costs of acquisition over the nominal value of share capital of the subsidiaries is taken to reorganisation reserve or merger deficit.

3.2 Financial instruments**Financial assets - subsequent measurement and gains and losses**Debt instruments at amortised cost

The Group subsequently measures these assets at amortised cost under the effective interest method. The gross carrying amount is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Financial liabilities – subsequent measurement and gains and losses

The Group classifies the financial liabilities at amortised cost.

The Group subsequently measures other financial liabilities at amortised cost under the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)****3.3 Property, plant and equipment**

Property, plant and equipment (other than lands and buildings) are measured at cost less accumulated depreciation and any accumulated impairment losses.

Freehold lands and buildings and leasehold lands (right-of-use assets) are measured using revaluation model, based on valuations by external independent valuers, less accumulated depreciation on buildings and leasehold lands (right-of-use assets) and any accumulated impairment losses recognised after the date of revaluation. The gross carrying amount is restated and the difference compared to the revalued amount of asset is absorbed by the accumulated depreciation.

The revaluation reserve is transferred to retained earnings as the assets are used. The amount of revaluation reserve transferred is the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost.

Upon disposal, any revaluation surplus relating to the particular asset being sold is transferred to retained earnings.

Freehold land has an unlimited useful life and therefore is not depreciated.

All other property, plant and equipment (other than the right-of-use assets as disclosed in Note 3.4) are depreciated on straight-line basis by allocating their depreciable amounts over their remaining useful lives.

	Useful lives (years)
Freehold buildings	50
Motor vehicles	5
Other assets	5
Office equipment and furniture	5
Furniture and fittings	5
Office equipment	5
Computer and software	5
Signboard	5
Renovation	5
Massage chairs	5
Terminal machine	15

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)**3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)****3.4 Leases****Lessee accounting**

The Group presents right-of-use assets that do not meet the definition of investment property as property, plant and equipment in Note 6 and lease liabilities as loans and borrowings in Note 16.

Short-term leases and leases of low value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets. Accordingly, the Group recognises the lease payments as an operating expense on a straight-line basis over the term of the lease.

Right-of-use assets

The right-of-use assets are measured at cost less accumulated depreciation and any accumulated impairment losses, and adjust for any remeasurement of the lease liabilities. The right-of-use assets are depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

Lease liabilities

The lease liabilities are initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the incremental borrowing rate.

3.5 Inventories

Inventories are measured at the lower of cost and net realisable value. Costs incurred in bringing the inventories to their present location and condition are accounted on a first-in-first-out basis.

3.6 Revenue**(a) Services rendered**

Revenue from services rendered is recognised in profit or loss upon services rendered. Revenue is recognised when services are rendered.

(b) Royalties

Revenue from royalties is recognised over time as the customer receives and uses the benefits simultaneously.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)**4. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS**

The preparation of combined financial statements in conformity with MFRSs requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the combined financial statements, and the reported amounts of the revenue and expenses during the reporting period. It also requires directors to exercise their judgement in the process of applying the Group's accounting policies. Although these estimates and judgement are based on the directors' best knowledge of current events and actions, actual results may differ.

The areas involving a higher degree of judgement or complexity that have the most significant effect on the Group's financial statements, or areas where assumptions and estimates that have a significant risk of resulting in a material adjustment to the Group's combined financial statements within the next financial year are disclosed as follows:

(a) Determination of lease term

The Group determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Group applies judgement in evaluating whether they are reasonably certain to exercise the option to renew or terminate the lease. The Group considers all relevant factors that create an economic incentive for them to exercise the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate.

(b) Impairment of financial assets

The impairment provisions for the financial assets are based on assumptions about risk of default and expected loss rate. The Group uses judgement in making these assumptions and selecting inputs to the impairment calculation, based on the Group's past history, existing market conditions as well as forward looking estimates at the end of each reporting period.

The assessment of the correlation between historical observed default rates, forward-looking estimates and expected credit losses is a significant estimate. The amount of expected credit loss is sensitive to changes in circumstances and of forecast economic conditions over the expected lives of the financial assets. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

The information about the impairment losses on the Group's financial assets and contract assets are disclosed in Note 27(b).

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT

	Note	Freehold buildings RM'000	Freehold lands RM'000	Motor vehicles RM'000	Other assets RM'000	Office equipment and furniture RM'000	Furniture and fittings RM'000	Office equipment RM'000	Computer and software RM'000	Signboard RM'000	Renovation RM'000	Massage chairs RM'000	Total RM'000
Cost/Revaluation													
At 1 January 2022		2,900	22,900	711	550	8,440	-	-	-	-	-	11,241	46,742
Reclassification		-	-	-	(550)	(8,440)	5,210	342	2,887	6	545	-	-
Additions		-	-	-	-	-	28	-	51	-	141	1,587	1,807
Disposals		-	-	(231)	-	-	-	-	-	-	-	(127)	(358)
At 31 December 2022		2,900	22,900	480	-	-	5,238	342	2,938	6	686	12,701	48,191
Accumulated depreciation													
At 1 January 2022		265	-	711	340	7,364	-	-	-	-	-	10,059	18,739
Reclassification		-	-	-	(340)	(7,364)	4,821	309	2,234	5	335	-	-
Depreciation charge for the financial year	22	58	-	-	-	-	194	18	463	*	118	760	1,611
Disposals		-	-	(231)	-	-	-	-	-	-	-	(115)	(346)
At 31 December 2022		323	-	480	-	-	5,015	327	2,697	5	453	10,704	20,004
Net carrying amount													
At 31 December 2022		2,577	22,900	-	-	-	223	15	241	1	233	1,997	28,187

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

	Note	Freehold buildings RM'000	Freehold lands RM'000	Motor vehicles RM'000	Furniture and fittings RM'000	Office equipment RM'000	Computer and software RM'000	Signboard RM'000	Renovation RM'000	Massage chairs RM'000	Terminal machine RM'000	Total RM'000
Cost/Revaluation												
At 1 January 2023		2,900	22,900	480	5,238	342	2,938	6	686	12,701	-	48,191
Additions		-	-	-	2	7	53	-	-	2,019	30	2,111
Disposals		-	-	-	-	-	-	-	-	(743)	-	(743)
Written-off		-	-	-	(2,466)	(8)	(1,362)	-	(30)	(4,604)	-	(8,470)
At 31 December 2023		2,900	22,900	480	2,774	341	1,629	6	656	9,373	30	41,089
Accumulated depreciation												
At 1 January 2023		323	-	480	5,015	327	2,697	5	453	10,704	-	20,004
Depreciation charge for the financial year	22	58	-	-	170	13	193	-	121	1,037	2	1,594
Disposals		-	-	-	-	-	-	-	-	(731)	-	(731)
Written-off		-	-	-	(2,465)	(8)	(1,355)	-	(30)	(4,605)	-	(8,463)
At 31 December 2023		381	-	480	2,720	332	1,535	5	544	6,405	2	12,404
Net carrying amount												
At 31 December 2023		2,519	22,900	-	54	9	94	1	112	2,968	28	28,685

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

Note	Freehold buildings RM'000	Freehold lands RM'000	Motor vehicles RM'000	Furniture and fittings RM'000	Office equipment RM'000	Computer and software RM'000	Signboard RM'000	Renovation RM'000	Massage chairs RM'000	Terminal machine RM'000	Total RM'000
Cost/Revaluation											
At 1 January 2024	2,900	22,900	480	2,774	341	1,629	6	656	9,373	30	41,089
Additions	-	-	-	317	49	148	39	-	10,538	5	11,096
Disposals	(1,800)	(9,700)	(166)	-	-	-	-	-	(97)	-	(11,763)
Revaluation recognised in revaluation reserve	126	574	-	-	-	-	-	-	-	-	700
Exchange difference	-	-	-	-	-	-	-	-	1	-	1
At 31 December 2024	1,226	13,774	314	3,091	390	1,777	45	656	19,815	35	41,123
Accumulated depreciation											
At 1 January 2024	381	-	480	2,720	332	1,535	5	544	6,405	2	12,404
Depreciation charge for the financial year	22 55	-	-	65	11	44	2	49	1,733	7	1,966
Disposals	(269)	-	(166)	-	-	-	-	-	(71)	-	(506)
Exchange difference	-	-	-	-	*	*	-	-	(6)	-	(6)
At 31 December 2024	167	-	314	2,785	343	1,579	7	593	8,061	9	13,858
Net carrying amount											
At 31 December 2024	1,059	13,774	-	306	47	198	38	63	11,754	26	27,265

* Denotes < RM1,000

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

	Note	Freehold buildings RM'000	Freehold lands RM'000	Motor vehicles RM'000	Furniture and fittings RM'000	Office equipment RM'000	Computer and software RM'000	Signboard RM'000	Renovation RM'000	Massage chairs RM'000	Terminal machine RM'000	Total RM'000
Cost/Revaluation												
At 1 January 2025		1,226	13,774	314	3,091	390	1,777	45	656	19,815	35	41,123
Additions		-	-	-	2,126	15	225	-	570	8,286	3	11,225
Disposals		-	-	-	-	-	-	-	-	(281)	-	(281)
Written off		-	-	-	-	(2)	-	-	-	(103)	-	(105)
Exchange difference		-	-	-	-	-	-	-	-	(34)	-	(34)
At 31 December 2025		1,226	13,774	314	5,217	403	2,002	45	1,226	27,683	38	51,928
Accumulated depreciation												
At 1 January 2025		167	-	314	2,785	343	1,579	7	593	8,061	9	13,858
Depreciation charge for the financial year	22	22	-	-	293	13	74	8	90	3,425	7	3,932
Disposals		-	-	-	-	-	-	-	-	(33)	-	(33)
Written off		-	-	-	-	(2)	-	-	-	(100)	-	(102)
Exchange difference		-	-	-	-	-	-	-	(2)	(26)	-	(28)
At 31 December 2025		189	-	314	3,078	354	1,653	15	681	11,327	16	17,627
Net carrying amount												
At 31 December 2025		1,037	13,774	-	2,139	49	349	30	545	16,356	22	34,301

* Denotes < RM1,000

13. ACCOUNTANTS' REPORT (Cont'd)
RNG TECH BERHAD
Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)
6. RIGHT-OF-USE ASSETS

	Note	Retail spaces RM'000
Cost		
At 1 January 2022		516
Addition		1,981
Derecognition due to end of lease term		(136)
At 31 December 2022		2,361
Additions		4,382
Derecognition due to end of lease term		(295)
Adjustment due to lease modification		(13)
At 31 December 2023		6,435
Additions		7,942
Derecognition due to end of lease term		(163)
Derecognition due to lease modification		(89)
Adjustment due to lease modification		98
At 31 December 2024		14,223
Additions		10,706
Derecognition due to end of lease term		(585)
Derecognition due to lease modification		(1,630)
Adjustment due to lease modification		254
Exchange difference		14
At 31 December 2025		22,982

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**
Accountants' Report**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)****6. RIGHT-OF-USE ASSETS (CONTINUED)**

	Note	Retail spaces RM'000
Accumulated depreciation		
At 1 January 2022		273
Depreciation	22	584
Derecognition due to end of lease term		(136)
At 31 December 2022		721
Depreciation	22	1,362
Derecognition due to end of lease term		(295)
Adjustment due to lease modification		(8)
At 31 December 2023		1,780
Depreciation	22	3,152
Derecognition due to end of lease term		(163)
Derecognition due to lease modification		(49)
Adjustment due to lease modification		1
Exchange difference		(44)
At 31 December 2024		4,677
Depreciation	22	6,492
Derecognition due to end of lease term		(585)
Derecognition due to lease modification		(600)
Adjustment due to lease modification		60
Exchange difference		18
At 31 December 2025		10,062
Carrying amount		
At 31 December 2022		1,640
At 31 December 2023		4,655
At 31 December 2024		9,546
At 31 December 2025		12,920

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**6. RIGHT-OF-USE ASSETS (CONTINUED)**

The right-of-use assets represent retail spaces the Group uses as operating of vending massage chairs. The leases are mainly for an initial lease of eighteen (18) to sixty (60) months.

Extension and termination options

The Group has several lease contracts that include extension options. These options are negotiated by the Group to provide flexibility in managing the leased-asset portfolio and to align with the Group's business needs.

7. INVESTMENT IN A SUBSIDIARY

	← As at 31 December →			
	Amount			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
At cost				
Unquoted shares	645	-	-	-

Details of the subsidiary are as follows:

Name of the Company	Principal place of business/ country of incorporation	Principal activities
Gintel Philippines, Inc.	Philippines	Import healthcare and fitness equipment and secondary fitness equipment, operating vending massage chairs and renting of equipment and secondary fitness other massage products, and operate as a wholesaler of healthcare and fitness products.
Rest N Go (Cambodia) Co., Ltd. ("RNG KH")	Cambodia	Provision of vending massage services in Cambodia
Rest N Go (B) Sdn. Bhd. ("RNG BRN")	Brunei	Provision of vending massage services in Brunei Darussalam

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**7. INVESTMENT IN A SUBSIDIARY (CONTINUED)****(a) Deemed disposal of Gintell Philippines, Inc. ("GP")**

On 15 May 2024, the Group disposed its 100% equity investment in GP, for a total consideration of RM706,986. The transaction is deemed completed in financial year 2024 upon execution of the deed of assignment.

(i) Summary of the effects of disposal of GP:

	RM'000
Recognised:	
Fair value of consideration received	707
Derecognised:	
Fair value of identifiable net assets at disposal date	
Assets of a disposal group classified as held for sale	(645)
Gain on disposal of Gintell Philippines, Inc.	62

(ii) Effect of disposal on cash flows:

	RM'000
Fair value of consideration received	707
Less: Amount owing to related party	(707)
Net cash inflows on disposal	-

8. INVENTORIES

	← As at 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
At lower of cost and net realisable value:				
Raw materials	38	-	-	-
Finished goods	190	37	457	205
	<u>228</u>	<u>37</u>	<u>457</u>	<u>205</u>

The cost of inventories of the Group recognised as an expense during the financial year in respect of inventories was RM44,617 (2024: RM970,863, 2023: RM693,503 and 2022: RM4,019,499).

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**9. TRADE AND OTHER RECEIVABLES**

	Note	As at 31 December			
		2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Trade	(a)				
- Third parties		47	6	1,028	766
		47	6	1,028	766
Non-trade					
Other receivables		329	107	174	144
Advances		-	-	151	224
Deposits		1,574	1,358	2,768	6,785
Prepayments		38	154	1,105	6,316
Amount owing by related parties	(b)	4,467	508	10,855	-
Value added tax ("VAT")		-	-	-	487
		6,408	2,127	15,053	13,956
Total trade and other receivables		6,455	2,133	16,081	14,722

(a) Trade receivables

Trade receivables are non-interest bearing and normal credit terms offered by the Group is 0 to 90 days (2024: 0 to 270 days, 2023: 0 to 90 days and 2022: 0 to 90 days) from the date of invoices. Other credit terms are assessed and approved on a case by case basis.

(b) Amount owing by related parties

Amount owing by related parties are unsecured, non-trade in nature, repayable on demand and are expected to be settled in cash.

The information about the credit exposure is disclosed in Note 27(b)(i).

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**10. CONTRACT ASSETS/(LIABILITIES)**

	← As at 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Current				
Contract assets relating to timing difference between recognition of revenue and issuance of invoice	-	-	837	1,842
Current				
Contract liabilities relating to timing difference between recognition of revenue and receipt of cash	(794)	(899)	(1,056)	(1,623)

The contract assets represent the Group's rights to consideration for the services performed but yet to be billed. Contract assets are transferred to receivables when the Group issue billings to the customers.

The contract liabilities represent cash receipt for which performance obligations have not been satisfied. The contract liabilities will only be recognised as revenue when redemption occurs, and hence the Group applies the practical expedient not to disclose the information pertaining to the timing of revenue recognition from the remaining performance obligations.

(a) Significant changes in contract balance

	← As at 31 December →			
	2022		2023	
	Contract assets	Contract liabilities	Contract assets	Contract liabilities
	Increase/ (decrease)	(Increase)/ decrease	Increase/ (decrease)	(Increase)/ decrease
	RM'000	RM'000	RM'000	RM'000
Increase due to revenue recognised for unbilled goods or services transferred to customers	-	-	-	-
Transfer from contract assets recognised at the beginning of the period to receivables	-	-	-	-
Revenue recognised that was included in contract liabilities at the beginning of the financial year	-	178	-	276
Increase due to consideration received from customers, but revenue not recognised	-	(319)	-	(381)

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**10. CONTRACT ASSETS/(LIABILITIES) (CONTINUED)****(a) Significant changes in contract balance (continued)**

	As at 31 December			
	2024		2025	
	Contract assets	Contract liabilities	Contract assets	Contract liabilities
	Increase/ (decrease)	(Increase)/ decrease	Increase/ (decrease)	(Increase)/ decrease
	RM'000	RM'000	RM'000	RM'000
Increase due to revenue recognised for unbilled goods or services transferred to customers	837	-	1,842	-
Transfer from contract assets recognised at the beginning of the period to receivables	-	-	(837)	-
Revenue recognised that was included in contract liabilities at the beginning of the financial year	-	423	-	1,056
Increase due to consideration received from customers, but revenue not recognised	-	(580)	-	(786)

(b) Revenue recognised in relation to contract balances

	As at 31 December			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Revenue recognised that was included on contract liabilities at the beginning of the financial year	178	276	423	1,056

Revenue recognised that was included in the contract liabilities balance at the beginning of the year represent primarily revenue from the rendering of services.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**11. CASH AND SHORT-TERM DEPOSITS**

	← As at 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Cash-in-transit	290	275	219	84
Cash in hand	11	10	33	42
Cash at banks	493	662	3,037	3,393
	<u>794</u>	<u>947</u>	<u>3,289</u>	<u>3,519</u>

- (i) For the purpose of the combined statements of cash flows, cash and cash equivalents comprise of the following:

	← As at 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Cash and bank balances	794	947	3,289	3,519
Less: Bank overdrafts	(233)	(370)	-	-
	<u>561</u>	<u>577</u>	<u>3,289</u>	<u>3,519</u>

- (ii) Reconciliation of changes in liabilities arising from financing activities are as follows:

	Cash flows			Non-cash	
	1.1.2022	Repayment	Drawdown	Others	31.12.2022
	RM'000	RM'000	RM'000	RM'000	RM'000
Term loans	16,960	(7,696)	6,300	(934)	14,630
Revolving credit	3,000	(9,000)	9,000	-	3,000
Lease liabilities	343	(534)	-	1,890	1,699
Amount owing to related parties	1,618	(1,455)	-	267	430
Amount owing to directors	669	(1,315)	-	646	-
	<u>22,590</u>	<u>(20,000)</u>	<u>15,300</u>	<u>1,869</u>	<u>19,759</u>

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**11. CASH AND SHORT-TERM DEPOSITS (CONTINUED)**

- (ii) Reconciliation of changes in liabilities arising from financing activities are as follows:
(continued)

	Cash flows		Non-cash	
	1.1.2023	Repayment	Drawdown	Others
	RM'000	RM'000	RM'000	RM'000
				31.12.2023
				RM'000
Term loans	14,630	(2,668)	-	-
Revolving credit	3,000	(9,000)	9,000	-
Lease liabilities	1,699	(1,246)	-	4,376
Amount owing to related parties	430	(3,407)	-	5,870
Amount owing to directors	-	335	-	765
	19,759	(15,986)	9,000	11,011
				23,784

	Cash flows		Non-cash	
	1.1.2024	Repayment	Drawdown	Others
	RM'000	RM'000	RM'000	RM'000
				31.12.2024
				RM'000
Term loans	11,962	(3,117)	2,839	2,593
Revolving credit	3,000	(10,800)	9,000	-
Lease liabilities	4,829	(2,955)	-	8,053
Amount owing to related parties	2,893	1,170	-	(13,310)
Amount owing to directors	1,100	(299)	-	(227)
	23,784	(16,001)	11,839	(2,891)
				16,731

	Cash flows		Non-cash	
	1.1.2025	Repayment	Drawdown	Others
	RM'000	RM'000	RM'000	RM'000
				31.12.2025
				RM'000
Bankers' acceptance	-	(2,637)	2,637	-
Term loans	14,277	(6,199)	3,734	-
Revolving credit	1,200	(12,200)	16,000	-
Lease liabilities	9,927	(6,368)	-	9,908
Amount owing to related parties	(9,247)	9,279	-	(32)
Amount owing to directors	574	(574)	-	-
	16,731	(18,699)	22,371	9,876
				30,279

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**12. ASSETS OF A DISPOSAL GROUP CLASSIFIED AS HELD FOR SALE (CONTINUED)**

On 15 May 2024, the Board of Directors approved and announced a plan to sell a subsidiary, Gintell Philippines, Inc., which operates in Philippines. The investment in subsidiary have been presented as held for sale. The transaction is expected to be completed in the next financial year.

In accordance with MFRS 5, the assets and liabilities held for sale of the above disposal group had been written down to their fair value less costs to sell. This is a non-recurring fair value which has been measured using observable inputs, being the prices for recent sales of similar businesses, and is therefore within Level 2 of the fair value hierarchy. The fair value has been measured by calculating the ratio of transaction price to annual revenue for the similar businesses and applying the average to Gintell Philippines, Inc.

The asset classified as held for sale on the Group's statement of financial position as at 31 December 2023 is as follows:

	2023 RM'000
Investment in subsidiary	<u>645</u>

13. INVESTED EQUITY

For the purposes of these combined financial statements, the invested equity at the end of the respective financial years is the aggregate of the share capital of the combining entities constituting the Group.

The invested equity constitutes the share capital of RNG Tech, RNG MY, RNG SG and RNG TH. The share capital of RNG KH and RNG BRN have been eliminated as it is a subsidiary of RNG Tech.

14. REVALUATION RESERVES

	← FYE 31 December →			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
At 1 January	5,115	5,092	5,069	3,071
Realisation of revaluation reserve	(23)	(23)	(23)	(13)
Revaluation surplus of freehold land and building	-	-	641	-
Disposal of freehold land and building	-	-	(2,616)	-
At 31 December	<u>5,092</u>	<u>5,069</u>	<u>3,071</u>	<u>3,058</u>

The revaluation reserve is in respect of surplus arising from revaluation of properties.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**15. EXCHANGE RESERVE**

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Exchange reserve	-	-	(65)	(190)

The exchange reserve comprises all foreign currency differences arising from the translation of the financial statements of foreign operation whose functional currency is different from that of the Group's presentation currency.

16. LOANS AND BORROWINGS

	← As at 31 December →			
Note	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Non-current:				
Secured				
Term loans				
(a)				
- I	147	133	-	-
- II	3,261	2,822	2,299	-
- III	2,503	1,457	323	-
- IV	1,235	657	57	-
- V	57	24	-	-
- VI	56	24	-	-
- VII	4,831	4,042	3,412	2,783
- VIII	-	-	3,778	2,803
- IX	-	-	506	397
- X	-	-	-	3,734
Term loans	12,090	9,159	10,375	9,717
Lease liabilities	(b) 1,244	3,438	5,100	7,227
	13,334	12,597	15,475	16,944

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD
Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

16. LOANS AND BORROWINGS (CONTINUED)

Note	As at 31 December			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Current:				
Secured				
Term loans	(a)			
- I	12	13	-	-
- II	530	492	516	-
- III	981	1,050	1,133	323
- IV	485	553	600	53
- V	30	33	-	-
- VI	30	32	-	-
- VII	472	630	630	630
- VIII	-	-	910	970
- IX	-	-	113	119
	2,540	2,803	3,902	2,095
Lease liabilities	(b)	455	1,391	4,827
Bank overdrafts	(c)	233	370	-
Revolving credit	(d)	3,000	3,000	1,200
	6,228	7,564	9,929	13,335
Total loans and borrowings:				
Term loans	(a)	14,630	11,962	14,277
Lease liabilities	(b)	1,699	4,829	9,927
Bank overdrafts	(c)	233	370	-
Revolving credit	(d)	3,000	3,000	1,200
	19,562	20,161	25,404	30,279

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

16. LOANS AND BORROWINGS (CONTINUED)

(a) Term loans

- (i) Term loan I bears interest at Nil (2024: 4.72%, 2023: 4.72% and 2022: 4.47%) per annum and is repayable by monthly instalments over ten years commencing from the day of first drawdown and is secured and supported as follows:

- (i) Third party legal charged over the properties registered in the name of a directors of the Company;
- (ii) Joint and several guarantee by certain Company's director; and
- (iii) Corporate guarantee from a related party.

Term loan I has been settled as at 31 December 2024.

- (ii) Term loan II bears interest at 4.60% (2024: 4.85%, 2023: 4.85% and 2022: 4.60%) per annum and is repayable by monthly instalments over ten years commencing from the day of first drawdown and is secured and supported as follows:

- (i) First party legal charged over the properties registered in the name of the Company;
- (ii) Joint and several guarantee by certain Company's director.

Term loan II has been settled as at 7 January 2025.

- (iii) Term loan III bears interest at 7.35% (2024: 7.60%, 2023: 7.60% and 2022: 7.35%) per annum and is repayable by monthly instalments over seventeen years commencing from the day of first drawdown and is secured and supported as follows:

- (i) First party legal charged over the properties registered in the name of RNG MY;
- (ii) Third party legal charged over the properties registered in the name of a related party;
- (iii) Execution of Memorandum of Charge over fixed deposit by Company in favour of the bank in respect of Debt Service Reserve Account (DSRA) in the form of first party fixed deposit of not less than 3 months together with all interest accruing from time to time in respect of the fixed deposit;
- (iv) Joint and several guarantee by certain Company's director; and
- (v) Corporate guarantee from a related party.

- (iv) Term loan IV bears interest at 7.95% (2024: 8.20%, 2023: 8.20% and 2022: 7.95%) per annum and is repayable by monthly instalments over five years commencing from the day of first drawdown and is secured and guaranteed by a director.

- (i) 70% guarantee by Syarikat Jaminan Pembiayaan Perniagaan Berhad (SJPP) under Working Capital Guarantee Scheme ("WCG5") by Government of Malaysia; and
- (ii) Joint and several guarantee by certain Company's director.

13. ACCOUNTANTS' REPORT (*Cont'd*)

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

16. LOANS AND BORROWINGS (CONTINUED)

(a) Term loans (continued)

- (v) Term loan V bears interest at Nil (2024: 3.67%, 2023: 3.67% and 2022: 4.67%) per annum and is repayable by monthly instalments over five years commencing from the day of first drawdown and guaranteed by a director.

- (i) Third party legal charged over the properties registered in the name of a director of the Company;
- (ii) joint and several guarantee by certain Company's director; and
- (iii) corporate guarantee from a related party.

Term loan V has been settled as at 31 December 2024.

- (vi) Term loan VI bears interest at Nil (2024: 4.92%, 2023: 4.92% and 2022: 4.67%) per annum and is repayable by monthly instalments over fifteen years commencing from the day of first drawdown and is secured and supported as follows:

- (i) Third party legal charged over the properties registered in the name of a director of the Company;
- (ii) Joint and several guarantee by certain Company's director; and
- (iii) Corporate guarantee from a related party.

Term loan VI has been settled as at 31 December 2024.

- (vii) Term loan VII bears interest at 6.40% (2024: 6.40%, 2023: 6.40% and 2022: 4.67%) per annum and is repayable by monthly instalments over fifteen years commencing from the day of first drawdown and is secured and supported as follows:

- (i) First party legal charged over the property of RNG MY;
- (ii) Joint and several guarantee by certain Company's director; and
- (iii) Corporate guarantee from a related party.

- (viii) Term loan VIII bears interest at 5.35% (2024: 5.60%, 2023 and 2022: Nil) per annum and is repayable by monthly instalments over five years commencing from the day of first drawdown and is secured and supported as follows:

- (i) Guarantee in favour of the Bank by SJPP under PEMULIH Government Guarantee Scheme for 80.00% on the loan amount;
- (ii) Joint and several guarantee by certain Company's director; and
- (iii) Corporate guarantee from a related party.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**16. LOANS AND BORROWINGS (CONTINUED)****(a) Term loans (continued)**

- (ix) Term loan IX bears interest at 4.40% (2024: 4.65%, 2023 and 2022: Nil) per annum and is repayable by monthly instalments over five years commencing from the day of first drawdown and is secured and supported as follows:
- (i) Assignment of Life Insurance policy issued by Sun Life Malaysia Assurance Berhad under the name of a director for the sum insured of not less than RM1,467,000 to the bank; and
 - (ii) Personal guarantee from a director.
- (x) Term loan X bears interest at 5.33% (2024, 2023 and 2022: Nil) per annum and is repayable by monthly instalments over five years commencing from the day of first drawdown and is secured and supported as follows:
- (i) First party legal charged over the property of RNG MY;
 - (ii) Joint and several guarantee by certain Company's director; and
 - (iii) Corporate guarantee from a related party.

(b) Lease liabilities

Future minimum lease payments together with the present value of net minimum lease payments are as follows:

	← As at 31 December →			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Minimum lease payments:				
Not later than one year	539	1,638	3,981	6,852
Later than one year and not later than five years	1,351	3,716	7,823	7,653
Later than five years	-	-	36	-
	1,890	5,354	11,840	14,505
Less: Future finance charges	(191)	(525)	(1,913)	(1,038)
Present value of lease payments	1,699	4,829	9,927	13,467

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**16. LOANS AND BORROWINGS (CONTINUED)****(b) Lease liabilities (continued)**

Future minimum lease payments together with the present value of net minimum lease payments are as follows: (continued)

	← As at 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Present value of minimum lease payments payable:				
Not later than one year	455	1,391	4,827	6,240
Later than one year and not later than five years	1,244	3,438	5,065	7,227
Later than five years	-	-	35	-
	1,699	4,829	9,927	13,467
Less: Amount due within twelve months	(455)	(1,391)	(4,827)	(6,240)
Amount due after twelve months	1,244	3,438	5,100	7,227

(c) Bank overdrafts

The bank overdrafts bear interest rate at Nil (2024: Nil, 2023: 7.22% and 2022: 6.97%) per annum at the end of the reporting period and is secured and supported as follows:

- (i) Third party legal charged over the properties registered in the name of a directors of the Company;
- (ii) Joint and several guarantee by certain Company's director; and
- (iii) Corporate guarantee from a related party.

(d) Revolving credit

The revolving credit of the Company is secured by way of:

- (i) First party legal charged over the property of RNG MY;
- (ii) Joint and several guarantee by certain Company's directors; and
- (iii) Corporate guarantee from a related party.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**17. DEFERRED TAX LIABILITIES**

	-----Recognised in-----		
	As at 1 January 2022 RM'000	Profit or loss RM'000 (Note 24)	Equity RM'000
			As at 31 December 2022 RM'000
Deferred tax assets:			
Lease liabilities	2	12	-
Contract liabilities	157	34	-
Provision for forfeited deposit	-	131	-
	159	177	-
Deferred tax liabilities:			
Property, plant and equipment	(201)	106	-
Revaluation reserve	(352)	3	-
Unrealised loss on foreign exchange	(9)	(11)	-
	(562)	98	-
	-----Recognised in-----		
	As at 1 January 2023 RM'000	Profit or loss RM'000 (Note 24)	Equity RM'000
			As at 31 December 2023 RM'000
Deferred tax assets:			
Lease liabilities	14	28	-
Contract liabilities	191	24	-
Provision for forfeited deposit	131	(43)	-
	336	9	-
Deferred tax liabilities:			
Property, plant and equipment	(95)	(4)	-
Revaluation reserve	(349)	3	-
Unrealised loss on foreign exchange	(20)	20	-
	(464)	19	-

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**17. DEFERRED TAX LIABILITIES (CONTINUED)**

	-----Recognised in-----		
	As at 1 January 2024 RM'000	Profit or loss RM'000 (Note 24)	Equity RM'000
			As at 31 December 2024 RM'000
Deferred tax assets:			
Lease liabilities	42	39	-
Contract liabilities	215	23	-
Provision for forfeited deposit	88	-	-
	345	62	-
Deferred tax liabilities:			
Property, plant and equipment	(99)	(434)	-
Revaluation reserve	(346)	204	(59)
Unrealised loss on foreign exchange	*	(2)	-
	(445)	(232)	(59)

	-----Recognised in-----		
	As at 1 January 2025 RM'000	Profit or loss RM'000 (Note 24)	Equity RM'000
			As at 31 December 2025 RM'000
Deferred tax assets:			
Lease liabilities	81	19	-
Contract liabilities	238	85	-
Provision for forfeited deposit	88	-	-
Unrealised gain on foreign exchange	-	112	-
	407	216	-
Deferred tax liabilities:			
Property, plant and equipment	(533)	(149)	-
Revaluation reserve	(201)	2	-
Unrealised loss on foreign exchange	(2)	2	-
	(736)	(145)	-

* Denotes < RM1,000

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**17. DEFERRED TAX LIABILITIES (CONTINUED)**

	As at 31 December			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Presented in the combined statements of financial statements as follows:				
Deferred tax liabilities	(129)	(100)	(329)	(258)

Unrecognised deferred tax assets have not been recognised in respect of the following items (stated at gross):

	As at 31 December			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Unused tax losses	5,852	-	-	-

18. TRADE AND OTHER PAYABLES

	As at 31 December			
Note	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Current:				
Trade				
(a)				
- Third parties	2,532	1,714	720	692
- Related party	-	-	-	746
	2,532	1,714	720	1,438
Non-trade				
Other payables	918	246	960	432
Accruals	445	1,311	1,671	1,698
Dividend payables	1,100	1,365	-	-
Deposits received	36	43	91	166
Amount owing to directors	(b) -	1,100	574	-
Amount owing to related parties	(b) 4,897	3,401	1,608	-
Sales and service tax ("SST") payables	-	-	-	104
Provision	547	367	367	367
	7,943	7,833	5,271	2,767
Total trade and other payables	10,475	9,547	5,991	4,205

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**18. TRADE AND OTHER PAYABLES (CONTINUED)****(a) Trade payables**

Trade payables of the Group are non-interest bearing and the normal trade credit term granted to the Group ranges from 30 to 60 days (2024: 30 to 60 days, 2023: 30 to 60 days and 2022: 30 to 60 days).

(b) Amount owing to related parties and directors

Amount owing to related parties, and directors are unsecure, non-trade in nature with no fixed term of repayment.

For explanation on the Group's liquidity risk management processes, refer to Note 27(b)(ii).

19. REVENUE

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
<u>Timing of revenue recognition</u>				
At a point in time:				
Services rendered	13,783	23,172	36,848	46,159
Over time:				
Rental service plan	95	143	113	77
Royalty income	-	-	3,363	3,106
	95	143	3,476	3,183
	13,878	23,315	40,324	49,342

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**
Accountants' Report**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)****20. OTHER INCOME**

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Interests income	1	*	7	17
Gain on disposal of property, plant and equipment	301	212	2,456	32
Gain on lease modification	-	1	-	-
Gain on lease termination	-	-	3	33
Miscellaneous	94	31	124	50
Wages subsidy	109	6	1	17
Net realised gain on foreign exchange	50	85	-	-
Net unrealised gain on foreign exchange	84	-	10	-
Reversal of provision on forfeited deposit	-	180	-	-
Gain on deemed disposal of subsidiary	-	-	62	-
Waiver of debts	-	-	62	43
Reversal of provision on slow-moving stocks	-	-	29	-
	<u>639</u>	<u>515</u>	<u>2,754</u>	<u>192</u>

* Denotes < RM1,000

21. FINANCE COSTS

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Interest expenses on:				
- Term loans	876	784	725	587
- Lease liabilities	112	310	462	692
- Revolving credit	136	176	189	249
- Bank overdraft	16	13	11	1
- Bankers' acceptance	-	-	-	53
	<u>1,140</u>	<u>1,283</u>	<u>1,387</u>	<u>1,582</u>

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**22. PROFIT BEFORE TAX**

Other than as disclosed elsewhere in the combined financial statements, the following items have been charged/(credited) in arriving at profit before tax:

Note	FYE 31 December			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Auditors' remuneration - statutory audit:				
- Current year:				
- Baker Tilly Monteiro Heng PLT	40	41	48	67
- Other auditors	-	-	17	75
- Prior year:				
- Baker Tilly Monteiro Heng PLT	-	-	-	24
Other services				
- Baker Tilly Monteiro Heng PLT	-	-	193	-
Depreciation of property, plant and equipment	5	1,611	1,594	1,966
Depreciation of right-of-use assets	6	584	1,362	3,152
Loss on written off of property, plant and equipment	5	-	7	-
Inventories written off		29	-	-
Cash loss during transit		35	148	-
Provision on forfeited deposit		547	-	-
Loss on lease modification		-	-	15
Expenses related to lease of low value assets		1	-	-
Expenses related to variable lease payment not included in the measurement of lease liabilities		1,026	2,156	1,996
Expenses related to short-term lease		1,891	1,842	4,498
Covid-19-related rent concession income		(289)	-	-
Incorporation expenses		-	-	1
Employee benefits expense	23	3,559	4,725	7,106
Net realised loss on foreign exchange		-	-	83
Net unrealised loss on foreign exchange		-	1	-
				357

* Denotes < RM1,000

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

23. EMPLOYEE BENEFITS EXPENSES

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Salaries and other staff benefits	3,134	4,148	6,275	9,040
Defined contribution plans	377	506	751	1,209
Other staff related expenses	48	71	80	113
	<u>3,559</u>	<u>4,725</u>	<u>7,106</u>	<u>10,362</u>

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Included in the employee benefits expenses are:				
Directors' salaries, bonuses and allowances	288	300	342	362
Defined contribution plans	35	35	39	40
Other related expenses	1	1	1	1
	<u>324</u>	<u>336</u>	<u>382</u>	<u>403</u>

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**24. INCOME TAX (BENEFIT)/EXPENSE**

The major components of income tax (benefit)/expense for the financial years ended 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025 are as follows:

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Combined statements of comprehensive income				
Current income tax:				
- Current income tax charge	-	613	2,928	2,143
- Adjustment in respect of prior financial years	-	*	34	266
	-	613	2,962	2,409
Deferred tax: (Note 17)				
- (Reversal)/Origination of temporary differences	(236)	(66)	174	(99)
- Adjustment in respect of prior financial years	(39)	38	(4)	28
	(275)	(28)	170	(71)
Income tax (benefit)/expense recognised in profit or loss	(275)	585	3,132	2,338

* Denotes < RM1,000

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**24. INCOME TAX (BENEFIT)/EXPENSE (CONTINUED)**

The income tax rate applicable to small and medium scale enterprise ("SME") is incorporated in Malaysia with paid up capital of RM2,500,000 and below and annual sales less than RM50,000,000 is subject to the statutory rate of 15% (2024: 15%, 2023: 15% and 2022: 17%) on the first RM150,000 (2024: RM150,000, 2023: RM150,000 and 2022: RM150,000) chargeable income and 17% (2024: 17%, 2023: 17% and 2022: 17%) on the next RM450,000 (2024: RM450,000, 2023: RM450,000 and 2022: RM450,000). For chargeable income in excess of RM 600,000 (2024: RM600,000, 2023: RM 600,000 and 2022: RM 600,000), statutory tax rate of 24% (2024: 24%, 2023: 24% and 2022: 24%), is still applicable.

The reconciliations from the tax amount at the statutory income tax rate to the Group's tax expenses are as follows:

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Profit before tax	2,040	7,923	17,650	8,338
Tax at Malaysian statutory income tax rate of 24%	490	1,902	4,236	2,001
Different tax rates in other countries	-	-	(127)	(33)
Adjustments:				
SME tax savings	-	(45)	(45)	(45)
Tax incentives	-	-	(207)	(845)
Non-deductible expenses	146	212	72	1,176
Non-taxable income	(91)	(118)	(682)	(153)
Adjustment in respect of current income tax of prior years	-	*	34	266
Adjustment in respect of deferred tax losses and temporary differences	(781)	(1,404)	-	8
Deferred tax recognised in different tax rates	-	-	(145)	(65)
Adjustment in respect of deferred tax of prior years	(39)	38	(4)	28
Income tax (benefit)/expense	(275)	585	3,132	2,338

* Denotes < RM1,000

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**25. EARNINGS PER SHARE****Basic earnings per ordinary share**

Basic earnings per ordinary share are based on the profit for the financial years attributable to owners of the Company and the weighted average number of ordinary shares outstanding during the financial years, calculated as follows:

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Profit attributable to the owners of the Company	2,315	7,338	14,518	6,000
Weighted average number of ordinary shares for basic and diluted earnings per share ('000)	500	500	938	1,415
Basic earnings per ordinary share (sen)	463	1,468	1,548	424

Diluted earnings per share

The diluted earnings per ordinary share is not applicable as the Group does not have potential dilutive equity instrument in issue as at the end of the each of the financial years that have dilutive effect to the basic earnings per ordinary share.

26. DIVIDENDS

	← As at 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Recognised during the financial year:				
Single-tier interim dividend of RM2.20 per ordinary share in respect of financial year ended 31 December 2022, paid on 11 August 2023.	1,100	-	-	-
First single tier interim dividend of RM8.00 per ordinary share in respect of financial year ended 31 December 2023, paid on 31 March 2023	-	4,000	-	-
Second single tier interim dividend of RM2.00 per ordinary share in respect of financial year ended 31 December 2023, paid on 30 June 2023	-	1,000	-	-

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**26. DIVIDENDS (CONTINUED)**

	← As at 31 December →			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Third single tier interim dividend of RM1.00 per ordinary share in respect of financial year ended 31 December 2023, paid on 30 June 2023	-	500	-	-
Single tier interim dividend of RM5.00 per ordinary share in respect of financial year ended 31 December 2023. ^{&}	-	2,500	-	-
	1,100	8,000	-	-

[&] The dividend was partially settled in-specie against an amount due from shareholders amounting to RM1,365,335 in the financial year ended 2024.

27. FINANCIAL INSTRUMENTS**(a) Categories of financial instruments**

The following table analyses the financial instruments in the combined statements of financial position by the classes of financial instruments to which they are assigned at amortised cost:

	Carrying amount RM'000	Amortised cost RM'000
At 31 December 2022		
Financial assets		
Trade and other receivables, less prepayments	6,417	6,417
Cash and bank balances	794	794
	7,211	7,211
Financial liabilities		
Loans and borrowings, less lease liabilities	(17,863)	(17,863)
Trade and other payables	(10,475)	(10,475)
	(28,338)	(28,338)

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD
Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(a) Categories of financial instruments (continued)**

The following table analyses the financial instruments in the combined statements of financial position by the classes of financial instruments to which they are assigned at amortised cost: (continued)

	Carrying amount RM'000	Amortised cost RM'000
At 31 December 2023		
Financial assets		
Trade and other receivables, less prepayments	1,979	1,979
Cash and bank balances	947	947
	<u>2,926</u>	<u>2,926</u>
Financial liabilities		
Loans and borrowings, less lease liabilities	(15,332)	(15,332)
Trade and other payables	(9,547)	(9,547)
	<u>(24,879)</u>	<u>(24,879)</u>
At 31 December 2024		
Financial assets		
Trade and other receivables, less prepayments	14,976	14,976
Cash and bank balances	3,289	3,289
	<u>18,265</u>	<u>18,265</u>
Financial liabilities		
Loans and borrowings, less lease liabilities	(15,477)	(15,477)
Trade and other payables	(5,991)	(5,991)
	<u>(21,468)</u>	<u>(21,468)</u>

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(a) Categories of financial instruments (continued)**

The following table analyses the financial instruments in the combined statements of financial position by the classes of financial instruments to which they are assigned at amortised cost: (continued)

	Carrying amount RM'000	Amortised cost RM'000
At 31 December 2025		
Financial assets		
Trade and other receivables, less prepayments and VAT	7,919	7,919
Cash and bank balances	3,519	3,519
	<u>11,438</u>	<u>11,438</u>
Financial liabilities		
Loans and borrowings, less lease liabilities	(16,812)	(16,812)
Trade and other payables, less SST	(4,101)	(4,101)
	<u>(20,913)</u>	<u>(20,913)</u>

(b) Financial risk management

The Group's activities are exposed to a variety of financial risks arising from its operations and the use of financial instruments. The key financial risks include credit risk, liquidity risk, interest rate risk and foreign currency risk. The Group's overall financial risk management objective is to optimise value for its shareholders. The Group does not trade in financial instruments.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(b) Financial risk management (continued)**

The Board of Directors reviews and agrees to policies and procedures for the management of these risks, which are executed by the Group's senior management.

(i) Credit risk

Credit risk is the risk of financial loss to the Group that may arise on outstanding financial instruments should a counterparty default on its obligations. The Group is exposed to credit risk arises primarily from trade and other receivables. The Group has a credit policy in place and the exposure to credit risk is managed through the application of credit approvals, credit limits and monitoring procedures.

Trade receivables and contract assets

As at the end of the reporting period, the maximum exposure to credit risk arising from trade receivables and contract assets is represented by the carrying amounts in the combined statements of financial position.

The carrying amounts of trade receivables and contract assets are not secured by any collateral or supported by any other credit enhancements. In determining the recoverability of these receivables, the Group considers any change in the credit quality of the receivables from the date the credit was initially granted up to the reporting date. The Group has adopted a policy of dealing with creditworthy counterparties as a means of mitigating the risk of financial loss from defaults.

Credit risk concentration profile

At the end of the reporting period, the Group has a significant concentration of credit risk in the form of two (2) (2024 and 2023: two (2) and 2022: four (4)) trade receivables, representing approximately 96% (2024: 99%, 2023: 97% and 2022: 87%) of the Group's total trade receivables.

The Group applies the simplified approach to providing for impairment losses prescribed by MFRS 9 *Financial Instruments*, which permits the use of the lifetime expected credit losses provision for all trade receivables. To measure the impairment losses, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due. The impairment losses also incorporate forward-looking information.

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables and contract assets (continued)

The information about the credit risk exposure on the Group's trade receivables and contract assets are as follows:

	Contract assets RM'000	Current RM'000	Trade receivables				Total RM'000
			1 to 30 days past due RM'000	> 30 days past due RM'000	> 60 days past due RM'000	> 90 days past due RM'000	
At 31 December 2022							
Gross carrying amount at default	-	5	2	-	-	40	47
Impairment losses	-	-	-	-	-	-	-
Net balance	-	5	2	-	-	40	47
At 31 December 2023							
Gross carrying amount at default	-	1	2	1	1	1	6
Impairment losses	-	-	-	-	-	-	-
Net balance	-	1	2	1	1	1	6

13. ACCOUNTANTS' REPORT (Cont'd)

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

27. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables and contract assets (continued)

The information about the credit risk exposure on the Group's trade receivables and contract assets are as follows: (continued)

	Contract assets RM'000	Current RM'000	Trade receivables				Total RM'000
			1 to 30 days past due RM'000	31 to 60 days past due RM'000	61 to 90 days past due RM'000	91 to 120 days past due RM'000	
At 31 December 2024							
Gross carrying amount at default	837	1,019	7	1	1	-	1,028
Impairment losses	-	-	-	-	-	-	-
Net balance	837	1,019	7	1	1	-	1,028
At 31 December 2025							
Gross carrying amount at default	1,842	760	4	-	*	2	766
Impairment losses	-	-	-	-	-	-	-
Net balance	1,842	760	4	-	-	2	766

* Denotes < RM1,000

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(b) Financial risk management (continued)****(i) Credit risk (continued)****Other receivables and other financial assets**

For other receivables and other financial assets (including cash and cash equivalents), the Group minimises credit risk by dealing exclusively with high credit rating counterparties. At the reporting date, the Group's maximum exposure to credit risk arising from other receivables and other financial assets is represented by the carrying amount of each class of financial assets recognised in the combined statements of financial position.

The Group considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period. To assess whether there is a significant increase in credit risk the Group compares the risk of a default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportive forward-looking information. Especially the following indicators are incorporated:

- internal credit rating
- external credit rating (as far as available)
- actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the debtor's ability to meet its obligations
- actual or expected significant changes in the operating results of the borrower
- significant increases in credit risk on other financial instruments of the same borrower
- significant changes in the value of the collateral supporting the obligation or in the quality of third-party guarantees or credit enhancements
- significant changes in the expected performance and behaviour of the borrower, including changes in the payment status of borrowers in the group and changes in the operating results of the borrower

Macroeconomic information (such as market interest rates or growth rates) is incorporated as part of the internal rating model.

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than credit terms in making a contractual payment.

Intercompany loans between related parties are repayable on demand. For loans that are repayable on demand, impairment losses are assessed based on the assumption that repayment of the loan is demanded at the reporting date. If the borrower does not have sufficient highly liquid resources when the loan is demanded, the Group will consider the expected manner of recovery and recovery period of the intercompany loan.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(b) Financial risk management (continued)****(i) Credit risk (continued)****Other receivables and other financial assets (continued)**

The Group did not recognise any loss allowance for impairment for other receivables and other financial assets throughout the financial years under review.

(ii) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting financial obligations when they fall due. The Group's exposure to liquidity risk arises primarily from mismatches of the maturities between financial assets and liabilities. The Group's exposure to liquidity risk arises principally from trade and other payables and loans and borrowings.

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by facilities. The Group maintains sufficient liquidity and available funds to meet daily cash needs, while maintaining controls and security over cash movements. The Group uses a series of processes to obtain maximum benefits from its flow of funds, such that they are efficiently managed to maximise income from investment and minimise cost on borrowed funds. The Group's finance department also ensures that there are sufficient unutilised stand-by facilities, funding and liquid assets available to meet both short-term and long-term funding requirements.

Maturity analysis

The maturity analysis of the Group's financial liabilities by their relevant maturity at the reporting date based on contractual undiscounted repayment obligations are as follows:

	← Contractual cash flows →				Total RM'000
	Carrying amount RM'000	On demand or within one year RM'000	Between one to five years RM'000	More than five years RM'000	
At 31 December 2022					
Term loans	14,630	3,455	10,508	3,897	17,860
Lease liabilities	1,699	539	1,351	-	1,890
Trade and other payables	10,475	10,475	-	-	10,475
Bank overdraft	233	233	-	-	233
Revolving credit	3,000	3,000	-	-	3,000
	<u>30,037</u>	<u>17,702</u>	<u>11,859</u>	<u>3,897</u>	<u>33,458</u>

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(b) Financial risk management (continued)****(ii) Liquidity risk (continued)**Maturity analysis (continued)

The maturity analysis of the Group's financial liabilities by their relevant maturity at the reporting date based on contractual undiscounted repayment obligations are as follows: (continued)

	← Contractual cash flows →				Total RM'000
	Carrying amount RM'000	On demand or within one year RM'000	Between one to five years RM'000	More than five years RM'000	
At 31 December 2023					
Term loans	11,962	3,478	8,154	2,340	13,972
Lease liabilities	4,829	1,638	3,716	-	5,354
Trade and other payables	9,547	9,547	-	-	9,547
Bank overdraft	370	370	-	-	370
Revolving credit	3,000	3,000	-	-	3,000
	<u>29,708</u>	<u>18,033</u>	<u>11,870</u>	<u>2,340</u>	<u>32,243</u>
At 31 December 2024					
Term loans	14,277	3,478	8,154	2,340	13,972
Lease liabilities	9,927	3,981	7,823	36	11,840
Trade and other payables	5,991	5,991	-	-	5,991
Revolving credit	1,200	1,200	-	-	1,200
	<u>31,395</u>	<u>14,650</u>	<u>15,977</u>	<u>2,376</u>	<u>33,003</u>
At 31 December 2025					
Term loans	11,812	2,498	10,352	-	12,850
Lease liabilities	13,467	6,852	7,653	-	14,505
Trade and other payables	4,205	4,205	-	-	4,205
Revolving credit	5,000	5,000	-	-	5,000
	<u>34,484</u>	<u>18,555</u>	<u>18,005</u>	<u>-</u>	<u>36,560</u>

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(b) Financial risk management (continued)****(iii) Interest rate risk**

Interest rate risk is the risk of fluctuation in fair value or future cash flows of the Group's financial instruments as a result of changes in market interest rates. The Group's exposure to interest rate risk arises primarily from its loans and borrowings with floating interest rates.

Sensitivity analysis for interest rate risk

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant on the Group's total equity and profit for the financial years.

	Carrying amount RM'000	Change in basis point	Effect on profit and equity for the financial year year RM'000
31 December 2022			
Term loans	14,630	+ 50 - 50	(56) 56
Bank overdraft	233	+ 50 - 50	(1) 1
Revolving credit	3,000	+ 50 - 50	(11) 11
31 December 2023			
Term loans	11,962	+ 50 - 50	(45) 45
Bank overdraft	370	+ 50 - 50	(1) 1
Revolving credit	3,000	+ 50 - 50	(11) 11
31 December 2024			
Term loans	14,277	+ 50 - 50	(54) 54
Revolving credit	1,200	+ 50 - 50	(5) 5
			64

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(b) Financial risk management (continued)****(iii) Interest rate risk (continued)**Sensitivity analysis for interest rate risk (continued)

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant on the Group's total equity and profit for the financial years. (continued)

	Carrying amount RM'000	Change in basis point	Effect on profit and equity for the financial year year RM'000
31 December 2025			
Term loans	11,812	+ 50 - 50	(45) 45
Revolving credit	5,000	+ 50 - 50	(19) 19

(iv) Foreign currency risk

Foreign currency risk is the risk of fluctuation in fair value or future cash flows of a financial instrument as a result of changes in foreign exchange rates. The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities (when sales, purchases and bank balances that are denominated in a foreign currency).

Management has set up a policy that requires all companies within the Group to manage its treasury activities and exposures. The Group also takes advantage of any natural effects of its foreign currencies revenues and expenses by maintaining current accounts in foreign currencies.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(b) Financial risk management (continued)****(iv) Foreign currency risk (continued)**

The Group's unhedged financial assets that are not denominated in their functional currencies are as follows:

	← As at 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Financial assets not held in functional currencies				
<u>Trade and other receivables</u>				
Thai Baht ("THB")	48	-	-	-
Brunei Dollar ("BND")	13	-	-	-
Singapore Dollar ("SGD")	364	-	-	-
Philippine Peso ("PHP")	85	-	-	-
United States Dollar ("USD")	1,216	508	847	714
Vietnamese Dong ("VND")	181	-	-	-
	<u>1,907</u>	<u>508</u>	<u>847</u>	<u>714</u>
Financial assets not held in functional currencies				
<u>Cash and bank balances</u>				
USD	7	4	858	119
SGD	-	-	-	669
THB	-	-	-	105
BND	-	-	-	21
	<u>7</u>	<u>4</u>	<u>858</u>	<u>914</u>

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(b) Financial risk management (continued)****(iv) Foreign currency risk (continued)**Sensitivity analysis for foreign currency risk

The Group's principal foreign currency exposure relates mainly to THB, BND, SGD, PHP, USD, and VND.

The following table demonstrates the sensitivity to a reasonably possible change in the THB, BND, SGD, PHP, USD, and VND with all other variables held constant on the Group's total equity and profit for the financial years.

	Change in rate	Effect on profit and equity for the financial year RM'000
31 December 2022		
THB	+5%	2
	-5%	(2)
BND	+5%	*
	-5%	*
SGD	+5%	14
	-5%	(14)
PHP	+5%	3
	-5%	(3)
USD	+5%	46
	-5%	(46)
VND	+5%	7
	-5%	(7)
31 December 2023		
USD	+5%	19
	-5%	(19)
31 December 2024		
USD	+5%	65
	-5%	(65)

* Denotes < RM1,000

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**27. FINANCIAL INSTRUMENTS (CONTINUED)****(b) Financial risk management (continued)****(iv) Foreign currency risk (continued)**Sensitivity analysis for foreign currency risk (continued)

	Change in rate	Effect on profit and equity for the financial year RM'000
31 December 2025		
USD	+5%	32
	-5%	(32)

(c) Fair value measurement

The carrying amounts of bank balances, receivables and payables and short-term borrowings are reasonably approximate to their fair value due to relatively short-term nature of these financial instruments.

Other long-term financial liabilities are reasonable approximation of their fair values because they are floating rate instruments which are re-priced to market interest rates or estimated by discounting future cash flows using current lending rates for similar types of arrangements.

It is not practical to determine the fair value of finance lease liabilities which are at fixed rate due to lack of market information of comparable instruments with similar characteristic and risk profile.

Policy on transfer between levels

The fair value of asset to be transferred between levels is determined as of the date of the event or change in circumstances that caused the transfer.

During the financial years ended 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025, there was no transfer between the fair value measurement hierarchy.

The following table provides an analysis of financial instruments that are measured subsequent to initial recognition at fair value, grouped into Level 1 to 3 based on the degree to which the fair value is observable:

- (i) Level 1 – Quoted prices (unadjusted) in active markets for identical assets or liabilities.
- (ii) Level 2 – Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- (iii) Level 3 – Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**28. RELATED PARTIES****(a) Identification of related parties**

Parties are considered to be related to the Group if the Group has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operational decisions, or vice versa, or where the Group and the party are subject to common control. Related parties may be individuals or other entity.

Related parties of the Group include:

- (i) Entity in which directors have substantial financial interests;
- (ii) Entity in which a shareholder connected to a director of the Group;
- (iii) Shareholder; and
- (iv) Key management personnel of the Group, comprise persons (including directors) having the authority and responsibility for planning, directing and controlling the activities or indirectly.

(b) Significant related party transactions

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Sales of spare parts				
Entity which a director has substantial financial interests	2	20	-	-
Purchase of spare parts				
Entity which a director has substantial financial interests	(344)	(505)	(869)	(991)
Disposal of property, plant and equipment				
Entity which a director has substantial financial interests	-	-	13,568	32
Purchase of property, plant and equipment				
Entity which a director has substantial financial interests	(1,752)	(2,019)	(10,116)	(6,860)
Expenses paid on behalf by/(of)				
Entity which a director has substantial financial interests	(391)	(204)	(1,609)	(637)
A director	(1,206)	(679)	482	-

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**28. RELATED PARTIES (CONTINUED)****(b) Significant related party transactions (continued)**

	← FYE 31 December →			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
Repayment made (to)/from				
Entity which a director has substantial financial interests	-	(5,139)	(10,896)	(9,206)
Directors	-	1,100	-	(557)
Advances (to)/from				
Entity which a director has substantial financial interests	(2,001)	(447)	(3,465)	72
Assignment of debt arising from amount due (to)/from				
Entity which a director has substantial financial interests	(1,274)	5,870	(395)	(602)
Directors	646	5,870	(395)	-
Capitalisation of amount owing to Directors	-	-	2,758	-
Capital injection from Directors	-	86	-	-
Disposal of subsidiary				
Entity which a director has substantial financial interests	-	-	707	-
Business transfer from				
Entity which a director has substantial financial interests	-	-	(1,001)	(1,581)

Significant outstanding balances with related parties at the end of the reporting period are as disclosed in Notes 9 and 18.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**28. RELATED PARTIES (CONTINUED)****(c) Compensation of key management personnel**

	← FYE 31 December →			
	2022	2023	2024	2025
	RM'000	RM'000	RM'000	RM'000
Salaries, bonuses and allowances	288	503	929	1,164
Defined contribution plans	35	59	109	100
Other related expenses	1	2	4	127
	324	564	1,042	1,391

29. CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support its business and maximise shareholder value.

The Group manages its capital structure and make adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies and processes during financial years ended 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025.

The Group monitors capital using gearing ratio, which is total debts divided by total equity of the Group. The gearing ratio as at 31 December 2022, 31 December 2023, 31 December 2024, 31 December 2025 are as follows:

		← As at 31 December →			
		2022	2023	2024	2025
	Note	RM'000	RM'000	RM'000	RM'000
Loans and borrowings, less lease liabilities	16	17,863	15,332	15,477	16,812
Total debts		17,863	15,332	15,477	16,812
Total equity attributable to owners of the Group					
Total equity		7,060	6,398	24,250	30,382
Gearing ratio (times)		2.53	2.40	0.64	0.55

There were no changes in the Group's approach to capital management during the financial years under review.

The Group is not subject to externally imposed capital requirements.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**30. SIGNIFICANT EVENTS DURING THE FINANCIAL YEAR****(a) Disposal of subsidiary**

On 11 November 2024, RNG MY disposed the entire issued and paid-up capital of its subsidiary below to Gintell (M) Sdn. Bhd.:

Company name	Purchase Consideration (PHP)
Gintell Philippines Inc.	8,555,004

(b) Incorporation of RNG SG

On 8 March 2024, RNG SG was incorporated with shareholding of SGD200,000 at SGD1.00 each share under common control.

(c) Incorporation of RNG TH

On 15 July 2024, RNG TH was incorporated with shareholding of THB2,000,000 at THB1.00 each share under common control.

(d) Incorporation of RNG KH

On 27 December 2024, the Company incorporated a wholly owned subsidiary in Cambodia, RNG KH, with shareholding of USD45,000 at USD1.00 each share in the principal business activity of provision of vending massage services in Cambodia.

(e) Incorporation of RNG BRN

On 21 January 2025, the Company incorporated a wholly owned subsidiary in Brunei Darussalam, RNG BRN, with shareholding of USD40,000 at USD1.00 each share in the principal business activity of provision of vending massage services in Brunei Darussalam.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**31. SEGMENT INFORMATION**

The Group prepared the following segment information in accordance with MFRS 8 *Operating Segments* based on the internal reports of the Group's strategic business units which are regularly reviewed by Directors for the purpose of making decisions about resource allocation and performance assessment.

The three reportable segments are as follows:

Segments	Services
Vending massage services	Provision of vending massage services which features automated, self-service massage chairs, offering on-the-go massage services at locations with high-traffic waiting areas focusing on shopping malls, airports, and highway rest stops.
Vending massage chair rental plans	Provision of vending massage chair rental plans that allow our corporate customers to rent our vending massage chairs and place the chairs at their preferred locations.
Licensing of vending massage services	Licensing of vending massage services business where we offer licensing opportunities for interested parties through a royalty agreement, granting them exclusive ownership of our "Rest N Go" trademark in their territory, as well as the right to establish and operate RNG stations and RNG premium outlets under the capacity of a licensee.

There is no inter-segment pricing.

Factors used to identify reportable segments

The group is organised into business units based on its business segment purposes.

Segment profit

Segment performance is used to measure performance as Directors believe that such information is the most relevant in evaluating the results of certain segments relative to other entity that operate within these industries. Performance is evaluated based on operating profit or loss which is measured differently from operating profit or loss in the combined financial statements.

Segment assets

The total of segment asset is measured based on all of a segment, as included in the internal reports that are reviewed by the Directors.

Segment liabilities

Segment liabilities are not included in the internal reports that are reviewed by the Directors, hence no disclosures are made on segment liabilities.

13. ACCOUNTANTS' REPORT (Cont'd)**RNG TECH BERHAD**

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)**31. SEGMENT INFORMATION (CONTINUED)**

	Vending massage services RM'000	Vending massage chair rental plans RM'000	Licensing of vending massage services RM'000	Total RM'000
Group				
31 December 2022				
Revenue:				
Revenue from external customers	13,783	95	-	13,878
Results:				
<i>Included in the measure of segment profit are:</i>				
Depreciation of property, plant and equipment	(1,611)	-	-	(1,611)
Depreciation of right-of-use assets	(584)	-	-	(584)
Inventories written off	(29)	-	-	(29)
Finance income	639	-	-	639
Employee benefits expense	(3,559)	-	-	(3,559)
Finance costs	(1,140)	-	-	(1,140)
Segment profit	5,896	94	-	5,990
Income tax benefit	275	-	-	275
Profit for the financial year	2,221	94	-	2,315
Assets:				
Additions to non-current assets	3,788	-	-	3,788
Segment assets	30,472	-	-	30,472

13. ACCOUNTANTS' REPORT (Cont'd)
RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)
31. SEGMENT INFORMATION (CONTINUED)

	Vending massage services RM'000	Vending massage chair rental plans RM'000	Licensing of vending massage services RM'000	Total RM'000
Group				
31 December 2023				
Revenue:				
Revenue from external customers	23,172	143	-	23,315
Results:				
<i>Included in the measure of segment profit are:</i>				
Depreciation of property, plant and equipment	(1,594)	-	-	(1,594)
Depreciation of right-of-use assets	(1,362)	-	-	(1,362)
Finance income	515	-	-	515
Employee benefits expense	(4,725)	-	-	(4,725)
Finance costs	(1,283)	-	-	(1,283)
Segment profit	11,411	142	-	11,553
Income tax expenses	(585)	-	-	(585)
Profit for the financial year	7,196	142	-	7,338
Assets:				
Additions to non-current assets	6,493	-	-	6,493
Segment assets	33,340	-	-	33,340

13. ACCOUNTANTS' REPORT (Cont'd)
RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)
31. SEGMENT INFORMATION (CONTINUED)

	Vending massage services RM'000	Vending massage chair rental plans RM'000	Licensing of vending massage services RM'000	Total RM'000
Group				
31 December 2024				
Revenue:				
Revenue from external customers	36,848	113	3,363	40,324
Results:				
<i>Included in the measure of segment profit are:</i>				
Depreciation of property, plant and equipment	(1,966)	-	-	(1,966)
Depreciation of right-of-use assets	(3,152)	-	-	(3,152)
Finance income	2,754	-	-	2,754
Employee benefits expense	(7,106)	-	-	(7,106)
Interest expenses	(1,387)	-	-	(1,387)
Segment profit	18,839	112	3,363	22,314
Income tax expenses	(3,132)	-	-	(3,132)
Profit for the financial year	11,043	112	3,363	14,518
Assets:				
Additions to non-current assets	19,738	-	-	19,738
Segment assets	36,811	-	-	36,811

13. ACCOUNTANTS' REPORT (Cont'd)
RNG TECH BERHAD
Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)
31. SEGMENT INFORMATION (CONTINUED)

	Vending massage services RM'000	Vending massage chair rental plans RM'000	Licensing of vending massage services RM'000	Total RM'000
Group				
31 December 2025				
Revenue:				
Revenue from external customers	46,159	77	3,106	49,342
Results:				
<i>Included in the measure of segment profit are:</i>				
Depreciation of property, plant and equipment	(3,932)	-	-	(3,932)
Depreciation of right-of-use assets	(6,492)	-	-	(6,492)
Finance income	192	-	-	192
Employee benefits expense	(10,362)	-	-	(10,362)
Interest expenses	(1,582)	-	-	(1,582)
Segment profit	18,839	112	3,106	22,057
Income tax expenses	(2,338)	-	-	(2,338)
Profit for the financial year	2,782	112	3,106	6,000
Assets:				
Additions to non-current assets	21,931	-	-	21,931
Segment assets	47,221	-	-	47,221

13. ACCOUNTANTS' REPORT *(Cont'd)*

RNG TECH BERHAD

Accountants' Report

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONTINUED)

31. SEGMENT INFORMATION (CONTINUED)

Geographical Information

Revenue information based on geographical location of customers are as follows:

	Revenue RM'000
31 December 2022	
Malaysia	13,878
	Revenue RM'000
31 December 2023	
Malaysia	23,315
	Revenue RM'000
31 December 2024	
Malaysia	31,024
Singapore	5,937
The Philippines	2,653
Vietnam	710
	40,324
	Revenue RM'000
31 December 2025	
Malaysia	34,923
Brunei Darussalam	177
Cambodia	801
Singapore	7,653
Thailand	2,682
The Philippines	2,689
Vietnam	417
	49,342

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION



26 May 2026

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Dear Sirs,

RNG TECH BERHAD ("RNG Tech" or the "Company")

REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2025 FOR INCLUSION IN THE PROSPECTUS IN RELATION TO THE LISTING

We have completed our assurance engagement to report on the compilation of the pro forma combined financial information of RNG Tech and its subsidiary, Rest N Go (Cambodia) Co. Ltd. and the combining entities, namely Rest N Go App Sdn. Bhd., Rest N Go (Singapore) Pte. Ltd., Rest N Go (Thailand) Company Limited and Rest N Go (B) Sdn. Bhd. (collectively referred to as the "Group") for which the Board of Directors ("Directors") of RNG Tech are solely responsible. The pro forma combined financial information consists of the pro forma combined financial information as at 31 December 2025 together with the accompanying notes thereon, as set out in the accompanying statements, for which we have stamped for the purpose of identification.

The applicable criteria on the basis of which the Directors of RNG Tech have compiled the pro forma combined financial information are as described in Note 2 to the pro forma combined financial information and in accordance with the requirements of Chapter 9 of the *Prospectus Guidelines* issued by the Securities Commission Malaysia ("Prospectus Guidelines") and the Guidance Note for Issuers of Pro Forma Financial Information issued by the Malaysian Institute of Accountants ("Applicable Criteria").

The pro forma combined financial information of the Group has been compiled by the Directors of RNG Tech, for illustrative purposes only, for inclusion in the prospectus of RNG Tech ("Prospectus") in conjunction with the listing of and quotation for the entire enlarged issued share capital of RNG Tech on the ACE Market of Bursa Malaysia Securities Berhad comprising the Public Issue and the Offer for Sale ("IPO"), after making certain assumptions and such adjustments to show the effects on the pro forma combined financial information of the Group as at 31 December 2025 adjusted for the Proposed Acquisitions, Public Issue, Offer for Sale and utilisation of proceeds as described in Notes 1.2.1, 1.2.2, 1.2.3, and 3.2.1 respectively.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)



RNG TECH BERHAD AND ITS COMBINING ENTITIES

Reporting Accountant's Report on the Compilation of the
Pro Forma Combined Statement of Financial Position
as at 31 December 2025 for inclusion in the Prospectus in relation to the Listing

As part of this process, information about the Group's pro forma combined financial information has been extracted by the Directors of RNG Tech from the accountants' report of the Group for the financial years ended ("FYE") 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025, which were reported by us to the Directors of RNG Tech on 26 May 2026 without any modification.

Directors' Responsibility for the Pro Forma Combined Statements of Financial Position

The Directors of RNG Tech are responsible for compiling the pro forma combined financial information based on the Applicable Criteria.

Our Independence and Quality Control

We have complied with the independence and other ethical requirement of the *By-Laws (on Professional Ethics, Conduct and Practice)* issued by the Malaysian Institute of Accountants and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.

Our firm applies *International Standard on Quality Management 1 (ISQM 1), Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements* and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Reporting Accountants' Responsibilities

Our responsibility is to express an opinion, on whether the pro forma combined financial information has been compiled, in all material respects, by the Directors of RNG Tech based on the Applicable Criteria.

We conducted our engagement in accordance with *International Standard on Assurance Engagements (ISAE) 3420: Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus*, issued by the International Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants. This standard requires that we plan and perform procedures to obtain reasonable assurance about whether the Directors of RNG Tech have compiled, in all material respects, the pro forma combined statements of financial position based on the Applicable Criteria.

For the purpose of this engagement, we are not responsible for updating or reissuing any reports or opinions on any historical financial information used in compiling the pro forma combined financial information, nor have we, in the course of this engagement, performed an audit or review of the financial information used in compiling the pro forma combined financial information.

The purpose of the pro forma combined financial information included in the Prospectus is solely to illustrate the impact of significant events or transactions on the unadjusted financial information of RNG Tech as if the events had occurred or the transaction had been undertaken at an earlier date selected for illustrative purposes only. Accordingly, we do not provide any assurance that the actual outcome of the events or transactions would have been as presented.

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)



RNG TECH BERHAD AND ITS COMBINING ENTITIES

Reporting Accountant's Report on the Compilation of the

Pro Forma Combined Statement of Financial Position

as at 31 December 2025 for inclusion in the Prospectus in relation to the Listing

Reporting Accountants' Responsibilities (Continued)

A reasonable assurance engagement to report on whether the pro forma combined financial information has been compiled, in all material respects, based on the Applicable Criteria involves performing procedures to assess whether the Applicable Criteria used by the Directors of RNG Tech in the compilation of the pro forma combined financial information of the Group provide a reasonable basis for presenting the significant effects directly attributable to Listing Scheme as described in Note 1.2 to the pro forma combined financial information, and to obtain sufficient appropriate evidence about whether:

- (a) The related pro forma adjustments give appropriate effect to those criteria; and
- (b) The pro forma financial information reflects the proper application of those adjustments to the unadjusted financial information.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Group, the events or transactions in respect of which the pro forma combined financial information has been compiled, and other relevant engagement circumstances.

The engagement also involves evaluating the overall presentation of the pro forma combined financial information.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Our opinion

In our opinion the pro forma combined financial information of the Group has been compiled, in all material respects, on the basis as described in the notes thereon on the pro forma combined financial information and in accordance with the requirements of the Applicable Criteria.

Other matter

This report has been prepared for inclusion in the Prospectus of RNG Tech in connection with the IPO. As such, this report should not be used, circulated, quoted or otherwise referred to in any document or used for any other purpose without our prior written consent. Neither the firm nor any member or employee of the firm undertakes responsibility arising in any way whatsoever to any party in respect of this report contrary to the aforesaid purpose.

Yours faithfully,

A handwritten signature in black ink, appearing to read "Baker Tilly Monteiro Heng".

Baker Tilly Monteiro Heng PLT
201906000600 (LLP0019411-LCA) & AF 0117
Chartered Accountants

A handwritten signature in black ink, appearing to read "Paul".

Paul Tan Hong
No. 03459/11/2027 J
Chartered Accountant

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)**RNG TECH BERHAD****PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION****1. INTRODUCTION**

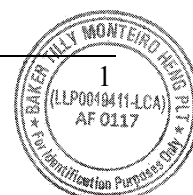
The pro forma combined financial information of RNG Tech Berhad ("RNG Tech" or the "Company") and its subsidiary, Rest N Go (Cambodia) Co. Ltd. ("RNG KH") and its combining entities, namely Rest N Go App Sdn. Bhd. ("RNG MY"), Rest N Go (Singapore) Pte. Ltd. ("RNG SG"), Rest N Go (Thailand) Company Limited ("RNG TH"), and Rest N Go (B) Sdn. Bhd. ("RNG BRN") (hereinafter collectively referred to as the "Group") has been compiled by the Directors of RNG Tech, for illustrative purposes only, for inclusion in the prospectus of RNG Tech ("Prospectus") in conjunction with the listing of and quotation for the entire enlarged issued share capital in RNG Tech ("RNG Shares") on the ACE Market of Bursa Malaysia Securities Berhad ("Bursa Securities") ("Listing").

1.1 In conjunction with the admission of RNG Tech to the Official List of Bursa Securities and the Listing, RNG Tech had undertaken the following transactions:

1.2 Listing Scheme**1.2.1 Proposed Acquisitions**

On 27 August 2025, RNG Tech entered into a conditional share sale agreement for the following:

- (i) acquisition of the entire issued share capital of RNG MY of RM2,600,000 comprising 2,600,000 ordinary shares from the shareholders of RNG MY for a total purchase consideration of RM21,993,000 satisfied entirely by the issuance and allotment of 590,020,549 new RNG Shares in aggregate at an issue price of approximately RM0.0373 per RNG Tech Share ("Proposed Acquisition of RNG MY");
- (ii) acquisition of the entire issued share capital of RNG SG of SGD200,000 comprising 200,000 ordinary shares from the shareholder of RNG SG for a total purchase consideration of RM2,266,000 satisfied entirely by the issuance and allotment of 60,791,460 new RNG Shares in aggregate at an issue price of approximately RM0.0373 per RNG Tech Share ("Proposed Acquisition of RNG SG");
- (iii) acquisition of the 49% of effective equity interest in RNG TH of THB9,800 comprising 9,800 ordinary shares from the shareholders of RNG TH for a total purchase consideration of RM414,050 satisfied entirely by the issuance and allotment of 11,107,989 new RNG Shares in aggregate at an issue price of approximately RM0.0373 per RNG Tech Share. Notwithstanding the acquisition of the 49% of effective equity interest in RNG TH, the effective equity interest calculated based on the total issued share capital of RNG TH which consists of 9,800 ordinary shares from shareholders of RNG TH and 10,200 preference shares from director of RNG TH. These preference shares carry voting rights of 1 vote per 10 preference shares, amounting to an effective voting right of 9.4% by preference shareholder. Accordingly, 90.6% of RNG TH's financial performance will be combined as part of the Group's financial performance. ("Proposed Acquisition of RNG TH");



14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)

RNG TECH BERHAD

PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION (CONTINUED)

1. (Continued)

1.2 (Continued)

1.2.1 (continued)

The Proposed Acquisition of RNG MY, Proposed Acquisition of RNG SG and Proposed Acquisition of RNG TH are collectively referred to as the "Proposed Acquisitions".

For information purposes, the purchase consideration of the Proposed Acquisitions was arrived at on a "willing buyer-willing seller" and after taking into account the audited net assets ("NA") of the target companies as at 31 December 2024, except for RNG TH which taking into account of unaudited NA as at 31 December 2024.

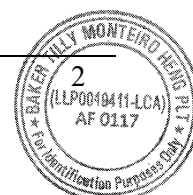
The acquisitions were completed on 12 May 2026, whereby RNG MY, RNG SG and RNG TH became subsidiaries of RNG Tech.

1.2.2 Public Issue

The public issue of 126,080,000 new RNG Shares at the issue price of RM0.13 per RNG Tech Share, representing 16.00% of the enlarged issued share capital of RNG Tech, will be allocated in the following manner:

- (i) 39,400,000 Issue Shares, representing 5.00% of the enlarged issued share capital of RNG Tech Group, made available for application by the Malaysian Public;
- (ii) 74,860,000 Issue Shares, representing 9.50% of the enlarged issued share capital of RNG Tech Group, made available by way of private placement to Bumiputera investors approved by the Ministry of Investment, Trade and Industry of Malaysia; and
- (iii) 11,820,000 Issue Shares, representing 1.50% of the enlarged issued share capital of RNG Tech Group, made available for application by the eligible Directors and employees.

(Collectively hereinafter referred to as "Public Issue").



14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)

RNG TECH BERHAD

PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION (CONTINUED)

1. (Continued)

1.2 (Continued)

1.2.3 Offer for Sale

Offer for sale of 78,800,000 existing RNG Shares at the issue price of RM0.13 per RNG Tech Share, representing 10.00% of the enlarged issued share capital of RNG Tech, will be allocated in the following manner:

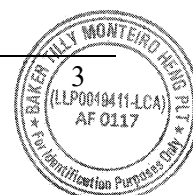
- (i) 55,160,000 Issue Shares, representing 7.00% of the enlarged issued share capital of RNG Tech Group, made available by way of private placement to selected investors; and
- (ii) 23,640,000 Issue Shares, representing 3.00% of the enlarged issued share capital of RNG Tech Group, made available by way of private placement to Bumiputera investors approved by the Ministry of Investment, Trade and Industry of Malaysia.

1.2.4 Listing

The admission of RNG Tech to the Official List of Bursa Securities and the listing of and quotation for its entire enlarged issued share capital of RM41,063,452 comprising 788,000,000 RNG Shares on the ACE Market.

2. BASIS OF PREPARATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION

- 2.1 The pro forma combined statements of financial position has been prepared to illustrate the pro forma combined financial position of the Group as at 31 December 2025, adjusted for the Subsequent Events, Proposed Acquisitions, Public Issue, Offer for Sale and utilisation of proceeds as described in Notes 1.2.1, 1.2.2, 1.2.3 and 3.2.1, respectively.
- 2.2 The accountants' report of the Group for the FYE 31 December 2022, 31 December 2023, 31 December 2024 and 31 December 2025 were reported by us to the Directors of RNG Tech on 26 May 2026 without any modifications.
- 2.3 The pro forma combined statements of financial position of the Group has been prepared for illustrative purposes only and, such information may not, because of its nature, give a true picture of the actual financial position and the results of the Group and does not purport to predict the future financial position and results of the Group.
- 2.4 The pro forma combined statements of financial position of the Group has been properly prepared on the basis set out in the accompanying notes to the pro forma combined statements of financial position based on the accountants' report of the Group for FYE 31 December 2025, which have been prepared in accordance with the Malaysian Financial Reporting Standards and the International Financial Reporting Standards.



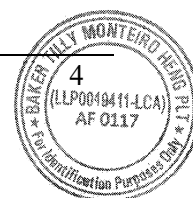
14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)**RNG TECH BERHAD****2. BASIS OF PREPARATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (CONTINUED)**

- 2.5 The effects of the business transfer are not illustrated as part of the adjustments to the pro forma combined statement of financial position of the Group as the business transfer has been included in the Group's audited combined financial statements for the FYE 31 December 2025, where the business operation arising from transfer of business to RNG SG, RNG TH, RNG KH and RNG BRN were effective on 1 April 2024, 1 January 2025, 1 February 2025 and 1 February 2025 respectively.

3. PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION OF THE GROUP

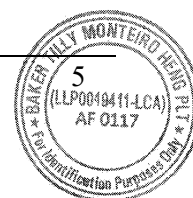
- 3.1 The pro forma combined statements of financial position of the Group as set out below, for which the directors of RNG Tech are solely responsible, have been prepared for illustrative purposes only, to show the effects on the audited combined statements of financial position of the Group as at 31 December 2025, had the transactions as described in Note 1.2 and utilisation of proceeds as described in Note 3.2.1 been effected on that date, and should be read in conjunction with the notes accompanying thereto.

	Pro Forma I	Pro Forma II	Pro Forma III
Combined Statements of Financial Position as at 31 December 2025 RM'000	After the Acquisitions RM'000	After Pro Forma I and the Public Issue RM'000	After Pro Forma II and the Utilisation of Proceeds RM'000
ASSETS			
Non-current asset			
Property, plant and equipment	34,301	34,301	34,301
Right-of-use assets	12,920	12,920	12,920
	47,221	47,221	47,221
Current assets			
Inventories	205	205	205
Trade and other receivables	14,722	14,722	14,479
Contract assets	1,842	1,842	1,842
Cash and short-term deposits	3,519	3,519	19,909
	20,288	20,288	36,678
TOTAL ASSETS	67,509	67,509	83,899



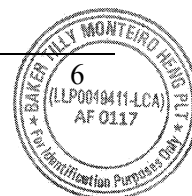
14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)**RNG TECH BERHAD****3. PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION OF THE GROUP (CONTINUED)****3.1 (Continued)**

	Combined Statements of Financial Position as at 31 December 2025 RM'000	Pro Forma I After the Acquisitions RM'000	Pro Forma II After Pro Forma I and the Public Issue RM'000	Pro Forma III After Pro Forma II and the Utilisation of Proceeds RM'000
EQUITY AND LIABILITIES				
Equity attributable to owners of the Group				
Share capital	-	24,673	41,063	39,943
Invested equity	3,514	-	-	-
Revaluation reserve	3,058	3,058	3,058	3,058
Reorganisation reserve	-	(21,159)	(21,159)	(21,159)
Exchange reserve	(190)	(190)	(190)	(190)
Retained earnings	24,047	24,047	24,047	23,068
	30,429	30,429	46,819	44,720
Non-controlling interest	(47)	(47)	(47)	(47)
TOTAL EQUITY	30,382	30,382	46,772	44,673
Non-current liabilities				
Loans and borrowings	16,944	16,944	16,944	16,944
Deferred tax liabilities	258	258	258	258
	17,202	17,202	17,202	17,202
Current liabilities				
Loans and borrowings	13,335	13,335	13,335	10,335
Trade and other payables	4,205	4,205	4,205	4,205
Contract liabilities	1,623	1,623	1,623	1,623
Current tax liabilities	762	762	762	762
	19,925	19,925	19,925	16,925
TOTAL LIABILITIES	37,127	37,127	37,127	34,127
TOTAL EQUITY AND LIABILITIES	67,509	67,509	83,899	78,800



14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)**RNG TECH BERHAD****3. PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION OF THE GROUP (CONTINUED)****3.1 (Continued)**

	Combined Statements of Financial Position as at 31 December 2025	Pro Forma I After the Acquisitions	Pro Forma II After Pro Forma I and the Public Issue	Pro Forma III After Pro Forma II and the Utilisation of Proceeds
Number of ordinary shares in issue ('000)	3,514 ⁺	661,920	788,000	788,000
NA attributable to the owners of the Company (RM'000)	30,382	30,382	46,772	44,673
NA per share attributable to the owners of the Company (RM)	8.65	0.05	0.06	0.06
Interest-bearing borrowings (RM'000) ^{>}	16,812	16,812	16,812	13,812
Gearing (times) ^{&}	0.55	0.55	0.36	0.31

Note:⁺ Representing invested equity of the Company as at FYE 31 December 2025[>] Represents interest-bearing loans and borrowings, excluding lease liabilities arising from right-of-use assets[&] Gearing ratio is calculated based on total interest-bearing borrowings divided by total equity of the Group

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)**RNG TECH BERHAD****3. PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 Notes to the pro forma combined financial information are as follows:

3.2.1 The proceeds from the Public Issue would be used in the following manner:

Purposes	RM'000	%	Estimated time frame for defrayment (from listing date)
Set up of new RNG stations and RNG premium outlets ⁽¹⁾	4,896	29.9	Within 12 months
Upgrade and refurbish existing RNG stations and RNG premium outlets ⁽¹⁾	2,184	13.3	Within 18 months
Repayment of borrowings	3,000	18.3	Within 6 months
Marketing expenses ⁽¹⁾	1,000	6.1	Within 36 months
General working capital	1,110	6.8	Within 12 months
Estimated listing expenses ⁽²⁾	4,200	25.6	Immediately
Total	16,390	100.0	

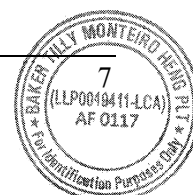
Notes:

(1) As at the date of this letter, the Group has yet to enter into any contractual binding agreement or issue any purchase order in relation to the purchase of machinery and equipment, expansion of business, product development and marketing activities. Accordingly, the utilisation of proceeds earmarked for the purchase of machinery and equipment, expansion of business, and marketing activities are not reflected in the pro forma combined statements of financial position.

(2) The estimated listing expenses totaling RM4.20 million to be borne by the Company comprise of, among others, underwriting, placement and brokerage fees, professional fees as well as other miscellaneous expenses.

As at 31 December 2025, out of the RM4.20 million relating to the listing exercise earmarked for listing expenses, RM2.10 million has been incurred and charged to the Retained Earnings Account and RM0.24 million has been recognised as prepayment and will be capitalised in Share Capital Account upon successful listing as these are directly attributable expenses relating to the new issuance of Shares.

Out of RM1.86 million, being the remaining estimated listing expenses to be incurred, RM0.98 million will be charged to Retained Earnings Account and the remaining RM0.88 million will be capitalised in Share Capital Account as these are directly attributable expenses relating to the new issuance of Shares.



14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)**RNG TECH BERHAD****3. PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION OF THE GROUP (CONTINUED)****3.2 (Continued)**

3.2.2 The pro forma combined statements of financial position should be read in conjunction with the notes below:

(a) Pro Forma I

Pro Forma I incorporates the cumulative effects of the Proposed Acquisitions as described in Note 1.2.1 on the audited combined statements of financial position of the Group as at 31 December 2025.

Proposed Acquisition of RNG MY

The reorganisation reserve arising from the Proposed Acquisition of RNG MY are as below:

	RM'000
Purchase consideration	21,993
Less: Share capital of RNG MY	(2,600)
Reorganisation reserve	<u>19,393</u>

Proposed Acquisition of RNG SG

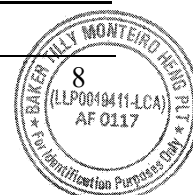
The reorganisation reserve arising from the Proposed Acquisition of RNG SG are as below:

	RM'000
Purchase consideration	2,266
Less: Share capital of RNG SG	(658)
Reorganisation reserve	<u>1,608</u>

Proposed Acquisition of RNG TH

The reorganisation reserve arising from the Proposed Acquisition of RNG TH are as below:

	RM'000
Purchase consideration	414
Less: Share capital of RNG TH	(256)
Reorganisation reserve	<u>158</u>



14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)**RNG TECH BERHAD****3. PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 (Continued)

3.2.2 (Continued)

(a) Pro Forma I (continued)

The Proposed Acquisitions will have the following impact on the audited combined statements of financial position of the Group as at 31 December 2025:

	Increase/(Decrease)	
	Effects on Total Liabilities RM'000	Effects on Total Equity RM'000
Share capital	-	24,673
Invested equity	-	(3,514)
Reorganisation reserve	-	(21,159)
	<u>-</u>	<u>-</u>

(b) Pro Forma II

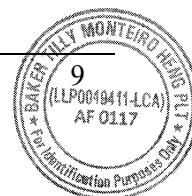
Pro Forma II incorporates the cumulative effects of Pro Forma I and the Public Issue as described in Note 1.2.2 and Note 1.2.3, respectively.

The Public Issue will have the following impact on the pro forma combined statements of financial position of the Group as at 31 December 2025:

	Increase	
	Effects on Total Assets RM'000	Effects on Total Equity RM'000
Cash and bank balances	16,390	-
Share capital	-	16,390
	<u>16,390</u>	<u>16,390</u>

Upon the completion of the Public Issue of 126,080,000 RNG Shares, its entire enlarged issued share capital would amount to RM41,063,452 comprising 788,000,000 RNG Shares.

The Offer for Sale does not have an impact on the audited combined statement of financial position of RNG Tech.



14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)

RNG TECH BERHAD

3. PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION OF THE GROUP (CONTINUED)

3.2 (Continued)

3.2.2 (Continued)

(c) Pro Forma III

Pro Forma III incorporates the cumulative effects of Pro Forma II and the utilisation of proceeds from the Public Issue of RM16.39 million and after netting off RM3.00 million of repayment of borrowings and RM4.20 million of estimated listing expenses.

The remaining proceeds expected from the Public Issue of RM9.19 million will be used in the manner as described in Note 3.2.1.

The proceeds arising from the Public Issue earmarked for the set up of new RNG stations and RNG premium outlets, upgrade and refurbishment of existing RNG stations and RNG premium outlets and marketing expenses and Group's working capital purposes of RM9.19 million will be included in the Cash and Bank Balances Account.

As at 31 December 2025, out of the RM4.20 million for listing expenses, RM2.10 million has been incurred and charged to the Retained Earnings Account and RM0.24 million has been recognised as prepayment and will be capitalised in Share Capital Account upon successful listing as these are directly attributable expenses relating to the new issuance of shares..

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)**RNG TECH BERHAD****3. PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 (Continued)

3.2.2 (Continued)

(c) Pro Forma III (continued)

As for the remaining estimated listing expenses of RM1.86 million, RM0.98 million will be charged to Retained Earnings Account and RM0.88 million will be capitalised in Share Capital Account as these are directly attributable expenses relating to the new issuance of shares.

The utilisation of proceeds will have the following impact on the pro forma combined statements of financial position of the Group as at 31 December 2025:

	Decrease	
	Effects on	Effects on
	Total Assets	Total Liabilities/
	RM'000	Equity
		RM'000
Cash and bank balances	(4,856)	-
Trade and other receivables	(243)	-
Loan and borrowings:		
- Current	-	(3,000)
Share capital	-	(1,120)
Retained earnings	-	(979)
	<u>(5,099)</u>	<u>(5,099)</u>

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)**RNG TECH BERHAD****3. PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION OF THE GROUP (CONTINUED)****3.2 (Continued)****3.2.3 Movements in share capital and reserves are as follows:**

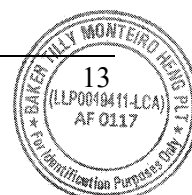
	Share capital RM'000	Invested equity RM'000	Revaluation reserve RM'000	Reorganisation reserve RM'000	Exchange reserve RM'000	Retained earnings RM'000	Non-controlling interest RM'000	Total RM'000
Combined statements of financial position of the Group as at 31 December 2025	-	3,514	3,058	-	(190)	24,047	-	30,429
Arising from the Acquisitions	24,673	(3,514)	-	(21,159)	-	-	-	-
Per Pro Forma I	24,673	-	3,058	(21,159)	(190)	24,047	-	30,429
Arising from the Public Issue	16,390	-	-	-	-	-	-	16,390
Per Pro Forma II	41,063	-	3,058	(21,159)	(190)	24,047	-	46,819
Arising from the defrayment of estimated listing expenses in relation to the Listing	(1,120)	-	-	-	-	(979)	-	(2,099)
Per Pro Forma III	39,943	-	3,058	(21,159)	(190)	23,068	-	44,720

14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)**RNG TECH BERHAD****3. PRO FORMA COMBINED STATEMENT OF FINANCIAL POSITION OF THE GROUP (CONTINUED)****3.2 (Continued)****3.2.4 Movements in trade and other receivables are as follows:**

	RM'000
Combined statements of financial position of the Group as at 31 December 2025	14,722
Arising from the Acquisitions	-
Per Pro Forma I	14,722
Arising from the Public Issue	-
Per Pro Forma II	14,722
Arising from Utilisation of Proceeds	(243)
Per Pro Forma III	14,479

3.2.5 Movements in cash and bank balances are as follows:

	RM'000
Combined statements of financial position of the Group as at 31 December 2025	3,519
Arising from the Acquisitions	-
Per Pro Forma I	3,519
Arising from the Public Issue	16,390
Per Pro Forma II	19,909
Arising from the defrayment of estimated listing expenses in relation to the Listing	(1,856)
Arising from the repayment of borrowings	(3,000)
Per Pro Forma III	15,053

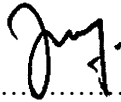


14. REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA COMBINED FINANCIAL INFORMATION (Cont'd)

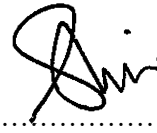
RNG TECH BERHAD

APPROVAL BY BOARD OF DIRECTORS

Approved and adopted on behalf of the Board of Directors of RNG Tech Berhad in accordance with a resolution dated **26 MAY 2026**



.....
Datin Tan Sok Fei
Director



.....
Shin Kok Leong
Director

15. STATUTORY AND OTHER INFORMATION**15.1 SHARE CAPITAL**

- (a) As at the date of this Prospectus, we only have one class of shares, namely, ordinary shares, all of which rank equally with one another.
- (b) Save for the Pink Form Allocations as disclosed in Section 4.3.3,
 - (i) no Director or employee of our Group has been or is entitled to be given or has exercised any option to subscribe for any share of our Company or our subsidiaries; and
 - (ii) there is no scheme involving the employees of our Group in the shares of our Company or our subsidiaries.
- (c) Save for the new Shares issued to the subscriber shareholders and pursuant to the Acquisitions as disclosed in Section 6.2 and to be issued for the Public Issue as disclosed in Section 4.3.1, no shares of our Company have been issued or are proposed to be issued as fully or partly paid-up, in cash or otherwise, within the past 2 years immediately preceding the date of this Prospectus.
- (d) Other than our Public Issue as disclosed in Section 4.3.1, there is no intention on the part of our Directors to further issue any Shares on the basis of this Prospectus.
- (e) As at the date of this Prospectus, we do not have any outstanding convertible debt securities.

15.2 SHARE CAPITAL OF OUR SUBSIDIARIES

Details of our share capital are set out in Section 6.1. Details of the share capital of our subsidiaries are set out below.

15.2.1 RNG MY

RNG MY's share capital as at LPD is RM2,600,000 comprising 2,600,000 ordinary shares. The movements in its share capital since incorporation are as follows:

Date of allotment	No. of shares allotted	Consideration/ Type of issue	Cumulative share capital RM
29 April 2009	2	RM2/ Subscriber's shares	2
28 December 2010	99,998	RM99,998/ Cash	100,000
13 May 2011	400,000	RM400,000/ Cash	500,000
31 December 2024	2,100,000	RM2,100,000/ Otherwise than cash	2,600,000

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in RNG MY. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

15. STATUTORY AND OTHER INFORMATION (Cont'd)**15.2.2 RNG SG**

RNG SG's share capital as at LPD is SGD200,000 comprising 200,000 ordinary shares. The share capital since incorporation is as follows:

Date of allotment	No. of shares allotted	Consideration/ Type of issue	Cumulative share capital SGD
8 March 2024	2	SGD2/ Subscriber's shares	2
30 May 2024	199,998	SGD199,998/ Otherwise than cash	200,000

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in RNG SG. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

15.2.3 RNG TH

RNG TH's share capital as at LPD is THB2,000,000 comprising 9,800 ordinary shares and 10,200 preference shares. The share capital since incorporation is as follows:

Date of allotment	No. of ordinary shares allotted	Consideration/ Type of issue	Cumulative share capital THB
15 July 2024	9,800	THB980,000/ Subscriber's shares	980,000

Date of allotment	No. of preference shares allotted	Consideration/ Type of issue	Cumulative share capital THB
15 July 2024	10,200	THB1,020,000/ Subscriber's shares	1,020,000

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in RNG TH. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

15.2.4 RNG KH

RNG KH's share capital as at LPD is KHR180,000,000 comprising 4,500 ordinary shares. The share capital since incorporation is as follows:

Date of allotment	No. of shares allotted	Consideration/ Type of issue	Cumulative share capital KHR
27 December 2024	4,500	KHR180,000,000/ Subscriber's shares	180,000,000

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in RNG KH. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

15. STATUTORY AND OTHER INFORMATION (Cont'd)**15.2.5 RNG BRN**

RNG BRN's share capital as at LPD is BND40,000 comprising 40,000 ordinary shares. The share capital since incorporation is as follows:

Date of allotment	No. of shares allotted	Consideration/ Type of issue	Cumulative share capital BND
22 April 2025	40,000	BND40,000/ Subscriber's shares	40,000

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in RNG BRN. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

15.3 CONSTITUTION

The following provisions are extracted from our Constitution. Terms defined in our Constitution shall have the same meanings when used here unless they are otherwise defined here or the context otherwise requires.

15.3.1 Changes in share capital and variation of class rights

The provisions in our Constitution dealing with changes in share capital and variation of class rights, which are no less stringent than those required by law, are as follows:

Clause 9 – Class of Shares

The share capital of the Company is its issued share capital which shall be in Ringgit Malaysia. The shares in the original or any increased capital may be divided into several classes and there may be attached thereto, respectively, any preferential, deferred, qualified or other special rights, privileges, conditions or restrictions as to dividend, capital, voting or otherwise, as the Company may from time to time by ordinary resolution determine.

Clause 12 – Power to Issue Preference Shares

The Company shall have power to issue preference shares ranking equally with or in priority to preference shares already issued and the Directors may, subject to the provisions of the Act, redeem such shares on such terms and in such manner as they may think fit.

Clause 13 – Rights of Preference Shareholders

- 13.(1) Save as otherwise specifically provided for under this Constitution in respect of any particular class of preference shares and subject to the Act, preference shareholders shall have the same right as ordinary shareholders as regards to receiving notices, reports and audited financial statements and attending general meetings of the Company.
- 13.(2) Save as otherwise specifically provided for under this Constitution in respect of any particular class of preference share, preference shareholders shall also have the right to vote at any meeting convened for the purpose of reducing the share capital of the Company or sanctioning a disposal of the whole of the Company's property, business and undertaking or where the proposition to be submitted to the meeting

15. STATUTORY AND OTHER INFORMATION (Cont'd)

directly affects their rights and privileges, or when the dividend or part of the dividend on the preference shares is in arrears for more than 6 months or on a proposal to wind-up the Company or during the winding up of the Company, but shall have no other rights whatsoever.

- 13.(3) The holder of a preference share must be entitled to a return of capital in preference to holders of ordinary shares when the Company is wound up.

Clause 17 – Shares Issued for Purposes of Raising Money for the Construction of Works or Building

Subject to Section 130 of the Act and any other conditions and restrictions prescribed by the Act, if any shares of the Company are issued for the purpose of raising money to defray the expenses of the construction of any works or buildings or the provision of any plant or equipment which cannot be made profitable for a lengthened period, the Company may pay interest or returns on so much of that share capital as is for the time being paid up for the period, and may charge the sum so paid by way of interest or returns to capital as part of the costs of construction of the work or building or the provision of plant or equipment.

Clause 20 – Trusts not to be Recognised

Except as required by law and as provided under the Rules, no person shall be recognised by the Company as holding any share upon any trust and the Company shall not, even when having notice thereof, be bound or compelled to recognise any equitable, contingent, future or partial interest in any share, or any interest in any fractional part of a share, or (except only as by this Constitution otherwise expressly provided or as required by law) any other right in respect of any share except an absolute right to the entirety thereof in the registered holder.

Clause 21 – Issue of Securities

Subject to the provisions of this Constitution and Listing Requirements, and notwithstanding the existence of a resolution pursuant to Section 75(1) and 76(1) of the Act, the Company shall ensure that it shall not issue any shares or convertible securities if the total number of shares or convertible securities, when aggregated with the total number of any such shares or convertible securities issued during the preceding 12 months, exceeds the allowed threshold by the prevailing rules and regulation, except where the shares or convertible securities are issued with the prior approval of the members in general meeting of the precise terms and conditions of the issue.

Clause 25 – Modification of Rights

If at any time the share capital of the Company, by reason of the issuance of preference shares or otherwise is divided into different classes, the repayment of such preferred capital or all or any of the rights and privileges attached to each class of shares may subject to the provisions of Section 91 of the Act, this Constitution and the provisions of any written law, be varied, modified, commuted, affected, abrogated or dealt with by resolution passed by the holders of at least three-fourth of the issued shares of that class at a separate meeting of the holders of that class and all the provisions hereinafter contained as to general meetings shall mutatis mutandis apply to every such meeting except that the quorum hereof shall be 2 persons at least holding or representing by proxy one third of the issued shares of the class and for an adjourned meeting 1 person holding shares of such class.

15. STATUTORY AND OTHER INFORMATION (Cont'd)

Provided however that in the event of the necessary majority for such a resolution not having been obtained in the manner aforesaid consent in writing may be secured by members holding at least three- fourths of the issued shares of the class and such consent if obtained within 2 months from the date of the separate meeting shall have the force and validity of a resolution duly carried. To every such resolution the provisions of Section 91 of the Act, shall with such adaptations as are necessary apply.

Clause 26 – Special Right to Any Class of Share

The special rights attached to any class of shares having preferential rights shall not unless otherwise expressly provided by the terms of issue thereof be deemed to be varied by the creation or issue of further shares ranking as regards participation in profits or assets of the Company in some or all respects *pari passu* therewith but in no respect in priority thereto, the Company purchasing its own shares and the Company redeeming redeemable preference shares.

Clause 60 – Increase of Share Capital

The Company may, from time to time, whether all the shares for the time being issued shall have been fully paid up or not, by ordinary resolution increase its share capital by the creation and issue of new shares, such new capital to be of such amount to be divided into shares of such respective amounts and to carry such rights or to be subject to such conditions or restrictions in regard to dividend, return of capital or otherwise as the Company may direct in the resolution authorising such increase.

Clause 61 – Issue of New Shares to Existing Members

In accordance with Rule 7.08 of the Listing Requirements, subject to any direction to the contrary that may be given by the Company in general meeting, all new shares or other convertible Securities shall, before issued, be offered to such persons as at the date of the offer are entitled to receive notices from the Company of general meetings in proportion, as nearly as the circumstances admit, to the amount of the existing shares or Securities to which they are entitled. The offer shall be made by notice specifying the number of shares or Securities offered, and limiting a time within which the offer, if not accepted, will be deemed to be declined, and, after the expiration of that time, or on the receipt of an intimation from the person to whom the offer is made that he declines to accept the shares or Securities offered, the Directors may dispose of those shares or Securities in such manner as they think most beneficial to the Company. The Directors may, likewise, also dispose of any new shares or Securities which (by reason of the ratio which the new shares or Securities bear to the shares or Securities held by persons entitled to an offer of new shares or Securities) cannot, in the opinion of the Directors, be conveniently offered under this Constitution. For the avoidance of doubt, where approval of the Members is obtained in a general meeting for any issuance of shares or convertible Securities, including approvals obtained under Sections 75 and 76 of the Act, such approval shall be deemed to be a direction to the contrary given in general meeting which will render the pre-emptive rights above inapplicable. In any case and in respect of any issuance of shares or convertible Securities, the pre-emptive rights of members are strictly as contained in the Constitution and accordingly, the provisions of Section 85 of the Act in respect of the pre-emptive rights to the new Shares shall not apply.

Clause 62 – Alteration of Share Capital

Subject to the Statutes, the Company may from time to time alter its share capital by passing a special resolution to:

15. STATUTORY AND OTHER INFORMATION (*Cont'd*)

- (a) consolidate and divide all or any of its share capital, the proportion between the amount paid and the amount, if any, unpaid on each subdivided share, shall be the same as it was in the case of the share from which the subdivided share is derived;
- (b) convert all or any of its paid-up shares into stock and may reconvert that stock into paid-up shares;
- (c) subdivide its shares or any of the shares, whatever is in the subdivision, the proportions between the amount paid and the amount, if any, unpaid on each subdivided share shall be the same as it was in the case of the share from which the subdivided share is derived;
- (d) cancel any shares, which at the date of the passing of the resolution, which have not been taken or agreed to be taken by any person or which have been forfeited, and diminish the amount of its share capital by the amount of the shares so cancelled; or
- (e) subject to the provisions of this Constitution and the Act, convert and/ or reclassify any class of shares into any other class of shares.

Clause 63 – Capital Reduction

The Company may by special resolution, reduce its share capital in accordance with Section 84 of the Act.

15.3.2 Borrowing and voting power of the Directors

The provisions in our Constitution dealing with voting and borrowing powers of our Directors including voting powers in relation to proposals, arrangements or contract in which they are interested in are as follows:

Clause 120 – Directors' Borrowing Powers

- 120.(1) To the extent that the Act, the Listing Requirements and the Constitution allow, the Directors may exercise all the powers of the Company to borrow money and to mortgage or charge its undertakings, property and uncalled capital, or any part thereof, and to issue debentures and other Securities whether outright or as security for any debt, liability or obligation of the Company or of any related third party, PROVIDED ALWAYS that nothing contained in this Constitution shall authorise the Directors to borrow any money or mortgage or charge any of the Company's undertaking, property or any uncalled capital or to issue debentures and other Securities whether outright or as security for any debt, liability or obligation of an unrelated third party. Provided also that the Directors shall not issue any debt Securities convertible to ordinary shares without the prior approval of the Company in meeting of members.
- 120.(2) The Directors shall cause a proper register to be kept in accordance with Section 60 of the Act of all mortgages and charges specifically affecting the property of the Company and shall duly comply with the requirements of the Act in regard to the registration of mortgages and charges therein specified or otherwise.

15. STATUTORY AND OTHER INFORMATION (Cont'd)

120.(3) Subject to the Act, if the Directors or any of them, or any other person, shall become personally liable for the payment of any sum primarily due from the Company, the Directors may execute or cause to be executed any mortgage, charge or security over or affecting the whole or any part of the assets of the Company by way of indemnity to secure the Directors, or persons so becoming liable as aforesaid, from any loss in respect of such liability.

Clause 132 – Proceedings of Meeting

A meeting of the Directors, for the time being at which a quorum is present, shall be competent to exercise all or any of the powers, authorities and discretion by or under this Constitution, vested in or exercisable by the Directors generally. Subject to this Constitution, questions arising at any meeting of the Directors shall be decided by a majority of votes.

Clause 133 – Chairman Has Casting Vote

In case of equality of votes, the Chairman shall have a second or casting vote, except where only 2 Directors are competent to vote on the question at issue, or at the meeting where only 2 Directors form the quorum.

Clause 137 – Disclosure of Interest in Contracts, Property, Offices, Etc

Every Director shall comply with the provisions of Sections 219 and 221 of the Act in connection with the disclosure of his shareholding and interest in any contract or proposed contract with the Company. This clause is subject to the Listing Requirements.

Clause 138 – Directors Refrained from Voting in Interested Transactions

A Director shall not vote in regard to any contract or proposed contract or arrangement in which he has, directly or indirectly, an interest. Without prejudice to the generality of the foregoing, a Director shall also not vote in regard to any contract or proposed contract or arrangement with any other company in which he is interested, either as an officer of that other company or as a holder of shares or other Securities in that other company.

Clause 140 – Director May Vote on the Giving of Security or Indemnity Where He is Interested

Subject to Clause 137, a Director may vote in respect of:

- (a) any arrangement for giving the Director himself or any other Director any security or indemnity in respect of money lent by him to or obligations undertaken by him for the benefit of the Company; or
- (b) any arrangement for the giving by the Company of any security to a third party in respect of a debt or obligation of the Company for which the Director himself or any other Director has assumed responsibility in whole or in part under a guarantee or indemnity or by the deposit of a security.

By an ordinary resolution of the Company, the provisions of this Clause may at any time be suspended or relaxed to any extent and, either generally or in respect of any particular contract, arrangement or transaction, and any particular contract, arrangement or transaction carried out in contravention of this Clause, may be ratified.

15. STATUTORY AND OTHER INFORMATION (*Cont'd*)

15.3.3 Remuneration of Directors

The provisions in our Constitution dealing with remuneration of Directors are as follows:

Clause 115 – Remuneration of Directors

The fees and any benefits payable to the Directors from time to time, be subject to annual shareholder approval at general meeting and shall (unless such resolution otherwise provides) be divisible among the Directors as they may agree, except that any Director, who shall hold office for part only of the period in respect of which such fees are payable, shall be entitled only to rank in such division for a proportion of the fees related to the period during which he has held office, PROVIDED ALWAYS that:

- (a) fees payable to non-executive Directors shall be by a fixed sum, and not by a commission on or percentage of profits or turnover;
- (b) salaries payable to executive Directors shall not include a commission on or percentage of turnover;
- (c) fees and any benefits payable to Directors shall not be increased except pursuant to a resolution passed at a general meeting, where notice of the proposed increase has been given in the notice convening the meeting; and
- (d) any fee paid to an alternate Director shall be agreed upon between himself and the Director nominating him and shall be paid out of the remuneration of that Director.

Clause 116 – Reimbursement and Special Remuneration

116.(1) The Directors shall be entitled to be reimbursed for all travelling or such other reasonable expenses as may be incurred in attending and returning from meetings of the Directors or of any committee of the Directors or general meetings or otherwise, howsoever, in or about the business of the Company in the course of the performance of their duties as Directors.

116.(2) If by arrangement with the Directors, any Director shall perform or render any special duties or service's outside his ordinary duties as a Director in particular, without limiting to the generality of the foregoing, if any Director being willing shall be called upon to perform extra services or to make any special exertions in going or residing away from his usual place of business or residence for any of the purposes of the Company or in giving special attention to the business of the Company as a member of a committee of Directors, the Directors may pay him special remuneration, in addition to his Director's fees, and such special remuneration may be by way of a fixed sum, or otherwise as may be arranged.

15.3.4 Transfer of Securities

The provisions in our Constitution dealing with transfer of shares as follows:

Clause 49 – Transfer of Securities

The transfer of any Listed Securities or class of Listed Securities in the Company shall be by way of book entry by the Depository in accordance with the Rules and, notwithstanding Sections 105, 106 or 110 of the Act, but subject to Section 148(2) of the Act and any exemption that may be made from compliance with Section 148(1) of the Act, the Company shall be precluded from registering and effecting any transfer of Listed Security.

15. STATUTORY AND OTHER INFORMATION (*Cont'd*)

Clause 50 – Instrument of Transfer

50.(1) Every instrument of transfer (for any share not being a Deposited Security) must be left for registration at the office of the Company's Registrar accompanied by the certificate of the shares comprised therein (if any) and such evidence as the Directors may reasonably require to prove the right of the transferor to make the transfer and the due execution by him of the instrument of transfer which is executed in accordance with the Statutes, and subject to the power vested in the Directors by this Constitution or the provisions of any other written law and if required, to reasonable evidence of nationality, the Company shall register the transferee as shareholder.

50.(2) A fee not exceeding RM3.00 (excluding the stamp duty) or any amount as shall be determined from time to time by the Exchange may be charged for each transfer and shall if required by the Directors be paid before the registration thereof.

Clause 51 – Person Under Disability

No share shall in any circumstances be transferred to any minor, bankrupt or person of unsound mind.

Clause 52 – Refusal to Transfer and notice of Refusal

52.(1) Subject to Section 106 and any other relevant provisions of the Act, the Directors may refuse or delay to register the transfer of a share, not being a Deposited Security, to a person of whom they shall not approve.

52.(2) If the Directors passed a resolution to refuse or delay the registration of a transfer, they shall, within 7 days of the resolution being passed, give to the lodging broker, transferor and the transferee written notice of the resolution setting out the precise reasons thereof.

Clause 53 – Non-Liability of the Company, its Directors and Officers in Respect of Transfer

Neither the Company nor its Directors nor any of its officers shall incur any liability for registering or acting upon a transfer of shares apparently made by sufficient parties, although the same may, by reason of any fraud or other cause not known to the Company or its Directors or other officers be legally inoperative or insufficient to pass the property in the shares proposed or professed to be transferred, and although the transfer may, as between the transferor and transferee, be liable to be set aside, and notwithstanding that the Company may have notice that such instrument of transfer was signed or executed and delivered by the transferor in blank as to the name of the transferee or the particulars of the shares transferred or otherwise in defective manner. And in every such case, the person registered as transferee, his executors, administrators and assigns alone shall be entitled to be recognised as the holder of such shares and the previous holder shall, so far as the Company is concerned, be deemed to have transferred his whole title thereto.

15. STATUTORY AND OTHER INFORMATION (Cont'd)**15.4 REPATRIATION OF CAPITAL AND REMITTANCE OF PROFITS**

The relevant governmental laws, decrees, regulations, legislations and/ or other requirements in Singapore, Thailand, Cambodia and Brunei Darussalam in relation to the repatriation of capital and the remittance of profit by or to our Group are set out below.

15.4.1 Singapore**(a) Exchange controls**

There are no foreign exchange control restrictions imposed under Singapore laws and there are no exchange control formalities or approvals required for all forms of payments or capital transfers into or out of Singapore. RNG SG is not restricted in their ability to repatriate profits to our Group.

The return of capital proceeds by RNG SG to our Group should not be subject to Singapore income tax as Singapore does not impose tax on capital proceeds/ capital gains.

Pursuant to the provisions of the Companies Act 1967 of Singapore, capital may not be returned to shareholders unless a capital reduction exercise is carried out in accordance with the provisions of the Companies Act of Singapore and the company's constitution (or memorandum and articles of association). There are no restrictions on payment of capital from a capital reduction exercise to foreign shareholders who are not subject to any financial sanctions or other restrictions imposed by the Monetary Authority of Singapore or other regulatory authorities.

A company may, if so authorised by its constitution (or memorandum and articles of association) and subject to the requirements imposed by the Companies Act 1967 of Singapore, buy back its own shares. Similarly, there are no restrictions on payment of the purchase price to foreign shareholders in respect of such purchase.

(b) Dividend distribution

Singapore adopts the one-tier corporate tax systems whereby the tax paid by a Singapore tax resident company is a final tax and after-tax profits of the Singapore tax resident company can be distributed to its shareholders as tax-exempt dividends. Such dividends are exempt in the hands of all shareholders, regardless of the tax residency status of the shareholders. Singapore does not impose taxes on capital gains. There is no Singapore withholding tax on dividends paid to resident and non-resident shareholders.

15.4.2 Thailand**(a) Exchange controls**

Under the laws of Thailand, RNG TH may repatriate capital and/ or remit profits to RNG Tech, by way of:

- (i) capital reduction where RNG TH may reduce its capital by reducing the par value of each share or by reducing the number of its shares by way of a special resolution passed at a shareholders' meeting. However, the capital of RNG TH cannot be reduced to below 25.0% of its total capital per time;

15. STATUTORY AND OTHER INFORMATION (Cont'd)

- (ii) distribution of dividend where dividends distributed by RNG TH must be made from its profits in proportion to its paid-up share capital of each share by way of resolution of either a board of directors' meeting only for interim dividend or a shareholders' meeting (as detailed in Section 15.4.2(b) below; and
- (iii) distribution of capital or benefits pursuant to a winding-up procedure where the remaining capital of a Thai company can be returned to its shareholders, based on their shareholding proportion, unless otherwise specified in the company's articles of association.

In addition, under the Thai Foreign Exchange Regulation, dividends or proceeds from sales (including capital gains from the transfer of shares), or capital reduction after payment of the applicable Thai taxes, if any, can be remitted out of Thailand in foreign currencies without any requirement for prior approval from the Bank of Thailand. However, for each outward remittance, if the amount is USD200,000 or more in the relevant currency, a request form must be submitted to an authorised agent (commercial bank) together with relevant supporting documents to support the remittance.

(b) Dividend distribution

Any declaration of dividends must be approved by a resolution passed at an annual general meeting or an extraordinary general meeting of the shareholders of RNG TH. An interim dividend payment can be declared from time to time if the board of directors of a Thai company resolves that it has profits justified to be distributed to its shareholders in proportion to their shareholding proportion, unless otherwise specified in the company's articles of association. When distributing dividends, RNG TH must reserve funds of at least 5.0% of its profits until its reserve funds reaches 10.0% of its registered capital.

(c) Withholding tax

The Thai Revenue Code provides that assessable income includes any distribution made by a company on the reduction of its capital to its shareholders to the extent the company possesses accumulated profits and any reserves set aside out of the profits.

Any capital reduction amount of RNG TH payable to RNG Tech constitutes a taxable/ assessable income of RNG Tech. However, this applies only for the amount not exceeding the total amount of the profits and the reserve funds of RNG TH. Such income is subject to a withholding tax at the rate of 15.0% in accordance with the Thai Revenue Code unless otherwise specified in the Treaty of Double Tax Avoidance. The capital reduction amount that exceeds the total amount of the profits and the reserve funds of RNG TH is not a taxable/ assessable income.

The dividend of RNG TH payable to RNG Tech is a taxable/ assessable income and it is subject to withholding tax at the rate of 10.0% in accordance with the Thai Revenue Code unless otherwise specified in the Treaty of Double Tax Avoidance.

When RNG TH repatriates funds to RNG Tech, RNG TH is required to withhold applicable withholding taxes mentioned above from the funds payable and remit the taxes withheld to the Thai Revenue Department.

15. STATUTORY AND OTHER INFORMATION (Cont'd)**15.4.3 Cambodia****(a) Exchange controls**

There are no significant restrictions on the repatriation of profits, dividend and the return of capital by RNG KH to non-resident holders of RNG KH's shares, provided that such repatriation is conducted through authorised intermediaries. Any repatriation of capital or profit by RNG KH overseas should take into consideration the capital maintenance rules and policies as provided under the Law on Commercial Enterprise 2005 (as amended on 29 January 2022, "**LCE**"). Generally, RNG KH may repatriate capital and/ or remit profits to RNG Tech, by way of:

- (i) capital reduction where RNG KH may reduce its capital by way of a special resolution by filing an amendment of its Articles of Incorporation ("**AOIs**") with the Ministry of Commerce ("**MOC**"). However, the capital of RNG KH cannot be reduced to below 50.0% of its registered capital as provided for in the AOIs and the no capital reduction shall only take effect until 90 days after the amendment has been filed with the MOC and any undisputed creditor who objects during that period has been paid in full.

Further, RNG KH is prohibited from reducing its capital account if there are reasonable grounds for believing that:

- the company is, or after the payment would be, unable to pay its liabilities as they become due;
 - the realisable value of the company's assets after reduction would be less than the aggregate of its liabilities, unless RNG KH is reducing its capital account by an amount that is not represented by realisable assets.
- (ii) distribution of dividend subject to any restrictions contained in RNG KH's AOIs (which do not contain any such restrictions);
 - (iii) share buy-back subject to any restrictions contained in RNG KH's AOIs (which do not contain any such restrictions), where RNG KH may purchase or redeem its shares provided that RNG KH shall always maintain outstanding shares of at least one class with full voting powers and which are not subject to mandatory redemption or repurchase.

Further, RNG KH is not permitted to purchase or redeem its shares issued if there are reasonable grounds for believing that:

- the company is, or after the purchase would be, unable to pay its liabilities as they become due; or
- the realisable value of the company's assets after purchasing would be less than the aggregate of its liabilities.

15. STATUTORY AND OTHER INFORMATION (Cont'd)**(b) Dividend distribution**

The sole directors of RNG KH may, subject to any restrictions contained in RNG KH's AOs, declare dividends out of the company's surplus or out of its net profits, provided that RNG KH shall not declare or pay dividends if there are reasonable grounds for believing that:

- (i) the company is, or after the payment of dividends would be, unable to pay its liabilities as they become due; or
- (ii) the realisable value of the company's assets would be less than the aggregate of its liabilities and stated capital of all classes.

The sole director who consented to a resolution authorising the distribution of dividends contrary to the above is jointly and severally liable to restore to the company any amount so distributed or paid.

(c) Withholding tax

Pursuant to Article 26 of the New Law on Taxation 2023, payments or accruals made by resident taxpayers to non-resident taxpayers for the following Cambodian-sourced income are subject to 14% withholding tax, unless covered by a relief under a Double Tax Agreement entered with Cambodia:

- (i) interest;
- (ii) royalties, rent, and other income connected with the use of property;
- (iii) compensation for management or technical services; and
- (iv) dividends, including deemed dividends resulting from deemed distribution of retained earnings upon capital reduction.

15.4.4 Brunei Darussalam**(a) Exchange controls**

Brunei Darussalam does not impose exchange controls that restrict the repatriation of capital or profits. Currency transactions are monitored for reporting purposes, especially in the case of all complex, unusual large transactions and all unusual patterns of transactions (e.g. anti-money laundering under Part 2 Section 12 of the Criminal Asset Recovery Order 2012), but there are no outright restrictions on foreign exchange movements. Banks in Brunei permit non-resident accounts and free movement of currency, meaning a foreign parent company can freely repatriate its investment capital and any profit distributions from the Brunei Darussalam subsidiary without exchange control approval.

(b) Dividend distribution

Pursuant to Section 11 of the Brunei Companies Act (Cap. 39), Schedule 1 Table A of the Brunei Companies Act, and RNG (B)'s Articles of Association, RNG (B) may declare and distribute dividends subject to the following conditions:

- (i) Dividends may only be declared and paid out of profits of the company. No dividend shall be payable out of capital or unrealised gains;

15. STATUTORY AND OTHER INFORMATION (Cont'd)

- (ii) Dividends may not be declared unless they are recommended by the directors and may not exceed the amount so recommended. In the case of final dividends, they must be approved by shareholders in a general meeting. Directors may, however, declare interim dividends at their discretion if justified by available profits;
- (iii) Dividends must be paid in proportion to the amount paid-up on each share. Any sum paid in advance of calls is not considered as paid-up for this purpose;
- (iv) Before recommending dividends, the directors may set aside such sums as they deem appropriate to a reserve fund, to meet contingencies or equalise future dividends. Directors must also ensure that the payment of dividends does not impair the company's ability to meet its debts or obligations as they fall due; and
- (v) Dividends must be paid subject to any special rights of shareholders holding shares with preferential dividend terms.

(c) Withholding tax

Pursuant to Sections 37 to 37B of the Brunei Income Tax Act (Cap. 35) of Brunei Darussalam, payments made by Brunei-resident taxpayers or permanent establishments to non-resident persons (such as its foreign parent) for the following categories are subject to withholding tax at the rates prescribed by law:

- (i) Interest – subject to withholding tax at the rate of 2.5% of the gross amount paid (Section 37);
- (ii) Royalties, rent for movable property, and payments for the use of intellectual property, information, or technical knowledge – subject to withholding tax at the rate of 10% of the gross amount paid (Section 37A);
- (iii) Management fees, technical assistance or services fees, and other fees for services performed in Brunei Darussalam – subject to withholding tax at the rate of 10% of the gross amount paid (Section 37A);
- (iv) Director's remuneration paid to non-resident individuals – subject to withholding tax at the rate of 10% (Section 37B); and
- (v) Dividends – 0%. Brunei Darussalam does not levy any withholding tax on dividends paid to shareholders, whether the shareholder is local or foreign.

Withholding tax is required to be deducted at the time of payment or credit and must be remitted to the Collector of Income Tax within 14 days. Non-compliance with these obligations may result in the imposition of penalties, including a 5% surcharge, 1% interest per month. Failing to give notice after deducting the tax required to be deducted within 14 days after such deduction shall be guilty of an offence and shall on conviction be liable to a penalty equal to 3 times the amount of tax so deducted and shall also be liable to a fine not exceeding BND10,000, imprisonment for a term not exceeding 3 years or both.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

15.5 GENERAL INFORMATION

- (a) Save for the dividends paid to our shareholders in FYE 2022 to 2025 and up to LPD and remuneration of our Directors and key senior management as disclosed in Sections 12.17, 5.2.4 and 5.3.5 respectively, no other amount or benefit has been paid or given within the past 2 years immediately preceding the date of this Prospectus, nor is it intended to be paid or given, to any of our Promoters, Directors or substantial shareholders.
- (b) Save as disclosed in Section 10.1, none of our Promoters, Directors or substantial shareholders have any interest, direct or indirect, in any contract or arrangement subsisting at the date of this Prospectus and which is significant in relation to the business of our Group.
- (c) The manner in which copies of this Prospectus together with the official application forms and envelopes may be obtained and the details of the summarised procedures for application of our Shares are set out in Section 16.
- (d) There is no limitation on the right to own securities including limitation on the right of non-residents or foreign shareholders to hold or exercise their voting rights on our Shares.

15.6 CONSENTS

- (a) The written consents of our Adviser, Sponsor, Underwriter, Placement Agent, Solicitors, Share Registrar, Company Secretary and Issuing House to the inclusion in this Prospectus of their names in the form and context in which such names appear have been given before the issue of this Prospectus and have not subsequently been withdrawn;
- (b) The written consents of our Auditors and Reporting Accountants to the inclusion in this Prospectus of their names, Accountants' Report and report relating to the pro forma consolidated financial information in the form and context in which they are contained in this Prospectus have been given before the issue of this Prospectus and have not subsequently been withdrawn; and
- (c) The written consent of our IMR to the inclusion in this Prospectus of its name and the IMR Report, in the form and context in which they are contained in this Prospectus have been given before the issue of this Prospectus and have not been subsequently withdrawn.

15.7 DOCUMENTS FOR INSPECTION

Copies of the following documents are available for inspection at the Registered Office of our Company during normal business hours for a period of 6 months from the date of this Prospectus:

- (a) Constitution;
- (b) Audited financial statements of our Company since incorporation up to 31 December 2024 and FYE 2025;

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

- (c) Audited financial statements of RNG Tech's subsidiaries for FYE 2022 to 2025, where applicable;
- (d) Accountants' Report as set out in Section 13;
- (e) Reporting Accountants' Report relating to our pro forma combined financial information as set out in Section 14;
- (f) IMR Report as set out in Section 8;
- (g) Material contracts as set out in Section 6.5; and
- (h) Letters of consent as set out in Section 15.6.

15.8 RESPONSIBILITY STATEMENTS

Our Directors, Promoters and Selling Shareholders have seen and approved this Prospectus. They collectively and individually accept full responsibility for the accuracy of the information. Having made all reasonable enquiries, and to the best of their knowledge and belief, they confirm there is no false or misleading statement or other facts which if omitted, would make any statement in this Prospectus false or misleading.

M&A Securities acknowledges that, based on all available information, and to the best of its knowledge and belief, this Prospectus constitutes a full and true disclosure of all material facts concerning our IPO.

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16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

THIS SUMMARY OF PROCEDURES FOR APPLICATION AND ACCEPTANCE DOES NOT CONTAIN THE DETAILED PROCEDURES AND FULL TERMS AND CONDITIONS AND YOU CANNOT RELY ON THIS SUMMARY FOR PURPOSES OF ANY APPLICATION FOR OUR IPO SHARES. YOU MUST REFER TO THE DETAILED PROCEDURES AND TERMS AND CONDITIONS AS SET OUT IN THE "DETAILED PROCEDURES FOR APPLICATION AND ACCEPTANCE" ACCOMPANYING THE ELECTRONIC PROSPECTUS ON THE WEBSITE OF BURSA SECURITIES. YOU SHOULD ALSO CONTACT THE ISSUING HOUSE FOR FURTHER ENQUIRIES.

Unless otherwise defined, all words and expressions used here shall carry the same meaning as ascribed to them in our Prospectus.

Unless the context otherwise requires, words used in the singular include the plural, and vice versa.

16.1 OPENING AND CLOSING OF APPLICATION PERIOD

OPENING OF THE APPLICATION PERIOD: 10.00 A.M., 16 JUNE 2026

CLOSING OF THE APPLICATION PERIOD: 5.00 P.M., 24 JUNE 2026

In the event there is any change to the timeline, we will advertise the notice of changes in a widely circulated English and Bahasa Malaysia daily newspapers in Malaysia, and make an announcement on Bursa Securities' website.

Late applications will not be accepted.

16.2 METHODS OF APPLICATIONS**16.2.1 Retail Offering**

Application must accord with our Prospectus and our Constitution. The submission of an Application Form does not mean that the Application will succeed.

<u>Types of Application and category of investors</u>	<u>Application Method</u>
Applications by our Eligible Persons	Pink Application Form only
Applications by the Malaysian Public:	
(a) Individuals	White Application Form or Electronic Share Application or Internet Share Application
(b) Non-Individuals	White Application Form only

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (Cont'd)**16.2.2 Placement****Types of Application**

Applications by selected investors

Application Method

The Placement Agent will contact the selected investors directly. They should follow the Placement Agent's instructions.

Applications by Bumiputera investors approved by MITI

MITI will contact the Bumiputera investors directly. They should follow MITI's instructions.

Eligible Persons, selected investors and Bumiputera investors approved by MITI may still apply for our IPO Shares offered to the Malaysian Public using the White Application Form, Electronic Share Application or Internet Share Application.

16.3 ELIGIBILITY**16.3.1 General**

You must have a CDS Account and a correspondence address in Malaysia. If you do not have a CDS Account, you may open a CDS Account by contacting any of the ADAs set out in the list of ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the Electronic Prospectus on the website of Bursa Securities. The CDS Account must be in your own name. **Invalid, nominee or third party CDS Accounts will not be accepted** for the Applications.

Only **ONE** Application Form for each category from each applicant will be considered and **APPLICATIONS MUST BE FOR AT LEAST 100 IPO SHARES OR MULTIPLES OF 100 IPO SHARES.**

MULTIPLE APPLICATIONS WILL NOT BE ACCEPTED UNLESS EXPRESSLY ALLOWED IN THESE TERMS AND CONDITIONS. AN APPLICANT WHO SUBMITS MULTIPLE APPLICATIONS IN HIS OWN NAME OR BY USING THE NAME OF OTHERS, WITH OR WITHOUT THEIR CONSENT, COMMITS AN OFFENCE UNDER SECTION 179 OF THE CMSA AND IF CONVICTED, MAY BE PUNISHED WITH A MINIMUM FINE OF RM1,000,000 AND A JAIL TERM OF UP TO 10 YEARS UNDER SECTION 182 OF THE CMSA.

AN APPLICANT IS NOT ALLOWED TO SUBMIT MULTIPLE APPLICATIONS IN THE SAME CATEGORY OF APPLICATION.

16.3.2 Application by Malaysian Public

You can only apply for our IPO Shares if you fulfill all of the following:

- (a) You must be one of the following:
 - (i) a Malaysian citizen who is at least 18 years old as at the date of the application for our IPO Shares; or

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (Cont'd)

- (ii) a corporation/ institution incorporated in Malaysia with a majority of Malaysian citizens on your board of directors/ trustees and if you have a share capital, more than half of the issued share capital, excluding preference share capital, is held by Malaysian citizens; or
 - (iii) a superannuation, co-operative, foundation, provident, pension fund established or operating in Malaysia.
- (b) You must not be a director or employee of the Issuing House or an immediate family member of a director or employee of the Issuing House; and
- (c) You must submit Applications by using only one of the following methods:
 - (i) White Application Form; or
 - (ii) Electronic Share Application; or
 - (iii) Internet Share Application.

16.3.3 Application by Eligible Persons

The Eligible Persons will be provided with Pink Application Forms and letters from us detailing their respective allocation as well as detailed procedures on how to subscribe to the allocated IPO Shares. Applicants must follow the notes and instructions on the said documents and where relevant, in this Prospectus.

16.4 APPLICATION BY WAY OF APPLICATION FORMS

The Application Form must be completed in accordance with the notes and instructions contained in the respective category of the Application Form. Applications made on the incorrect type of Application Form or which do not conform **STRICTLY** to the terms of our Prospectus or the respective category of Application Form or notes and instructions or which are illegible will not be accepted.

The **FULL** amount payable is RM0.13 for each IPO Share.

Payment must be made out in favour of "**TIIH SHARE ISSUE ACCOUNT NO. 825**" and crossed "**A/C PAYEE ONLY**" and endorsed on the reverse side with your name and address.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (Cont'd)

Each completed Application Form, accompanied by the appropriate remittance and legible photocopy of the relevant documents may be submitted using one of the following methods:

- (a) despatch by **ORDINARY POST** in the official envelopes provided, to the following address:

Tricor Investor & Issuing House Services Sdn Bhd
(Registration No. 197101000970 (11324-H))
Unit 32-01, Level 32, Tower A
Vertical Business Suite
Avenue 3, Bangsar South
8, Jalan Kerinchi
59200 Kuala Lumpur

- (b) **DELIVER BY HAND AND DEPOSIT** in the drop-in boxes provided at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur.

So as to arrive not later than 5.00 p.m. on 24 June 2026 or by such other time and date specified in any change to the date or time for closing.

We, together with the Issuing House, will not issue any acknowledgement of the receipt of your Application Forms or Application monies. Please direct all enquiries in respect of the White Application Form to the Issuing House.

16.5 APPLICATION BY WAY OF ELECTRONIC SHARE APPLICATIONS

Only Malaysian individuals may apply for our IPO Shares offered to the Malaysian Public by way of Electronic Share Application.

Electronic Share Applications may be made through the ATM of the following Participating Financial Institutions and their branches, namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, AmBank (M) Berhad, CIMB Bank Berhad, Malayan Banking Berhad, Public Bank Berhad and RHB Bank Berhad. A processing fee will be charged by the respective Participating Financial Institutions (unless waived) for each Electronic Share Application.

The exact procedures, terms and conditions for Electronic Share Application are set out on the ATM screens of the relevant Participating Financial Institutions.

16.6 APPLICATION BY WAY OF INTERNET SHARE APPLICATIONS

Only Malaysian individuals may use the Internet Share Application to apply for our IPO Shares offered to the Malaysian Public.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (Cont'd)

Internet Share Applications may be made through an internet financial services website of the Internet Participating Financial Institutions or Participating Securities Firms, namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, CGS International Securities Sdn Bhd, Hong Leong Investment Bank Berhad, iFast Capital Sdn Bhd, Kenanga Investment Bank Berhad, Malacca Securities Sdn Bhd, Malayan Banking Berhad, Moomoo Securities Malaysia Sdn Bhd, Public Bank Berhad, RHB Bank Berhad, TA Securities Holdings Berhad and UOB Kay Hian (M) Sdn Bhd (formerly known as UOB Kay Hian Securities (M) Sdn Bhd). A processing fee will be charged by the respective Internet Participating Financial Institutions or Participating Securities Firms (unless waived) for each Internet Share Application.

The exact procedures, terms and conditions for Internet Share Application are set out on the internet financial services website of the respective Internet Participating Financial Institutions or Participating Securities Firms.

16.7 AUTHORITY OF OUR BOARD AND THE ISSUING HOUSE

The Issuing House, on the authority of our Board reserves the right to:

- (a) reject Applications which:
 - (i) do not conform to the instructions of our Prospectus, Application Forms, Electronic Share Application and Internet Share Application (where applicable); or
 - (ii) are illegible, incomplete or inaccurate; or
 - (iii) are accompanied by an improperly drawn up or improper form of remittance; or
- (b) reject or accept any Application, in whole or in part, on a non-discriminatory basis without the need to give any reason; and
- (c) bank in all Application monies (including those from unsuccessful/ partially successful applicants) which would subsequently be refunded, where applicable (without interest), in accordance with Section 16.9 below.

If you are successful in your Application, our Board reserves the right to require you to appear in person at the registered office of the Issuing House at any time within 14 days of the date of the notice issued to you to ascertain that your Application is genuine and valid. Our Board shall not be responsible for any loss or non-receipt of the said notice nor will it be accountable for any expenses incurred or to be incurred by you for the purpose of complying with this provision.

16.8 OVER/ UNDER SUBSCRIPTION

In the event of over-subscription, the Issuing House will conduct a ballot in the manner approved by our Directors to determine the acceptance of Applications in a fair and equitable manner. In determining the manner of balloting, our Directors will consider the desirability of allotting and allocating our IPO Shares to a reasonable number of applicants for the purpose of broadening the shareholding base of our Company and establishing a liquid and adequate market for our Shares.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (Cont'd)

The basis of allocation of shares and the balloting results in connection therewith will be furnished by the Issuing House to Bursa Securities, all major Bahasa Malaysia and English newspapers as well as posted on the Issuing House's website at <https://srmy.vistra.com> within one market day after the balloting date.

Pursuant to the Listing Requirements we are required to have a minimum of 25.0% of our Company's issued share capital to be held by at least 200 public shareholders holding not less than 100 Shares each upon Listing and completion of our IPO. We expect to achieve this at the point of Listing. In the event the above requirement is not met, we may not be allowed to proceed with our Listing. In the event thereof, monies paid in respect of all Applications will be returned in full (without interest).

In the event of an under-subscription of our Issue Shares by the Malaysian Public and/ or Eligible Persons, subject to the clawback and reallocation as set out in Section 4.3.4, any of the abovementioned Issue Shares not applied for will then be subscribed by the Underwriter based on the terms of the Underwriting Agreement.

16.9 UNSUCCESSFUL/ PARTIALLY SUCCESSFUL APPLICANTS

If you are unsuccessful/ partially successful in your Application, your Application Monies (without interest) will be refunded to you in the following manner.

16.9.1 For applications by way of Application Forms

- (a) The Application monies or the balance of it, as the case may be, will be returned to you through the self-addressed and stamped Official "A" envelope you provided by ordinary post (for fully unsuccessful applications) or by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/ distribution) or if you have not provided such bank account information to Bursa Depository, the balance of Application monies will be refunded via banker's draft sent by ordinary/ registered post to your last address maintained with Bursa Depository (for partially successful applications) within 10 Market Days from the date of the final ballot at your own risk.
- (b) If your Application is rejected because you did not provide a CDS Account number, your Application monies will be refunded via banker's draft sent by ordinary/ registered post to your address as stated in the NRIC or any official valid temporary identity document issued by the relevant authorities from time to time or the authority card (if you are a member of the armed forces or police) at your own risk.
- (c) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected or unsuccessful or only partly successful will be refunded (without interest) by the Issuing House as per items (a) and (b) above (as the case may be).

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (*Cont'd*)

- (d) The Issuing House reserves the right to bank into its bank account all Application monies from unsuccessful applicants. These monies will be refunded (without interest) within 10 Market Days from the date of the final ballot by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/ distribution) or by issuance of banker's draft sent by ordinary/ registered post to your last address maintained with Bursa Depository if you have not provided such bank account information to Bursa Depository or as per item (b) above (as the case may be).

16.9.2 For applications by way of Electronic Share Application and Internet Share Application

- (a) The Issuing House shall inform the Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms of the unsuccessful or partially successful Applications within 2 Market Days after the balloting date. The full amount of the Application monies or the balance of it will be credited without interest into your account with the Participating Financial Institution, Internet Participating Financial Institution or Participating Securities Firms (or arranged with the Authorised Financial Institutions) within 2 Market Days after the receipt of confirmation from the Issuing House.
- (b) You may check your account on the 5th Market Day from the balloting date.
- (c) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected will be refunded (without interest) by the Issuing House by crediting into your account with the Participating Financial Institution, Internet Participating Financial Institutions or Participating Securities Firms (or arranged with the Authorised Financial Institutions) not later than 10 Market Days from the date of the final ballot. For Applications that are held in reserve and which are subsequently unsuccessful or partially successful, the relevant Participating Financial Institution will be informed of the unsuccessful or partially successful Applications within 2 Market Days after the final balloting date. The Participating Financial Institution will credit the Application monies or any part thereof (without interest) within 2 Market Days after the receipt of confirmation from the Issuing House.

16.10 SUCCESSFUL APPLICANTS

If you are successful in your application:

- (a) Our IPO Shares allotted to you will be credited into your CDS Account.
- (b) A notice of allotment will be despatched to you at your last address maintained with the Bursa Depository, at your own risk, before our Listing. This is your only acknowledgement of acceptance of your Application.
- (c) In accordance with Section 14(1) of the Central Depositories Act, Bursa Securities has prescribed our Shares as Prescribed Securities. As such, our IPO Shares issued/ offered through our Prospectus will be deposited directly with Bursa Depository and any dealings in these Shares will be carried out in accordance with the Central Depositories Act and Depository Rules.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (Cont'd)

- (d) In accordance with Section 29 of the Central Depositories Act, all dealings in our Shares will be by book entries through CDS Accounts. No physical share certificates will be issued to you and you shall not be entitled to withdraw any deposited securities held jointly with Bursa Depository or its nominee as long as our Shares are listed on Bursa Securities.

16.11 ENQUIRIES

Enquiries in respect of the applications may be directed as follows:

Mode of application	Parties to direct the enquiries
Application Form	Issuing House Enquiry Services Telephone at 03-2783 9299
Electronic Share Application	Participating Financial Institution
Internet Share Application	Internet Participating Financial Institution and Authorised Financial Institution or Participating Securities Firms

The results of the allocation of IPO Shares derived from successful balloting will be made available to the public at the Issuing House website at <https://srmy.vistra.com>, **one Market Day** after the balloting date.

You may also check the status of your Application at the above website, **5 Market Days** after the balloting date or by calling your respective ADA during office hours at the telephone number as stated in the list of ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the Electronic Prospectus on the website of Bursa Securities.

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